



ECONOMIC BULLETIN

Preview of RBNZ September 2026
Monetary Policy Statement
(Wednesday 2 September, NZT 2pm).

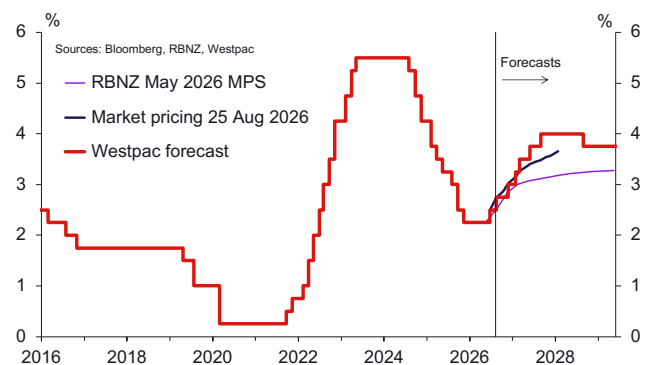


26 Aug 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Removing a little bit of stimulus

- We expect the RBNZ to raise the OCR by 25bp to 2.75% at its 2 September meeting. We see a consensus decision.
- The RBNZ's projections are likely to imply a 3% OCR by year-end, the same as in the May MPS.
- Beyond 2026, we expect the OCR forecasts to also remain similar to the May MPS profile which implied the OCR peaking around 3.3%.
- Of interest will be any signalling the RBNZ offers about the likelihood of an OCR hike in October. We expect the RBNZ will signal that future moves are data dependent.

Official Cash Rate forecasts



RBNZ decision and communication.

We expect the RBNZ to follow through with another 25bp OCR increase to 2.75%. The decision seems likely to be reached by consensus.

We see the RBNZ being equivocal about the potential for an October OCR increase. They seem likely to adopt a data-dependent approach to determining whether to continue raising rates in October, given they will be close to the 3% neutral rate level the RBNZ often emphasises, and there is a lot of data due for release over September and October.

Data since the May projections were completed possibly imply a modest downward adjustment to the RBNZ's OCR forecasts. Lower energy prices and inflation expectations seem to have that implication, although plenty of risks remain around those forecasts. Hence, it's possible the RBNZ's view won't have shifted that much. We tend to think there won't be much of a shift in the RBNZ's OCR forecasts given the significant uncertainties at present.

Scenarios.

A hawkish scenario is one where the RBNZ seems firmly resolved to continue to raise the OCR in October (and beyond). This might be signalled through a modest increase in the OCR forecasts from the terminal rate of 3.28%. If the RBNZ raised their neutral OCR assumption, then this would increase the chance of this scenario. Also, the MPC could imply that an OCR increase in October is more likely than not. Markets might then conclude increases are on the cards in both October and December, taking the OCR to 3.25% at year end.

A more dovish scenario is that the MPC might suggest that after 50bp of hikes it now has the luxury of taking some time to assess how the inflation outlook is evolving before raising the OCR further. Depending on the exact wording, this might bring into question whether an OCR increase might occur even in December. Less likely, more dovish market participants might even speculate that no further OCR increases may occur.

We don't see either of these options as especially likely and would put perhaps a 10-15% probability on each.

Kelly's take.

The strategy to return the OCR to around 3% by year-end seems clear and uncontroversial. It's unclear that further increases will be required at every remaining meeting in 2026. The economic recovery remains fragile and significant risks abound. Care should be taken to not take the recovery for granted – especially while the improvement in the labour market remains embryonic.

Nonetheless core inflation remains too high, and I remain sceptical that inflationary supply shocks will dissipate either quickly or sustainably. Hence, it's likely that higher interest rates will be required through 2027 once the economy is sustainably operating above trend and the labour market is recovering. A data-dependent approach is appropriate.

Appendix: Key developments since the May Monetary Policy Statement.

Activity: The economy's starting point remains close to the RBNZ's May forecast. GDP rose 0.8% in the March quarter, slightly below the RBNZ's 1.0% forecast, although historical revisions mean the level of activity was a little firmer than expected. June quarter growth is also likely to be close to the RBNZ's flat forecast (we have pencilled in a 0.1% decline). As a result, the RBNZ's estimate for the starting point output gap is unlikely to have changed materially from its May assumption of around -1.5%.

Labour market: Recent data have been mixed but continue to point to softness in the labour market. The unemployment rate rose to 5.6% in the June quarter, above the RBNZ's 5.4% forecast. Employment growth

was firmer than expected, though some of that strength likely reflected survey volatility. Wage growth was also a little firmer than expected but non-threatening, with the Labour Cost Index rising 0.7%qtr and 2.0%yr. Overall, these data are unlikely to have shifted the dial materially for the RBNZ. Updated estimates of net migration and population growth over the past year have been lower than expected.

Sentiment-based activity indicators: Understandably, surveys of the business sector have swung around in recent months. Looking across the latest QSBO, ANZBO and PMI results, overall business confidence is back around the levels seen before the Middle East conflict began. Businesses continue to report pressure on operating costs, and some hiring intentions gauges remain low. In the household sector, consumer confidence has also rebounded, although it remains low by historical standards. Given recent developments in the conflict, sentiment may weaken a little when the next ANZ business and consumer surveys are released just ahead of the RBNZ meeting.

Housing market: Housing market conditions have remained soft. Sales have fallen 5% since May, the average number of days to sell remains elevated and prices have edged down slightly. The RBNZ had already assumed a modest decline in prices over 2026 and limited gains over 2027, and significant changes to those assumptions appear unlikely.

Inflation: Inflation indicators have been volatile, reflecting recent large swings in global oil prices. While oil prices have picked up again in recent weeks and are elevated, they remain lower than assumed in the May MPS. The broader inflation picture does not appear more concerning than the RBNZ had anticipated. Headline inflation was 4.1% in the year to June, slightly below the 4.2% rise in the May MPS forecasts (but higher than the RBNZ's updated 3.9% forecast at the July OCR review). Core inflation measures remained within the RBNZ's target band in the June quarter, and there was little sign of widespread spillover from high oil prices into other areas. Non-tradables inflation also eased to 3.4% in the June quarter, in line with expectations. But businesses' operating costs remain under pressure, with large numbers of firms continue to report rising costs and plans to increase prices.

Inflation expectations: Surveys of households, businesses and professional forecasters all recorded declines in inflation expectations in the September quarter. In most cases, expectations have returned to the levels seen before the oil price spike. That will be encouraging news for the RBNZ given the risk of a step higher following the recent rise in headline inflation and the continued firmness in oil prices.

Trade: Prices for New Zealand's commodity exports have remained firm, and merchandise export volumes

are on track to grow by more than 2% this year. Services exports, particularly tourism, have also strengthened and are expected to grow by around 8% this year. Although oil prices remain elevated, the terms of trade are still likely to be around 4% higher than the RBNZ expected through the latter part of this year.

Financial conditions: Domestic financial conditions have mostly tightened since the RBNZ's May meeting. Notably, one- and two-year fixed mortgage rates have risen by around 35bps since May, compounding the increase seen since the start of the year. As a result, the easing in borrowing costs seen over recent years as households rolled off earlier high mortgage rates has now come to a close. The NZ dollar TWI is currently sitting at 67.2, above the 66.6 level assumed in the RBNZ's May projections.

Contact

Westpac Economics Team | westpac.co.nz/economics | economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

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A capex reset, not a shutdown

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By [Luka Belobrajdic](#)
Economist, Westpac

16:10 August 27 2026

 Share

Private capex surprised on the downside, falling 3.6%qtr in the June quarter 2026, although remaining up a solid 10.7%yr. Machinery and equipment led the decline as information media and telecommunications unwound part of last quarter's surge, while buildings and structures provided support.



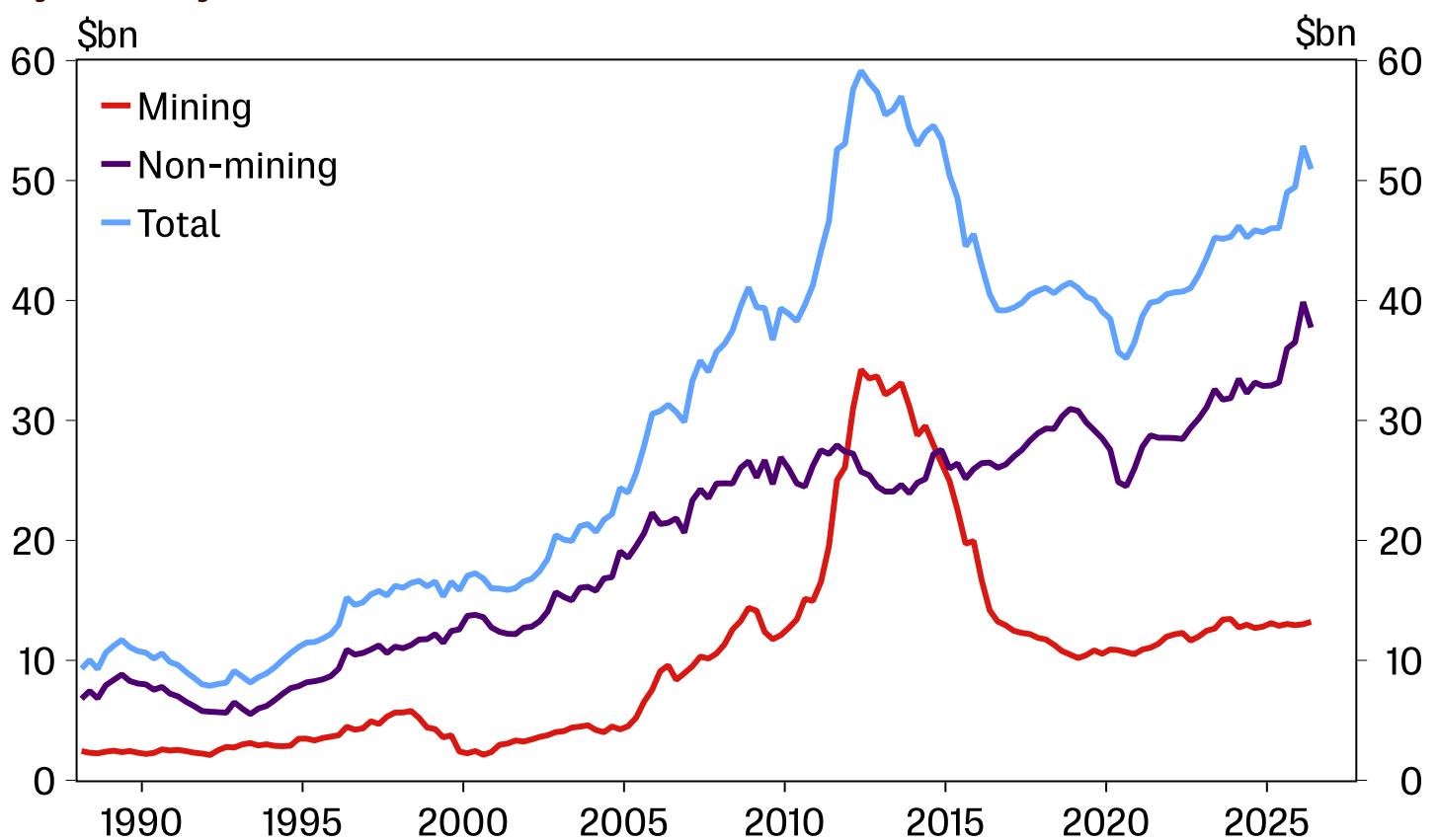
Private capex surprised materially to the downside, falling 3.6%qtr in the June quarter 2026. Despite the decline, investment remained 10.7% higher than a year ago, while the March quarter result was revised up by 0.4ppt to 6.9%qtr. Today's outcome was the weakest quarterly result since June 2020 and came in below our expectation for a flat result and well-below that of market consensus of a 0.8%qtr rise.

The decline was driven by machinery and equipment (M&E), which fell 8.9%qtr. As expected, information media and telecommunications unwound part of last quarter's exceptional strength, although the magnitude exceeded expectations, with M&E investment in the industry falling 53%qtr. Even so, M&E investment in the sector remains exceptionally strong, up 93.5%yr. Excluding information media and telecommunications, total M&E investment rose a solid 3.2%qtr. By contrast, buildings and structures increased 2.1%qtr and provided support to the headline result.

Looking ahead, spending plans continue to point to a significant acceleration in investment through FY2027, with real capex growth of around 16%yr expected. Information media and telecommunications is likely to remain a key driver, with short-term expectations in the June quarter running 92% above equivalent levels a year earlier.

Capital Expenditure

By industry



Source: ABS, Macrobond, Westpac Economics



What does this mean for next week's National Accounts?

Today's result points to a downside risk to our Q2 2026 GDP nowcast, although the drag on activity is

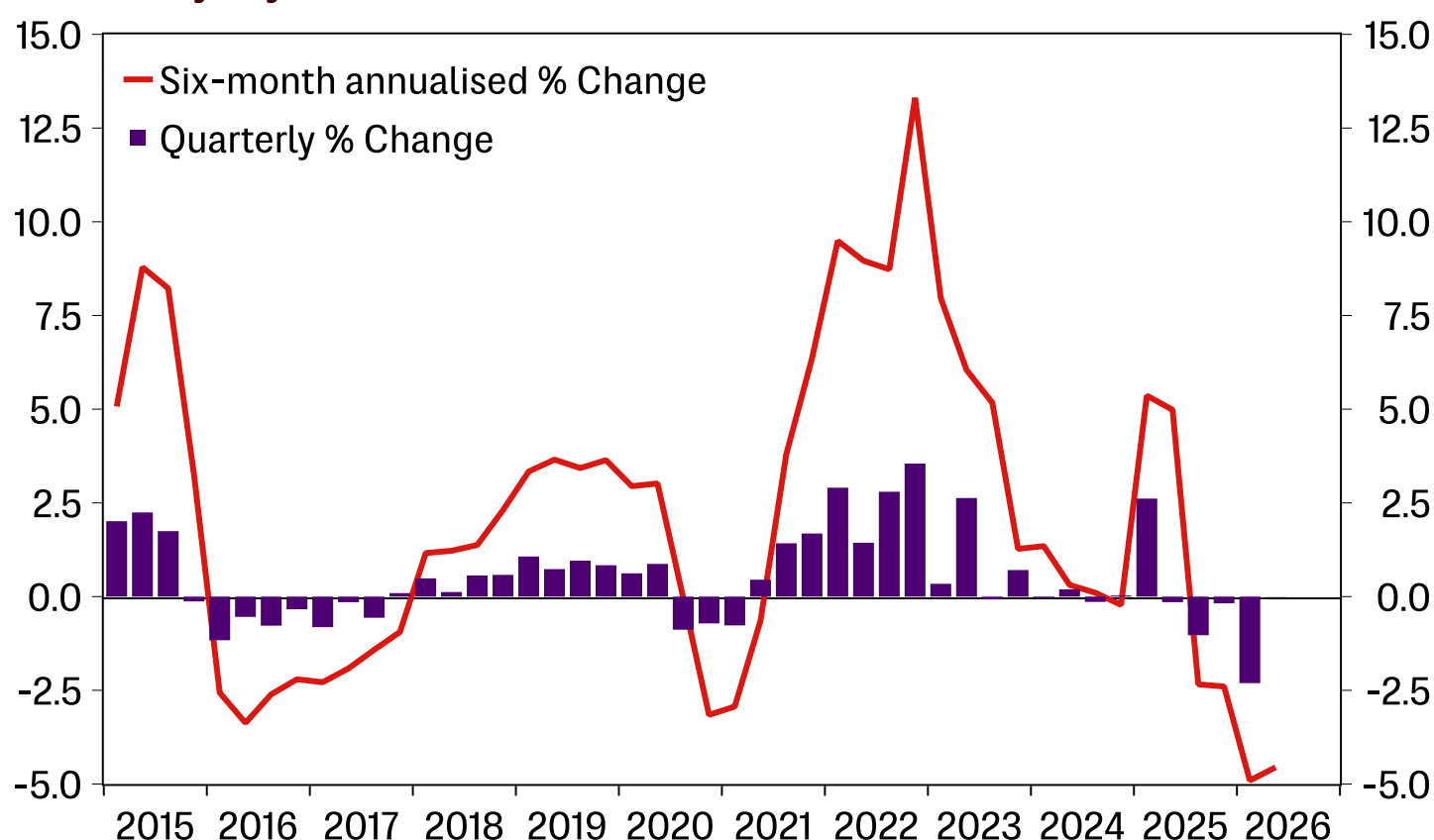
likely to be less pronounced than the headline capex figure suggests. The weakness was concentrated in the import-intensive machinery and equipment component of information media and telecommunications, much of which would net out of GDP. Excluding that segment, total capex rose 2.6%qtr.

What about inflationary pressures?

Capex price pressures have re-emerged, with the headline deflator rising 1.0%qtr following a 1.1%qtr decline in the March quarter. The machinery and equipment deflator was flat in Q2, ending a year of consecutive declines, although it remains down 4.6% in six-month annualised terms. The modest reacceleration in prices likely reflects a reduced disinflationary impulse from imported capital goods. ADP equipment imports fell 26%qtr in Q2, limiting the pass-through of lower-priced imported equipment that weighed on prices over H1 2026.

New Machinery and Equipment Price Index

Seasonally Adjusted



Source: ABS, Macrobond, Westpac Economics



Industry detail

Mining capex supported the headline, rising 1.6%qtr. Machinery and equipment led the increase, up 5.4%qtr, while buildings and structures were broadly flat, down 0.1%qtr. Non-mining capex fell 5.3%qtr but remains 13.8% higher over the year. The decline was driven by machinery and equipment, down 11.3%qtr, while buildings and structures rose 3.3%qtr.

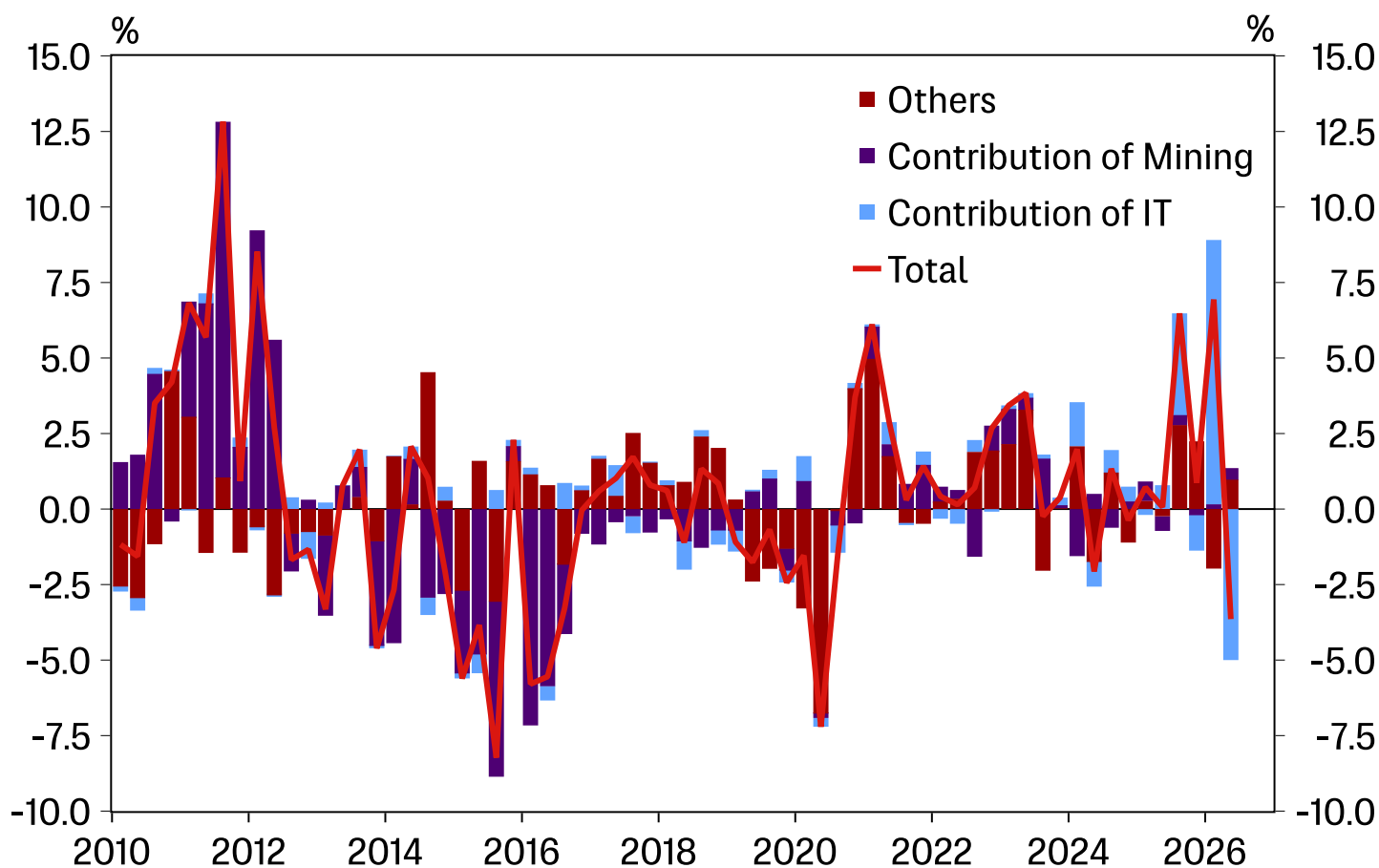
As anticipated, information media and telecommunications was the primary drag on the headline result,

falling 30.2%qtr, its largest quarterly decline since 2002. Leading indicators had been mixed, with 'other commercial building' approvals remaining elevated through H1 2026 while trade data pointed to a sharp pullback in ADP equipment imports. The divergence between asset classes remained clear. Buildings and structures rose 17.7%qtr, extending growth into an eighth consecutive quarter, while machinery and equipment fell 53%qtr, subtracting \$3.1bn from headline capex. The result highlights the volatility associated with large-scale data-centre investment. Despite the quarterly correction, total investment in the industry remains up 76.8%yr and the sector remains the second-largest source of capex behind mining, suggesting the broader data-centre build-out continues at pace. The sector's contribution to aggregate investment is increasingly reminiscent of the early stages of the mining investment boom, with movements in information media and telecommunications continuing to dominate overall capex outcomes.

Elsewhere, professional, scientific and technical services also weighed on the headline, declining 12.0%qtr. Machinery and equipment fell 16.3%qtr, partly offset by a 17.2%qtr rise in buildings and structures. Offsetting some of this weakness, transport and construction recorded strong gains of 16.5%qtr and 16.1%qtr respectively. In both industries, machinery and equipment outperformed while buildings and structures were weaker.

Electricity, gas, water and waste returned to growth, rising 5.5%qtr following a 6.3%qtr decline previously. Buildings and structures increased 7.8%qtr, while machinery and equipment fell 14.1%qtr. The ABS attributed the rise to the commencement of several large projects during the quarter. The sector is likely to remain supported by the energy transition and growing infrastructure requirements associated with expanding data-centre capacity.

Contributions to Capex Growth



Source: ABS, Macrobond, Westpac Economics



Capex spending plans

Alongside the capex data, the ABS also publishes businesses spending plans for this financial year, which allows us to assess how the capex spending is likely to evolve over the coming quarters. Usually, those plans tend to have a bias, with companies first estimates usually erring on the side of caution. Over time, business tend to revise their plans higher. We apply a methodology, that takes historical ratios of plans to actuals alongside business conditions which allows us to derive a more realistic capex estimate in the year ahead.

Full-year nominal FY2026 spending came in at \$210bn, exactly in line with our expectations. A somewhat stronger-than-expected deflator saw real capex growth come in at 10.2%yr, slightly below our 10.7%yr forecast.

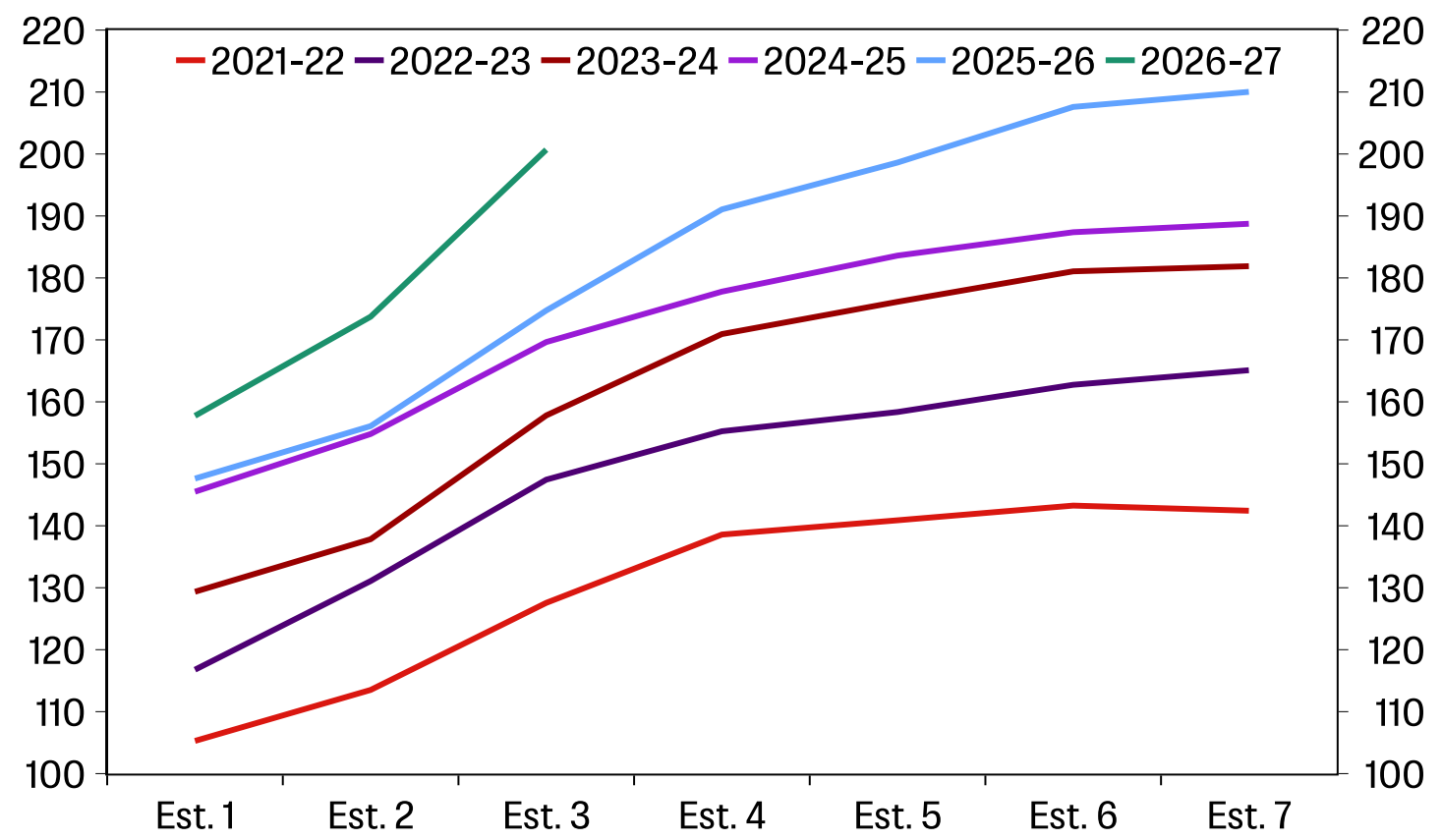
Estimate 3 for FY2027 was \$201bn, above our expectation of \$195bn. The improvement comes alongside a marked recovery in business confidence through Q2. Estimate 3 recorded 14.8% above the equivalent estimate a year ago and 15.5% higher than Estimate 2. Based on the historical profile of estimates, this implies nominal capex of around \$247bn in FY2027, representing growth of 17.9%yr.

Price effects continue to appear contained, with the capex deflator flat in year-ended terms. However, this largely reflects base effects following the sharp decline in prices earlier in 2026. While we expect the deflator to increase through FY2027, a still-elevated AUD and the import-intensive nature of data-

centre investment should keep price pressures relatively subdued. Combined with nominal growth of 17.9%yr, this implies real capex growth of around 16%yr, which would be the strongest outcome since the mining investment boom in FY2012.

Capex Spending Plans

Value, \$bn



Source: ABS, Macrobond, Westpac Economics 

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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26 August 2026

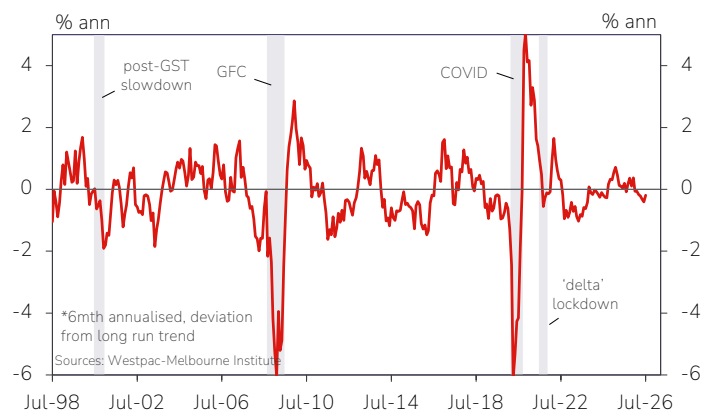
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate lifts to -0.2% in July from -0.4% in June.
- Momentum running below trend but not particularly weak.
- Detail shows main drag coming from financial conditions and labour market.
- GDP growth likely positive overall, close to flat in per capita terms.

Westpac-MI Leading Index



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Leading Index suggests growth a little less sluggish



Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, lifted to –0.2% in July from –0.4% in June.

The July update marks the seventh consecutive below-trend read on the Leading Index growth rate. That said, momentum has improved a touch since mid-year with the latest monthly read of –0.2% only marginally below ‘trend’. This compares with the two-year stretch of below-trend reads in 2022–24 which saw an average read of –0.4%, ranging as low as –1.0%. All up, the latest Leading Index points to an economy that is soft, but not particularly weak. GDP growth likely to still be positive overall in coming quarters but perhaps running close to flat in per capita terms.

The detail shows the sub-trend Leading Index growth signal is mainly coming from financial conditions and the labour market. The headline growth rate of –0.2% reflects a –0.2ppt drag from ‘financial market’ components (the S&P ASX200 and the yield spread) and a further 0.2ppt drag from ‘labour market’ components (total hours worked and consumer unemployment expectations). Contributions from other components are more mixed, with a slight drag from wider consumer sentiment and commodity prices but slightly bigger (but still small) positives from dwelling approvals and US industrial production.

It’s a similar story when we look at how the signal has shifted since the start of the year. The Leading Index growth rate has slowed from –0.06% in January to –0.20% in July, a 0.14ppt deterioration. The single biggest component contributing to this has been the yield spread where sharply higher short-term interest rates, mainly due to the RBA cash rate increases, have driven an abrupt narrowing that has taken –0.33ppts off the Index growth rate. Labour market components have taken an additional 0.11ppts off the Index growth rate with a retracement in commodity prices (in AUD terms) taking off another 0.19ppts. Against this, the growth pulse has seen some modest support coming from US industrial production (+0.26ppts); dwelling approvals (+0.15ppts); and slightly less downbeat reads on the Westpac–MI Consumer Expectations Index (+0.07ppts).

The Westpac–Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

Stepping back, the component contributions and changes over the last six months have been relatively small by historical standards. Meanwhile, the most substantive change – the drag from an abrupt narrowing in the yield spread – has largely run its course with the RBA’s shift from active monetary tightening to a ‘hawkish hold’ set to see a mechanical moderation in this specific drag in the months ahead. All else being equal that should see momentum improve a touch but, absent some other developments, the overall picture looks likely to be one of soft growth and an economy that is lacking direction either way.

The Reserve Bank Monetary Policy Board next meets on September 28–29. We expect it to again leave the cash rate unchanged but reiterate that it is prepared to hike again if high inflation is showing signs of being more persistent. While not the Bank’s primary consideration, the soft growth picture coming from the Leading Index and other measures will be of some comfort to the Board. On the one hand, it suggests demand is continuing to come more into line with supply capacity. However, the moderate slowing also points to an underlying resilience. Whether the pace of softening is enough to ensure a timely moderation in inflation back to the 2–3% target range is the key question.



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Higher long bond yields stem from more than just one thing

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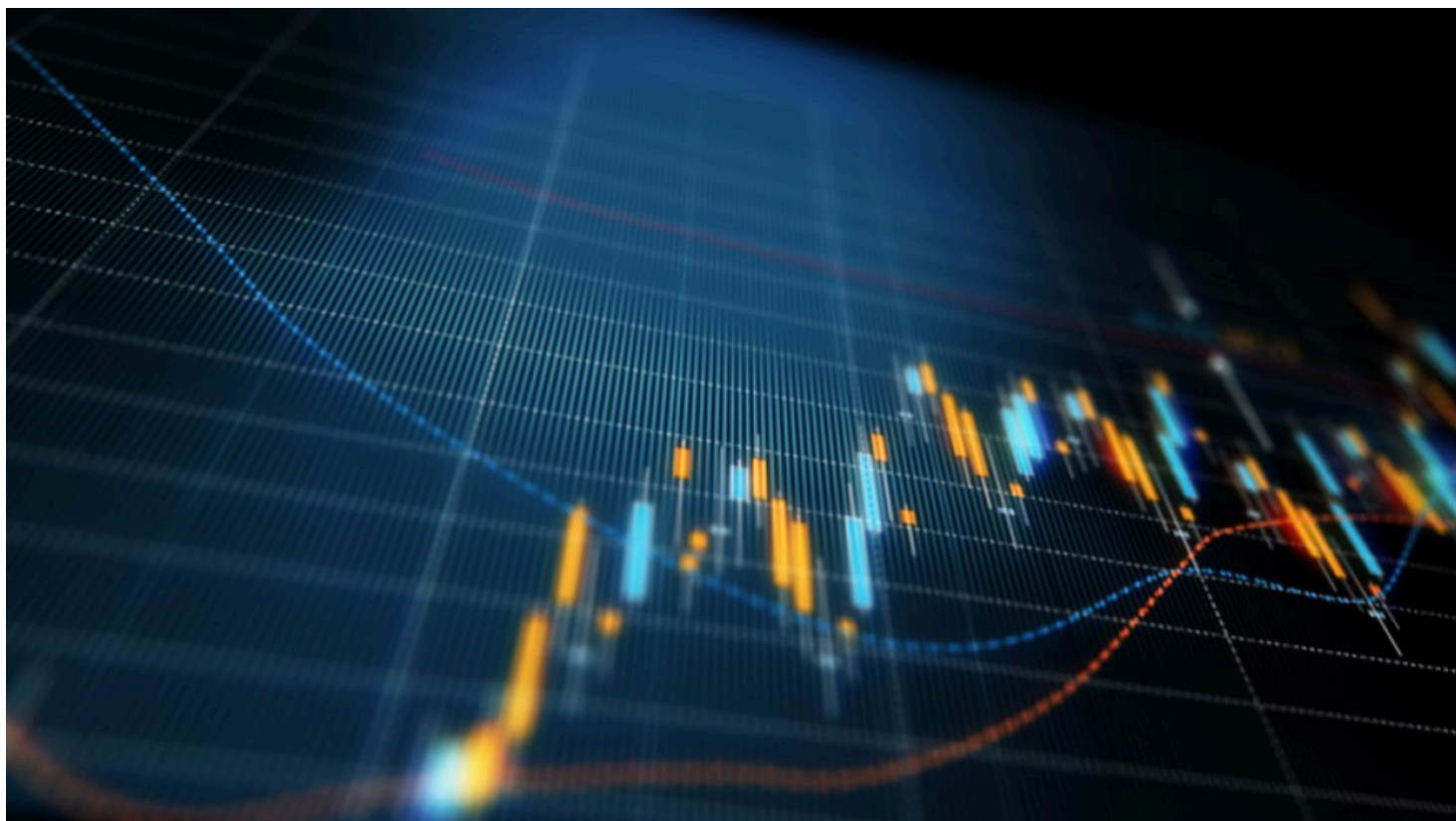
By Luci Ellis

Chief Economist Westpac Group, Westpac

10:32 August 21 2026

Share

AI-related investment and US fiscal incontinence add to the existing tendency for the global rates structure to average higher than pre-pandemic. Expect more US government action to contain debt-servicing costs.



- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity

in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.

- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted two years ago. As we highlighted at the time, a range of forces have been pushing “neutral” rates higher, along with the structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a “term premium”. The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet’s super-sized \$A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the \$A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia’s, also start looking attractive. To this we must add that Japan now looks to be becoming a “normal” economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that There Is No Alternative to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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July CPI – Inflation boosted by end of year price resetting

#inflation

#australia

#rba

#economicbulletinsaustralia

#inflation

By [Justin Smirk](#) & [Neha Sharma](#)

16:04 August 26 2026

 Share

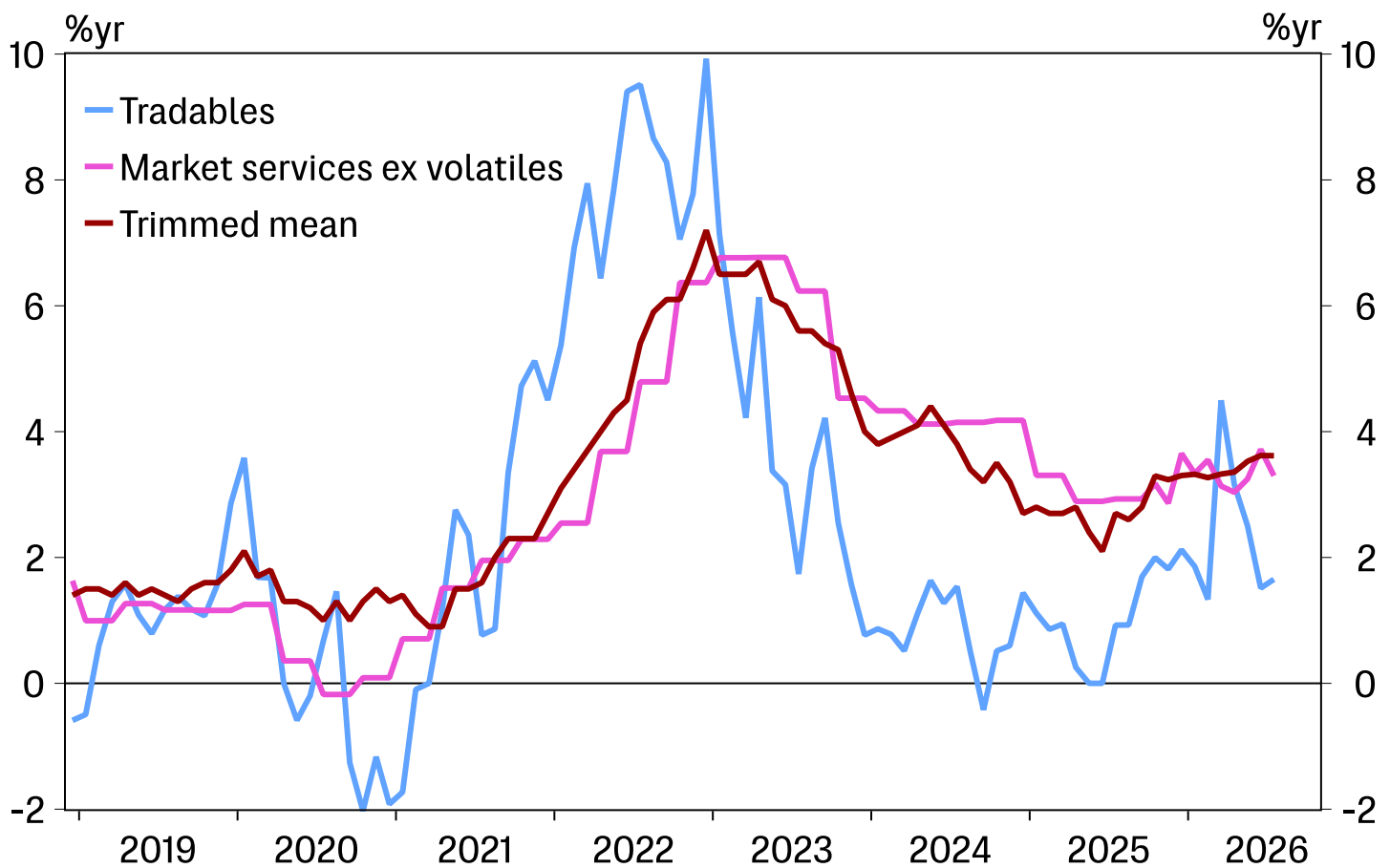
July Monthly CPI: Headline 1.0% $\text{mth}/3.5\%\text{yr}$, Trimmed Mean 0.5% $\text{mth}/3.6\%\text{yr}$. Market services ex volatile 0.9% $\text{mth}/3.3\%\text{yr}$.



- The CPI rose 1.0% in July, stronger than Westpac expectation of 0.8% and market expectation of 0.9%. This saw the annual pace ease to 3.5% yr from 3.8% yr due to base effect of a stronger print a year earlier.

- Trimmed Mean (TM) inflation rose 0.5%_{mth} compared to Westpac's expectation of 0.4%_{mth} with the annual pace holding flat at 3.6%_{yr}. Both Westpac and the market were expecting a 3.5%_{yr} pace.
- Market services excluding volatiles increased 0.9%_{mth}/3.3%_{yr}. This core measure of domestic inflation eased from 3.7%_{yr} in June but still holding above the 3%_{yr} pace overall. We need confirm if the outsized increase this month was a one-off due to the larger than expected increase in award/minimum wage or is it something more fundamental.
- Dwellings and rents were as expected, underpinning the trimmed mean. The upside surprises were mostly in durable goods (motor vehicles, clothing & footwear, household appliances, furniture & furnishing, audio visual & computing equipment) while household services (restaurants, domestic travel, other recreation activities, other services in respect of motor vehicles) made significant contributions.
- Domestic inflationary pressures remain elevated. The question is just how much is due to post financial year price adjustments and how much is a sustained increase in underlying inflationary pressure. The monthly CPI does not provide enough information to confirm this in either direction.
- Housing costs (rents and dwellings) remain well contained despite the stronger than expected increase in utilities. Nevertheless, there is some concern with market services coming in on the high side. This means the RBA will continue its hawkish rhetoric.
- However, both the labour market and wages are softer than what the RBA expected so while the risk of a November rate hike remains, this is not our base case and we expect the RBA to remain on hold this year.

Inflation: analytical measures



Source: ABS, Macrobond, Westpac Economics



July CPI in more detail

After back-to-back declines (-0.7% in May and -0.1% in June), the July CPI rose 1.0% (1.0% mth) and 3.5% yr, above both our forecast and market expectations of 0.8% and 0.9% respectively. The six-month annualised pace (of the seasonally adjusted CPI) is running at a solid 3.9% yr pace, the fastest pace in the very short history of this series (from April 2024).

Meanwhile, core measures of inflation were also stronger than expected. TM inflation rose 0.5% (0.49% mth) and 3.5% yr, on par with the strongest monthly read in the series' history. The result was also stronger than both our and the market's expectations of 0.4% and 3.5% yr.

The largest contributors to the monthly headline read were automotive fuel (0.3ppts), domestic holiday & travel (0.2ppts) and audio, visual & computing equipment which saw a 7.7% jump contributing 0.1ppt. There was also a larger than expected increase in alcohol & tobacco of 1.2% but the contribution was just 0.08ppt. The largest detractor in the month was international holidays which unexpectedly fell 2.5% mth , shaving off 0.1ppt.

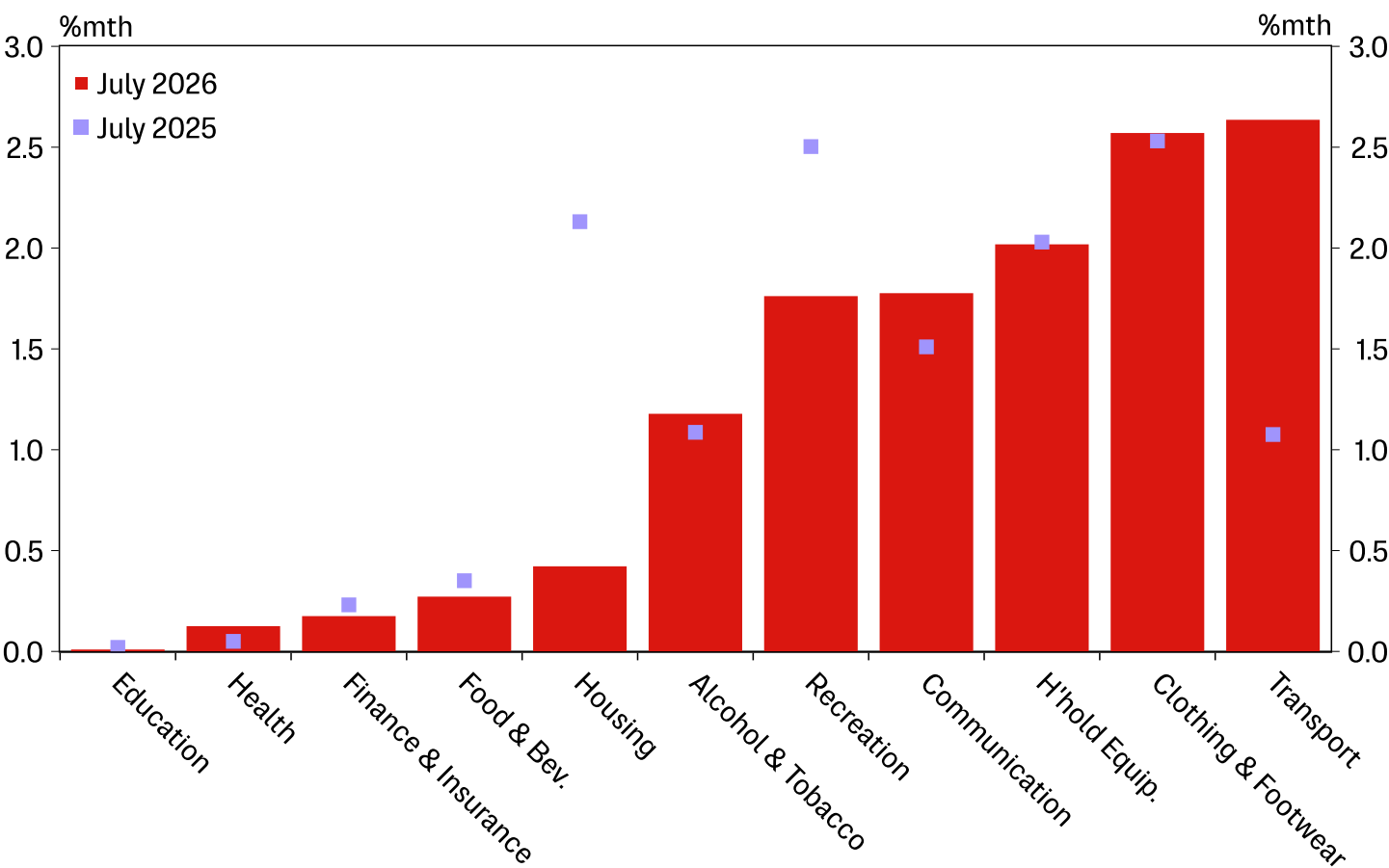
Market services excluding volatiles and holiday travel was up 0.8% mth against our expectations of 0.5% mth . We expected a strong number given the higher-than-expected minimum wage decision and survey measures suggesting stronger labour cost pressures, but the result exceeded even this.

Some key drivers of market services in the month included restaurant meals (1.2%*mt*h), clothing repairs (1.0%*mt*h) and audio, visual and media services (0.7%*mt*h). Some components of recreational services also recorded above 1.5%*mt*h reads. The key downside surprise here was insurance, which rose 0.2%*mt*h following the 0.3%*mt*h decline in June. More broadly, all but one component of market services (ex-volatiles & holidays) are running above the RBA's target band on a year-ended basis.

New dwelling costs came in line with expectations rising 0.4%*mt*h, with the year-ended pace softening slightly to 5.7%*yr*. We expect the disinflation to progress slowly here with above-average price changes by trade material suppliers. But a sustained downturn in established market will limit developers' pricing power. Rents were slightly stronger, lifting 0.4%*mt*h/3.6%*yr* against our expectation for a 0.3%*mt*h/3.5%*yr* rise; the seasonally adjusted rise was 0.3%*mt*h. The strength is consistent with tight vacancy rates. We continue to closely watch housing costs as they are an important driver of core domestic inflationary pressure.

More broadly, the breadth of inflation widened in July with the share of the basket running above 3%*yr* lifting slightly to just above 45% from 43% in June and 42% a year ago. We also saw the share running below 2%*yr* fall to 37% from 42% in June so we can't deny it is possible that inflationary pressures are picking up.

Monthly CPI by Category



Upside surprises

- Household textiles was the key surprise rising 11.5%mth vs 2.9%mth. This is more noise than signal, reflecting bounce-back from a changed timing of sales periods and discounting.
- Audio, visual and computing rose 4.2%mth against expectations of a 0.9%mth rise. Equipment was the key miss (7.7%mth vs 1.5%mth), but services also surprised 0.7%mth vs 0.3%mth).
- Domestic travel rose 6.2%mth vs 3.0%mth.
- Automotive fuel rose 7.5%mth following the partial unwinding of the fuel excise cut in July to 16c/l. We had expected a 5.1%mth rise.
- Restaurant meals rose 1.2%mth vs 0.8%mth.
- Therapeutic appliances rose 2.6%mth vs 0.4%mth, with dental services also surprising 0.9%mth vs 0.5%mth.

CPI Item	Qtr CPI		Monthly CPI		
	Sep-26 % qtr	May-26 % mth	Jun-26 % mth	Jul-26 % mth	Jul-26 % mth
Food	1.0	0.6	0.4	0.3	0.4
of which, bread & cereals	0.9	0.2	0.7	-0.3	0.0
of which, meat & seafood	0.7	1.1	-0.3	0.2	0.2
of which, dairy & related products	1.8	2.3	1.3	0.2	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	-0.8	0.6
of which, food products nec	0.4	-0.9	-0.2	0.0	0.6
of which, non-alcohol beverages	0.5	1.5	1.0	0.0	-0.3
Alcohol & tobacco	1.0	0.9	-0.5	1.2	0.4
of which, Alcohol	0.7	1.3	-0.7	1.2	0.4
of which, Tobacco	1.6	-0.1	0.0	1.2	0.3
Clothing & footwear	0.4	-2.9	-1.0	2.6	2.0
of which, garments	-0.6	-3.3	-3.1	3.2	2.6
Housing	1.3	0.5	0.5	0.4	0.3
of which, Rents	0.9	0.4	0.3	0.4	0.3
of which, House purchases	1.3	0.9	0.4	0.4	0.4
of which, Electricity	-3.6	0.9	0.7	-1.6	-4.4
of which, Gas & other fuels	6.8	-3.1	2.7	2.8	5.5
H/hold contents & services	1.0	0.3	-4.2	2.0	1.4
Health	-0.3	-0.5	-0.1	0.1	0.1
Transportation	1.0	-3.9	-2.7	2.6	1.9
of which, auto fuel	0.9	-11.9	-10.9	7.5	5.1
Communication	1.2	0.2	-0.7	1.8	1.5
Recreation	1.8	-3.1	1.8	1.8	1.9
of which, holiday travel	3.0	-6.9	4.6	1.8	3.2
Education	0.1	0.0	0.0	0.0	0.0
Financial & insurance services	0.8	0.2	0.5	0.2	0.2
CPI: All groups %qtr/%mth	1.0	-0.7	-0.1	1.0	0.8

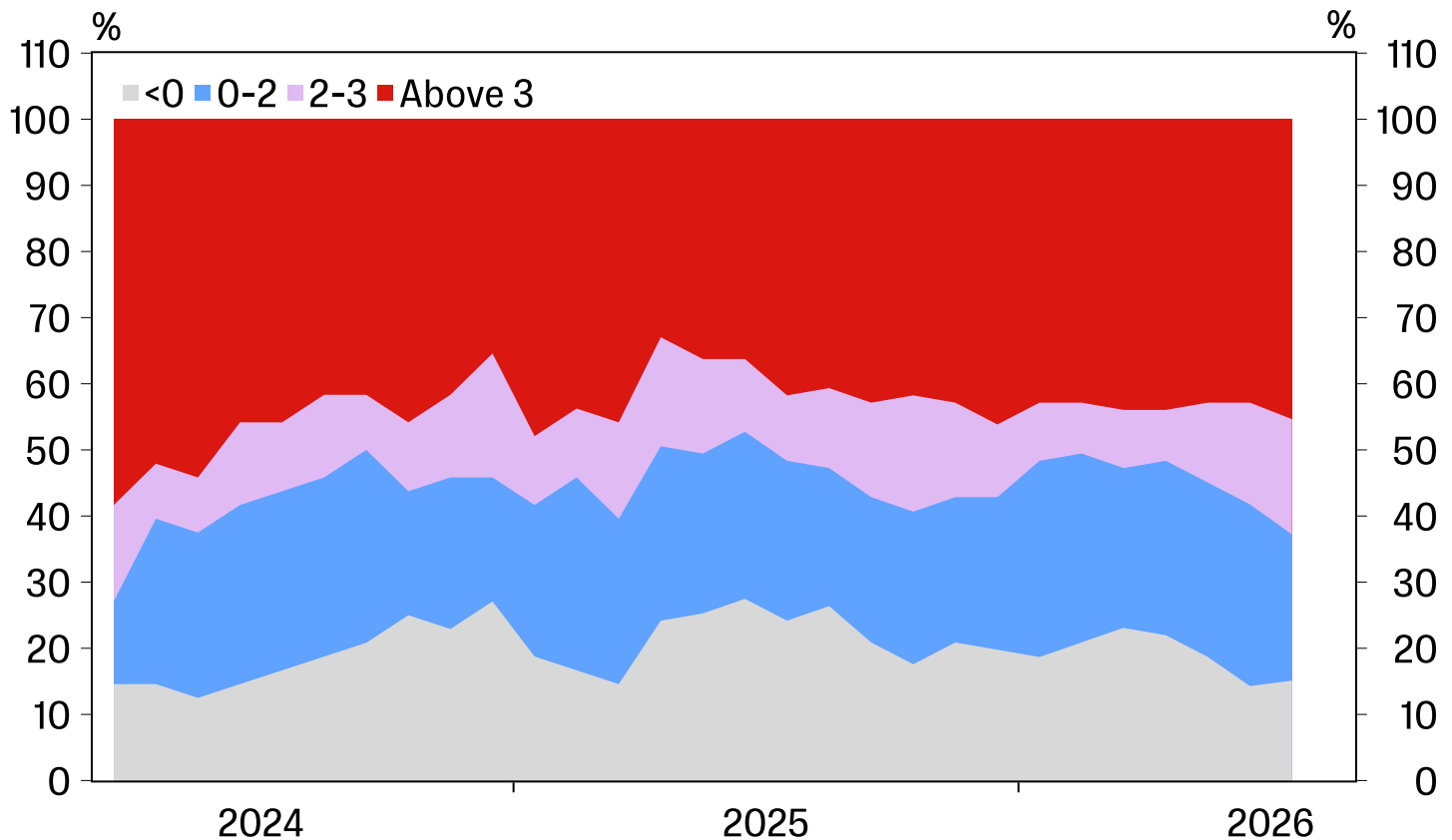
Downside surprises

- International travel was the key downside miss -2.5%*mth* vs 3.5%*mth*.
- Fruit & vegetables both fell -1.7%*mth* (0.3%*mth* exp) and -0.1%*mth* (0.8%*mth* exp), respectively.
- Insurance rose 0.2%*mth* vs 0.8%*mth*.

On face value, the July CPI presents an upside risk to our estimates for the September quarter inflation release but just how much is unclear at this stage. We are processing the more detailed data in today's release and will advise our readers of any changes in a more substantial note.

Inflation Sub-Categories

Year-ended, Share of Basket



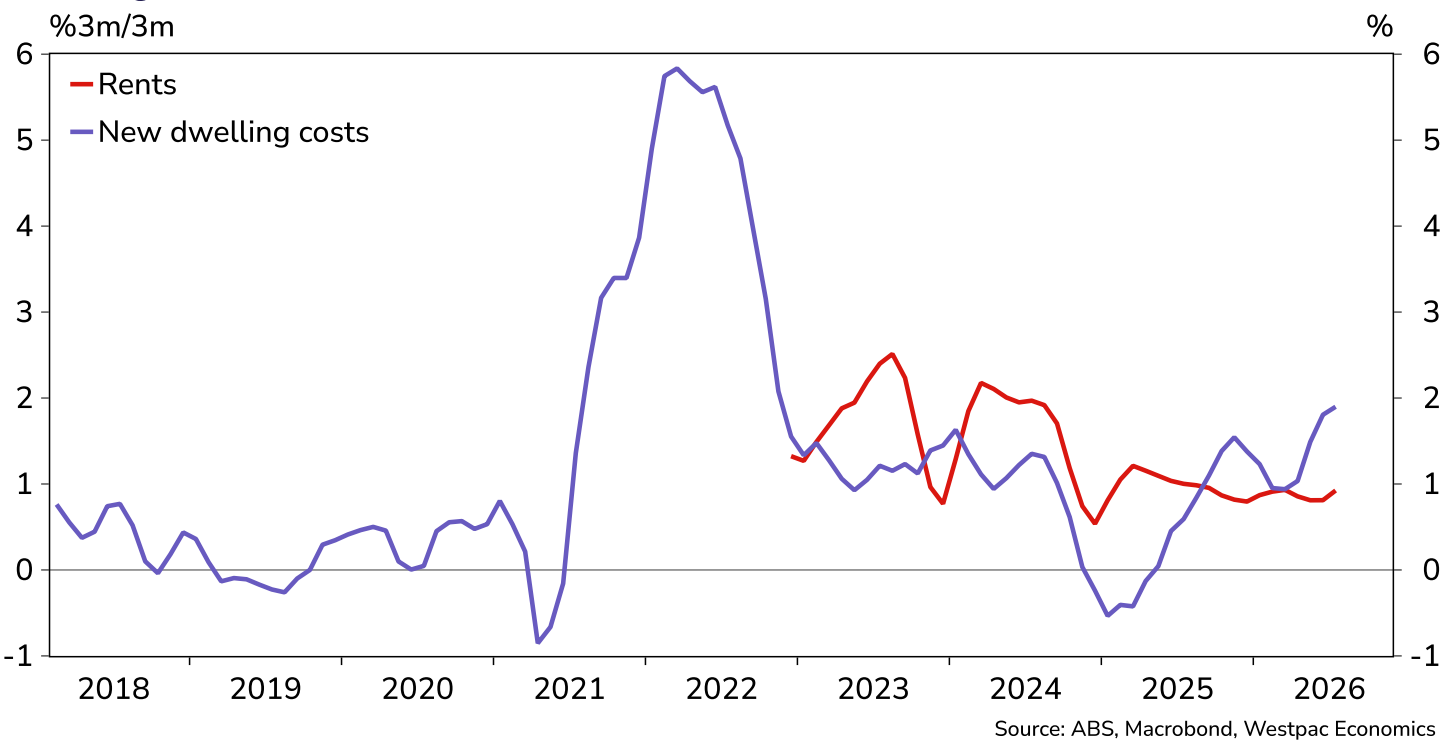
Source: ABS, Macrobond, Westpac Economics



What does this mean for the RBA?

An upside surprise in both headline and core measures of inflation will keep the RBA alert to the risks of domestic inflationary pressures and hence, they will maintain the hawkish rhetoric of late. However, one month is not a trend. The RBA will wait for a full update on core inflation from the September quarter CPI to get a clearer picture on just how much of today's surprise was due to firms adjusting prices to the larger than expected increase in awards/minimum rates of pay, and so a once-off adjustment, and how much is due to more fundamental inflationary pressure. As such, we maintain the view that while a November rate hike remains a risk, we do not see it as our base case.

Housing-related inflation



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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

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In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

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Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

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E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

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Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Cliff Notes: a cautious turn

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By [Elliot Clarke](#)

Head of International Economics, Westpac

10:43 August 14 2026

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Key insights from the week that was.



This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by [Chief Economist Luci Ellis](#), the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, *if upside risks to inflation materialise*. This is more specific and narrower language than in May, when it

stated that the cash rate would be increased “if needed”.

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation ^{below} the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA's communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest Red Book.

On the data front, the July NAB business survey captured businesses' reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey's gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC's 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy ^{and shelter} was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday's nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to

build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on [Westpac IQ](#).

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Australian Business Conditions and Confidence, July

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By [Luka Belobrajdic](#)
Economist, Westpac

14:26 August 11 2026

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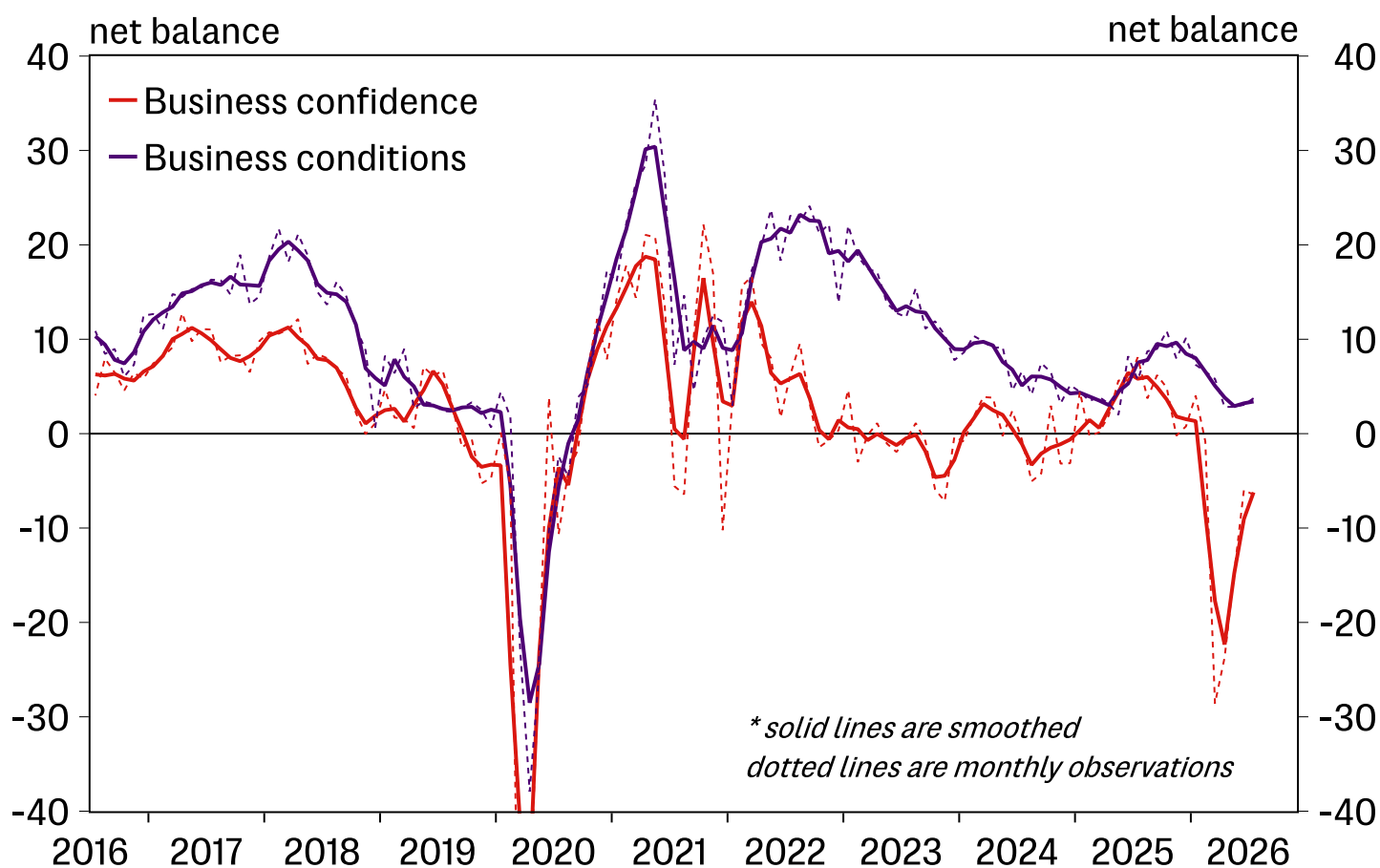
A re-escalation of the conflict in the Middle East sees the recovery in business confidence stall, while business conditions improve modestly. Confidence unchanged at -6 / Conditions +1pt to 4.



The July NAB Business Survey was in the field from 21 to 31 July, capturing businesses' reaction to the breakdown in the US-Iran Memorandum of Understanding and the brief spike in Brent oil prices above US\$100/bbl. Business confidence held steady at -6 in July, following a downwardly revised reading of -6 in June (-1pt), marking the first month since the onset of the conflict in which confidence failed to improve. While well above the low recorded in March, and showing a marked improvement on a three-month average basis, confidence remains deeply pessimistic, sitting 11pts below its long-run average and remaining in the bottom 10% of outcomes recorded since 1997.

The stagnation in business confidence likely partly reflects a reacceleration in cost pressures during the month. Final product price growth nearly doubled, rising 0.6ppt to 1.1%qtr, suggesting firms are seeking to rebuild margins following several months of subdued profitability outcomes. While still below the 1.8%qtr peak recorded at the height of the Middle East conflict in April, the result marks a renewed move above its long-run average (+0.6ppt). Meanwhile, input costs keep ramping up. Labour cost growth accelerated, rising 0.5ppt to 2.2%qtr, the strongest outcome since May 2024 and 1.0ppt above its long-run average. The increase likely reflects the full impact of the 4.75% increase in award wages. And purchase cost growth increased 0.2ppt to 2.3%qtr, remaining 1.1ppt above its long-run average.

Business conditions and confidence



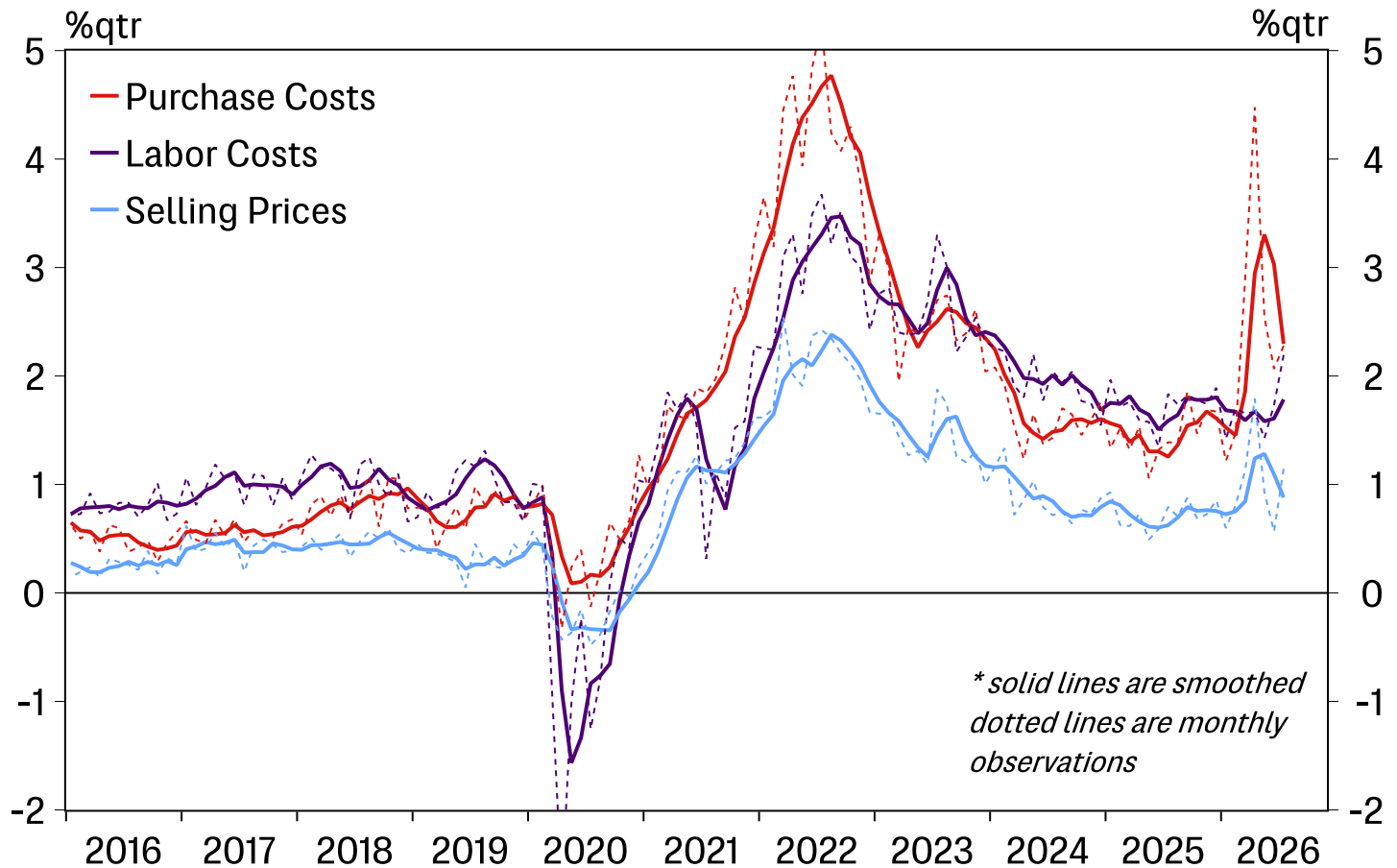
Source: NAB, Macrobond, Westpac Economics



The headline business conditions index improved modestly in July, rising 1pt to 4 after holding at 3 over the previous three months. Despite the improvement, conditions remain 3pts below their long-run average and well below the peak of 11 recorded in October last year. On balance, the result suggests businesses remain resilient despite the prevailing uncertainty.

Across the major sub-components, employment drove the majority of improvement in conditions, rising 2pts to 3 and more than reversing last month's decline. The result leaves the sub-index 1pt above its long-run average. The lift in hiring intentions comes despite a sharp increase in labour costs, suggesting firms are, for now, looking through the higher wage costs. Profitability rose 1pt to 1 after holding around 0 since March, indicating some improvement in margins, though the sub-index remains 4pts below its long-run average. Trading conditions were unchanged at 8 for a fourth consecutive month, consistent with [household spending data](#) showing spending has remained resilient despite ongoing headwinds facing consumers.

NAB Survey: Costs and Prices



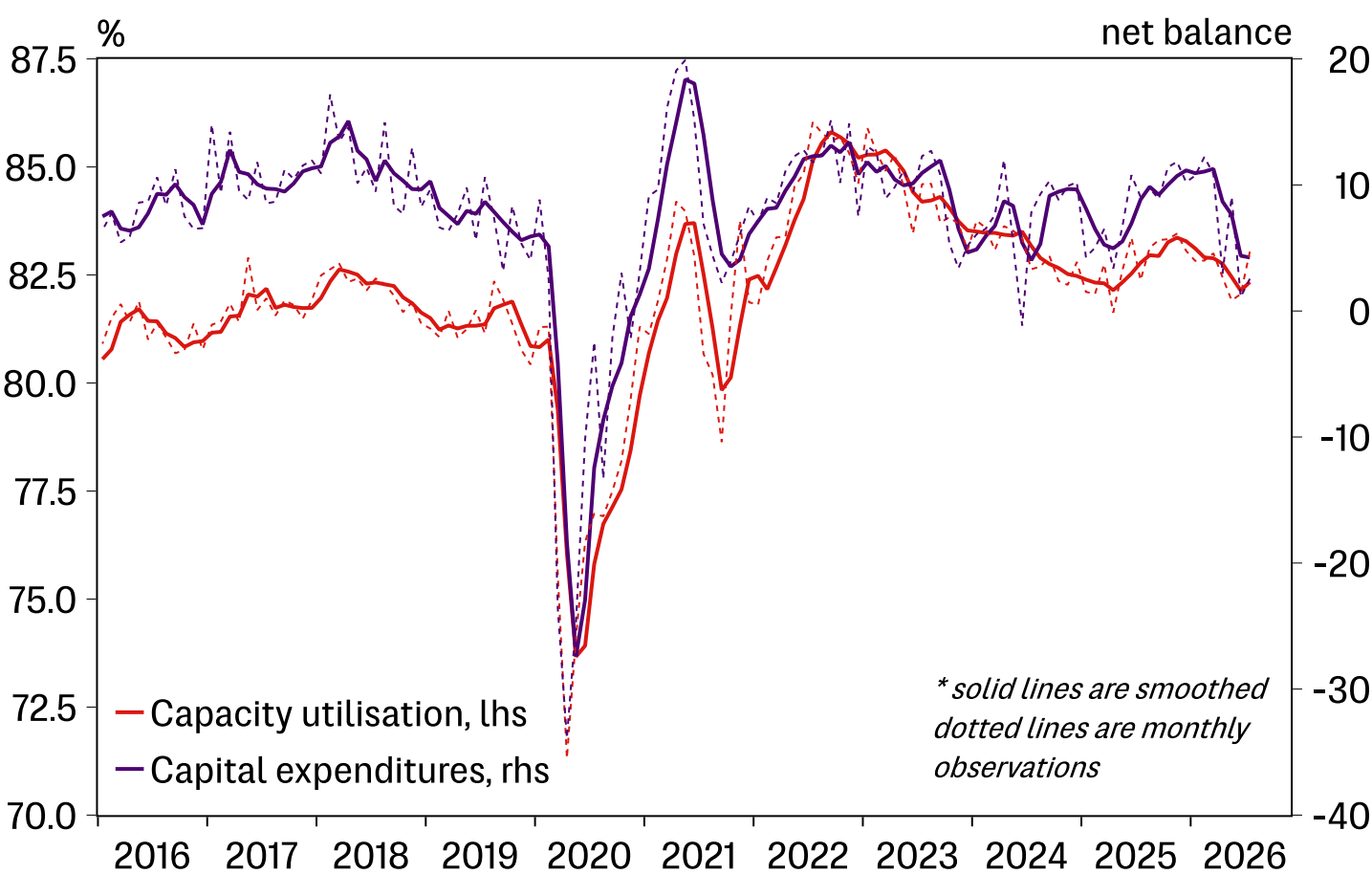
Source: NAB, ABS, Macrobond, Westpac Economics



Capacity utilisation rose sharply in July, increasing 1.0ppt to 83.0%, a level last seen around the turn of the year. The result sits 1.6ppt above its long-run average and marks the first increase in three-month average terms since November last year. While too late to influence today's RBA decision, the data points to an upside risk to the underlying inflationary pressures in the economy. Capital expenditure also rose modestly, increasing 1pt (rounded) to 3. However, this did little to unwind the sharp decline recorded in June, leaving the sub-index 4pts below its long-run average.

Among other indicators, forward orders fell 3pts to -3, highlighting fragility of demand amid ongoing uncertainty. Inventories declined by 1pt to 4, consistent with recently softer forward orders.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics 

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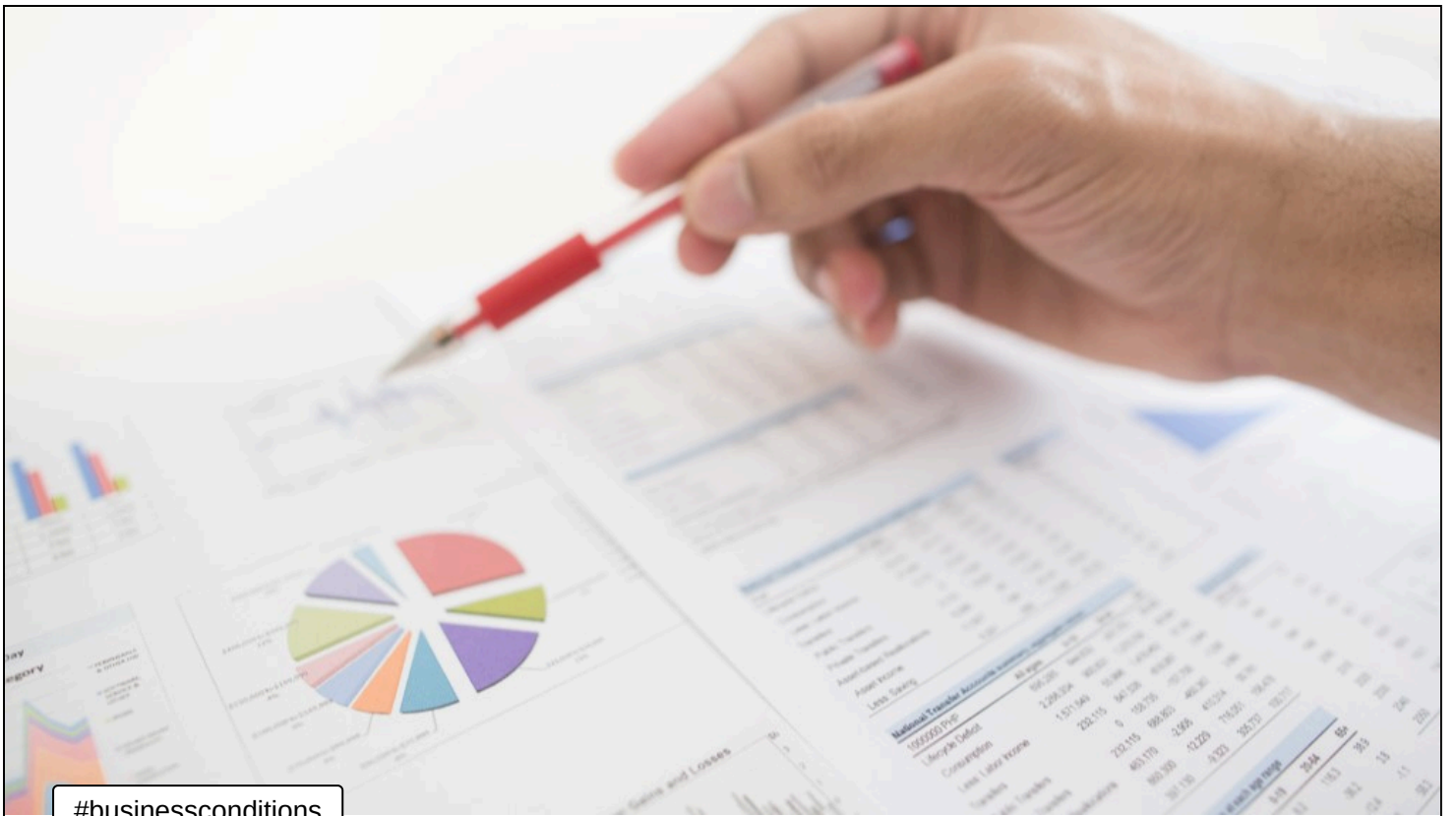


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Data centres and renewables plug the widening public infrastructure gap

#australia

#construction



By Pat Bustamante

Senior Economist, Westpac

14:51 August 26 2026

 Share

Construction activity declined 2.1%qtr in Q2 2026. Outside of mining-related volatility, activity remained solid, driven by residential building (+1.7%qtr), private non-residential building (+2.3%qtr, includes data centres) and electricity related construction (+7.5%qtr in nominal terms).

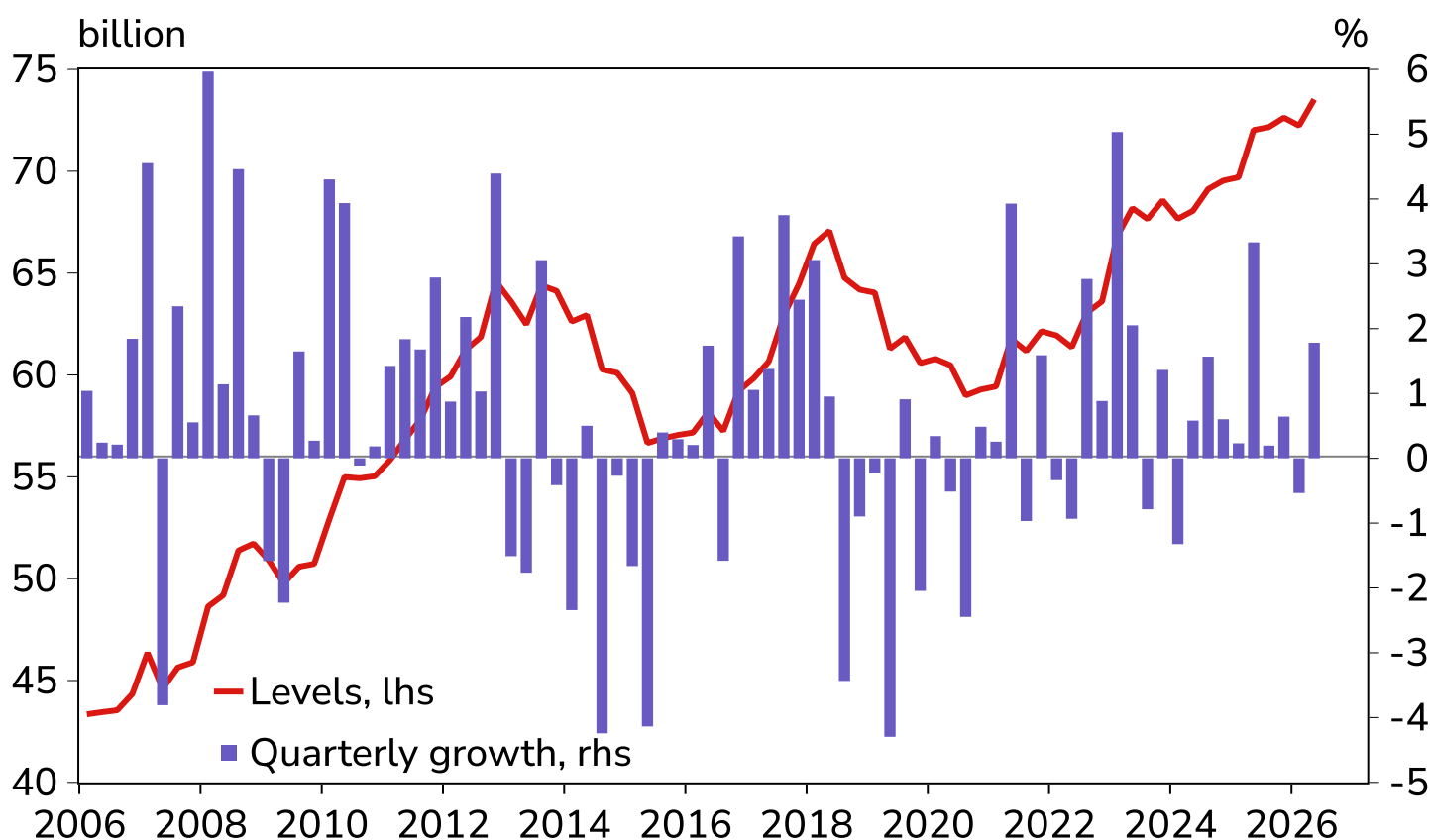


Construction activity declined 2.1%qtr in Q2 2026 to be 2.7% higher in year-ended terms. This was not far off the 1.0%qtr fall expected by Westpac Economics, but considerably weaker than the +0.4% growth expected by the market consensus. The weakness in the aggregate number was driven by the unwind of a mining related spike (related to the installation of a floating production unit for the Scarborough Energy Project in WA), which in turn was driven by the ABS' practice in this measure of recognising installed imported structures on a cash basis.

Outside of this, activity was solid, rising an estimated 1.6%qtr on the back of a 1.7%.qtr pickup in residential building and a 2.3%qtr lift in private non-residential building activity. Residential building is up 9.1% in year-ended terms – the strongest outcome in a decade (June quarter 2016). Supporting this residential activity, we saw the number of dwellings under construction lift 10.7% over the year to Q1, with the recent run of approvals suggesting smaller gains going forward. Public infrastructure work declined for a third consecutive quarter, down 2.1%qtr and 3.9%yr, consistent with our view that the infrastructure pipeline has passed its peak.

Underlying construction work done

Excludes WA Engineering construction. Chain Volume, \$bn.



Source: ABS, Macrobond, Westpac Economics

What does this mean for the National Accounts?

Today's release is the first of a set of partials which will feed into next week's June quarter 2026 National Accounts. While the headline numbers suggest downside risks for the Q2 GDP outcome, this is not the case - if anything, today's numbers alone point to stronger growth in residential and new buildings activity over the quarter.

Today's construction work data is recorded on a value of work done/installed basis. This means capital expenditure on machinery, equipment and structures is allocated to the quarter in which the capital items are ready for use. However, the National Accounts are measured on an accrual basis using 'progress payments', meaning the value of the investment is recorded incrementally as the project progresses not just when the project is complete.

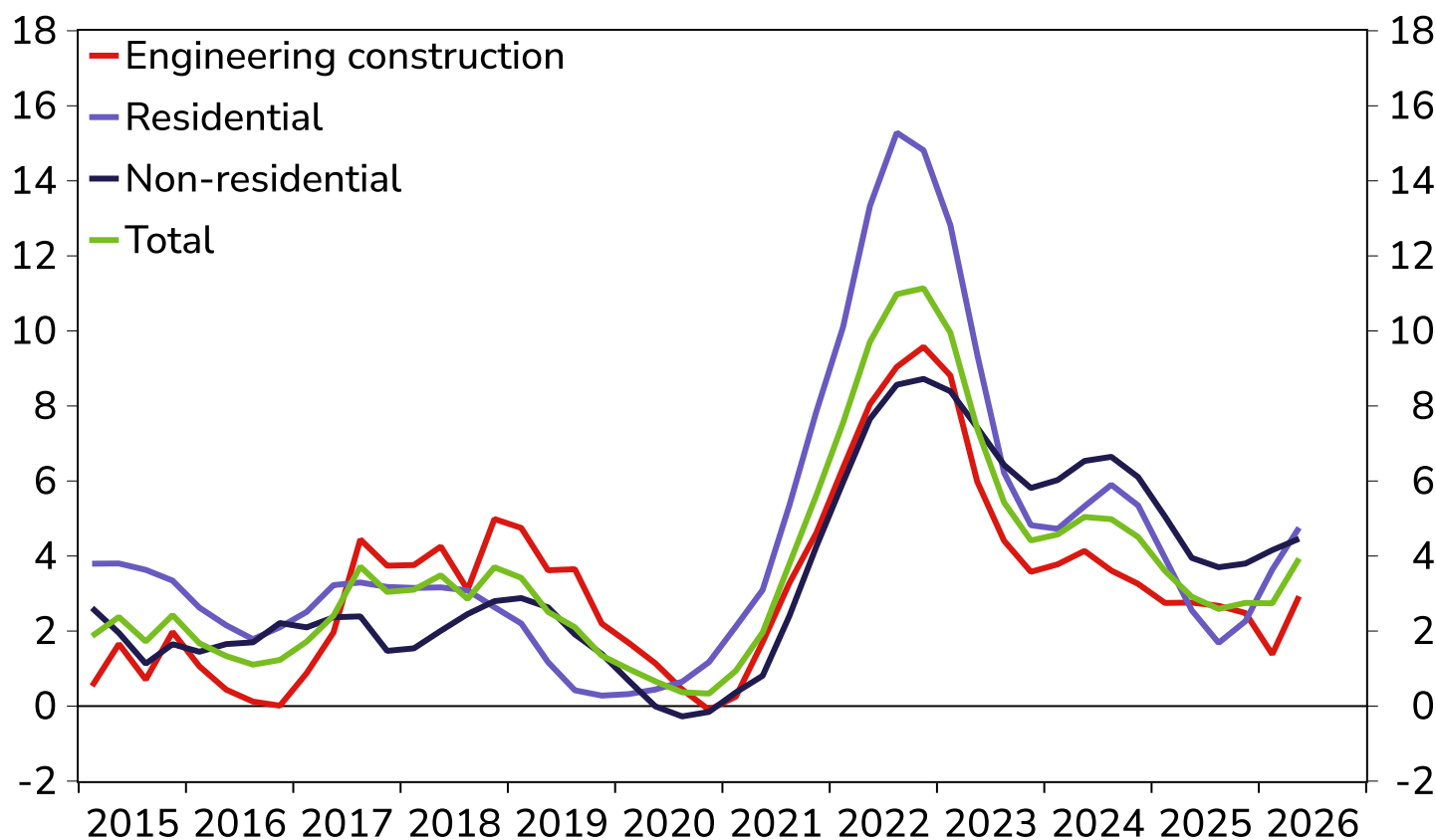
What about inflationary pressures and the impact of the data centre boom?

The spike in construction costs during the pandemic was largely synchronised across dwellings, non-residential buildings and engineering construction. Today, however, cost pressures differ as demand profiles across these segments diverge.

While rebounding in the quarter, possibly on the back of the large pick-up in new electricity generation and distribution work, engineering construction costs have been moderating as major public infrastructure programs wind down. In contrast, dwelling construction costs are accelerating as activity in this segment picks up. Non-residential building costs appear to be going sideways, rather than significantly reaccelerating, with strength in private investment, including data centres, offset by a slowdown in public projects.

Cost pressures firm

Year-ended % change



Source: ABS, Macrobond, Westpac Economics

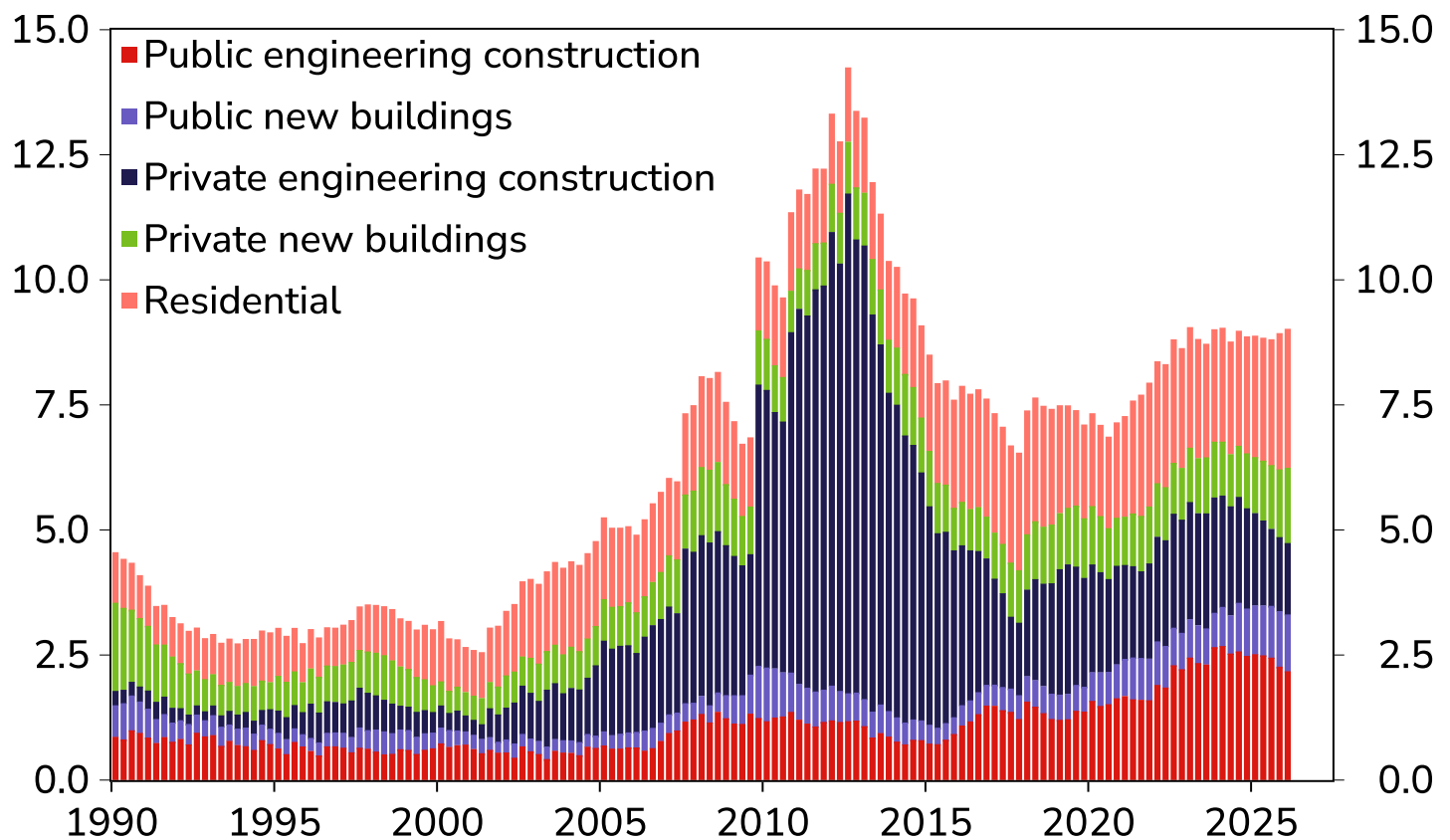
At 3.9%yr, aggregate construction cost growth is toward the upper end of what was recorded over 2018-19. This raises questions about whether the strong demand in pockets like data centre investment are contributing to broader inflationary pressures. For now, there is limited evidence of this

happening. However, construction cost deflators continue to firm in year-ended terms, suggesting that the disinflation anticipated by the RBA may take longer to materialise.

How this plays out going forward depends on how much the roll-off in public construction activity makes room for the pickup in private non-residential building work, particularly data centres, and private engineering construction associated with the renewable energy transition. Data on work yet to be done suggest this handover will keep the pipeline balanced: despite the substantial increase in approved data centre projects, the value of total construction work yet to be done has remained broadly stable as a share of nominal GDP.

Construction pipeline remains stable

Work yet to be done, % of GDP



Source: ABS, Macrobond, Westpac Economics

The detail

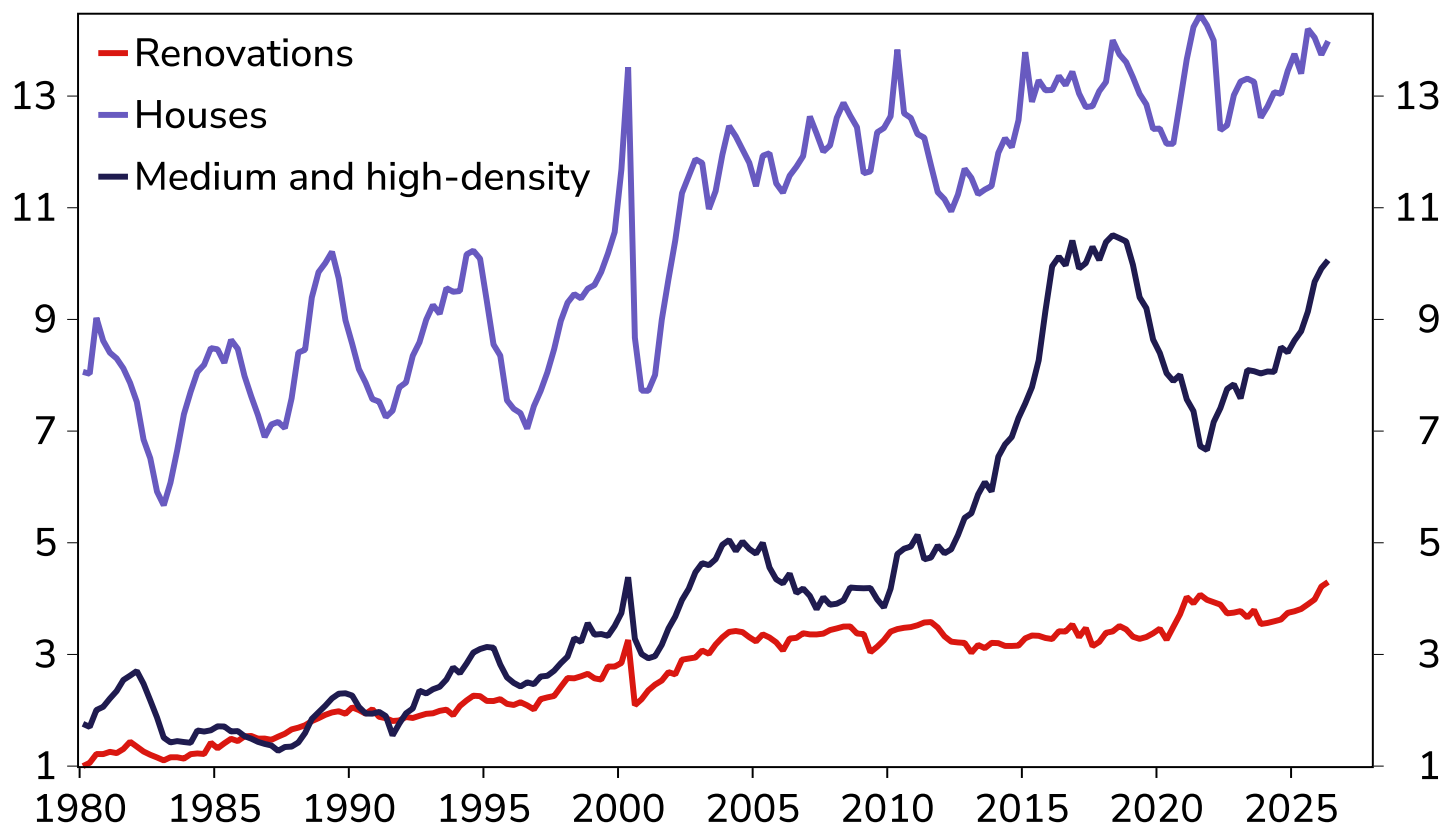
Residential construction outperformed, recording a 1.7%qtr increase in Q2, following an upwardly revised 0.6%qtr rise in Q1 2026 (previously estimated as a 0.6% fall). Growth was driven by a 1.7%qtr increase in new residential construction and a 2.0%qtr lift in renovation activity.

In year-ended terms, residential construction is up 9.1%yr, the strongest growth rate since the June quarter of 2016. This suggests the sector is responding to growing demand by expanding output, despite a prolonged period of elevated interest rates and ongoing cost pressures.

The strength in residential construction suggests supply is finally responding to Australia's housing shortage. However, with approvals easing and demand expected to moderate, the current pace of expansion may prove difficult to sustain, particularly given rising construction costs.

Residential construction continues to lift

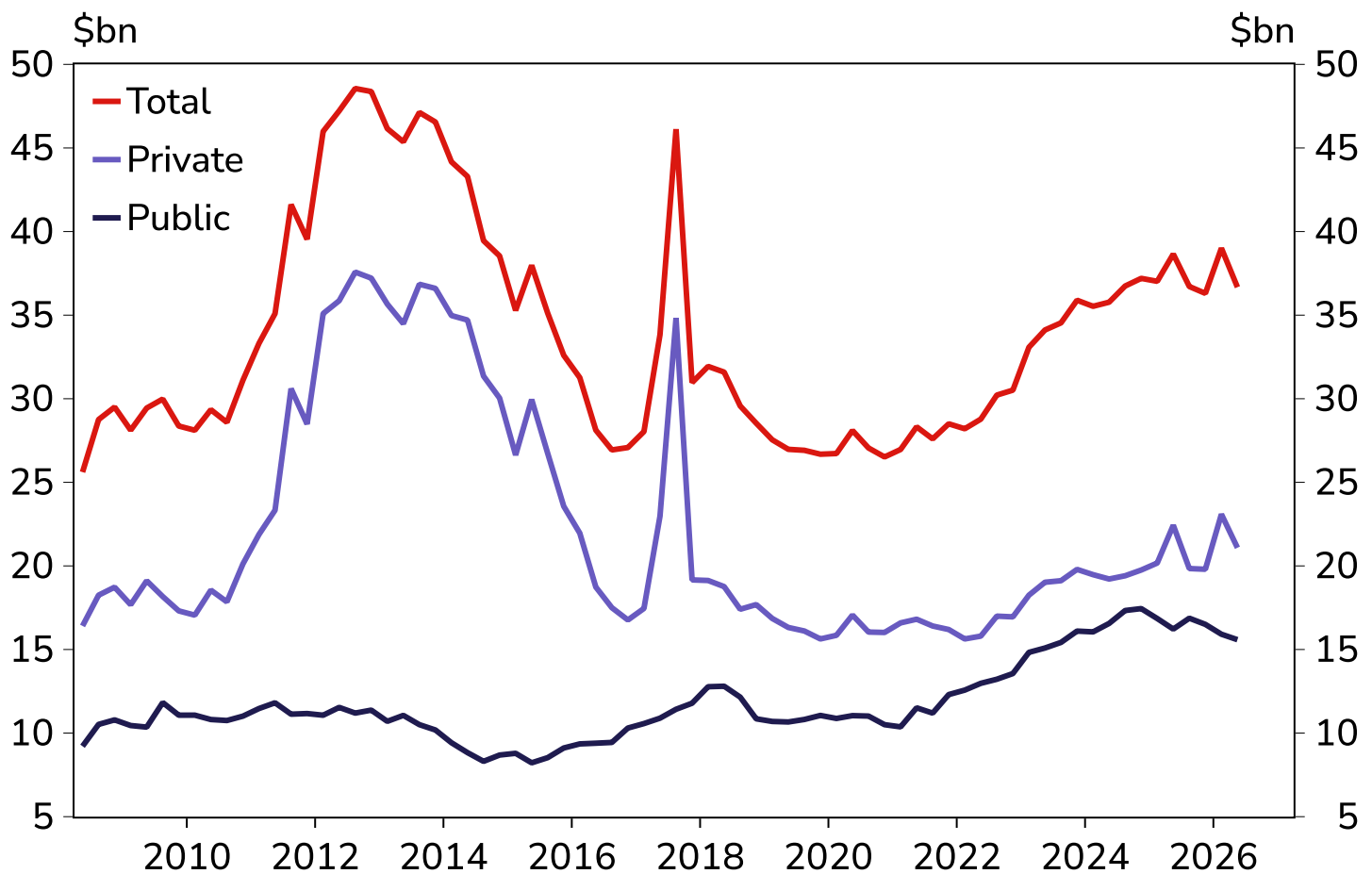
Chain Volume, \$bn



Source: ABS, Macrobond, Westpac Economics

Engineering construction (EC) declined 6.0%qtr in Q2 2026, leaving activity 5.1% lower in year-ended terms. However, this weakness largely reflected the unwind of a mining-related spike. Excluding this volatility, engineering construction grew a healthy 2.0%qtr in the quarter.

Public infrastructure continues to slide



Source: ABS, Macrobond, Westpac Economics

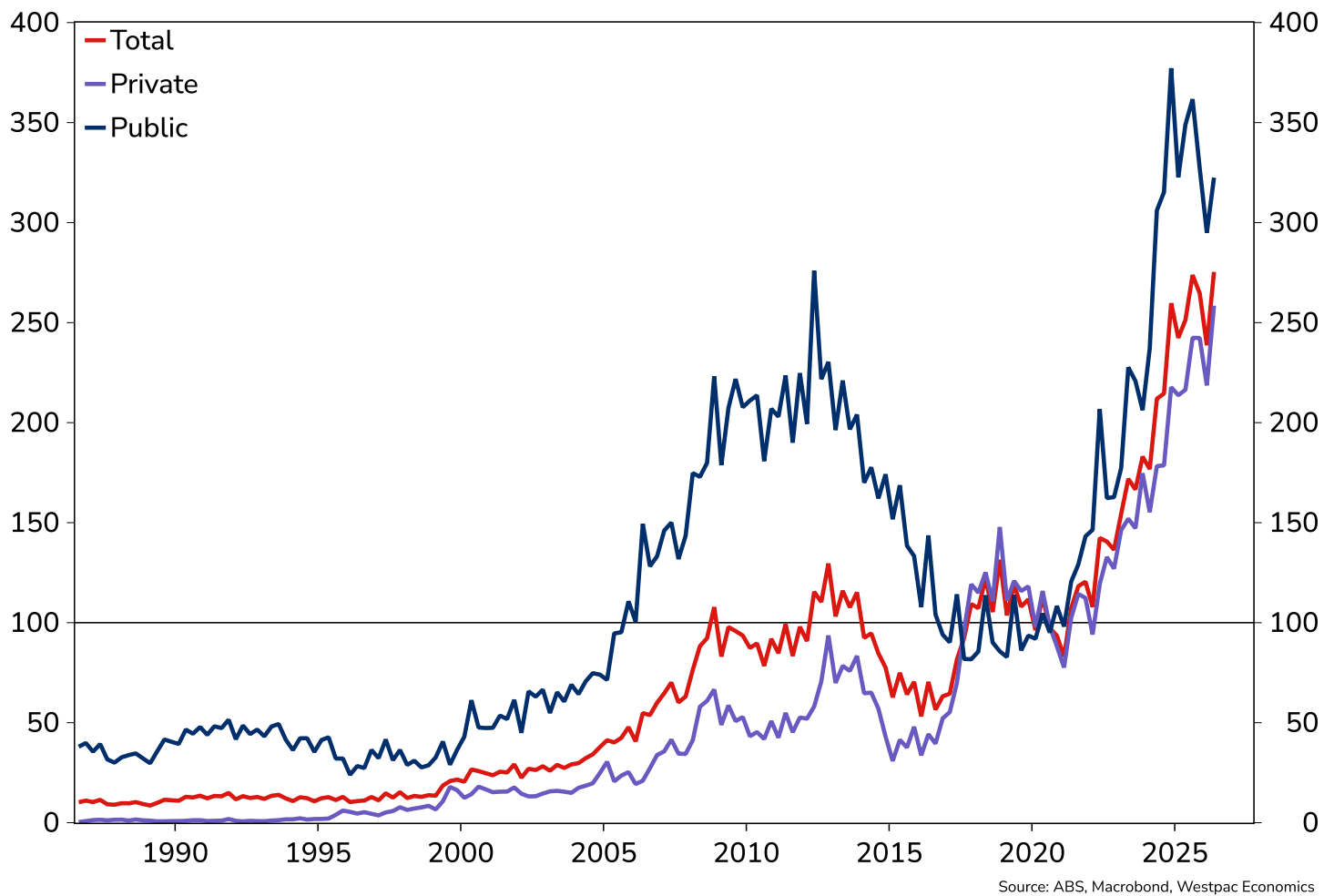
As foreshadowed in this month's *Market Outlook*, the public infrastructure pipeline appears to have passed its peak as major transport projects across Australia's east coast, particularly in NSW and Victoria, are completed. Consistent with this, public engineering work fell a further 2.1%qtr in Q2 and is now almost 4.0% lower than a year ago.

In contrast, private engineering construction remains robust. After adjusting for mining-related volatility, private EC work grew almost 6.0%qtr in Q2. The value of private work on electricity generation and distribution, which is largely driven by renewable energy projects such as wind and solar developments, increased by around 7.5qtr.

Looking ahead, the private engineering construction pipeline remains supported by structural investment themes, particularly the energy transition and the nationwide roll-out of data centres. However, constraints around utility provision, grid connections and supporting infrastructure pose a key risk to the timely delivery of these projects.

Electricity generation work done, by sector

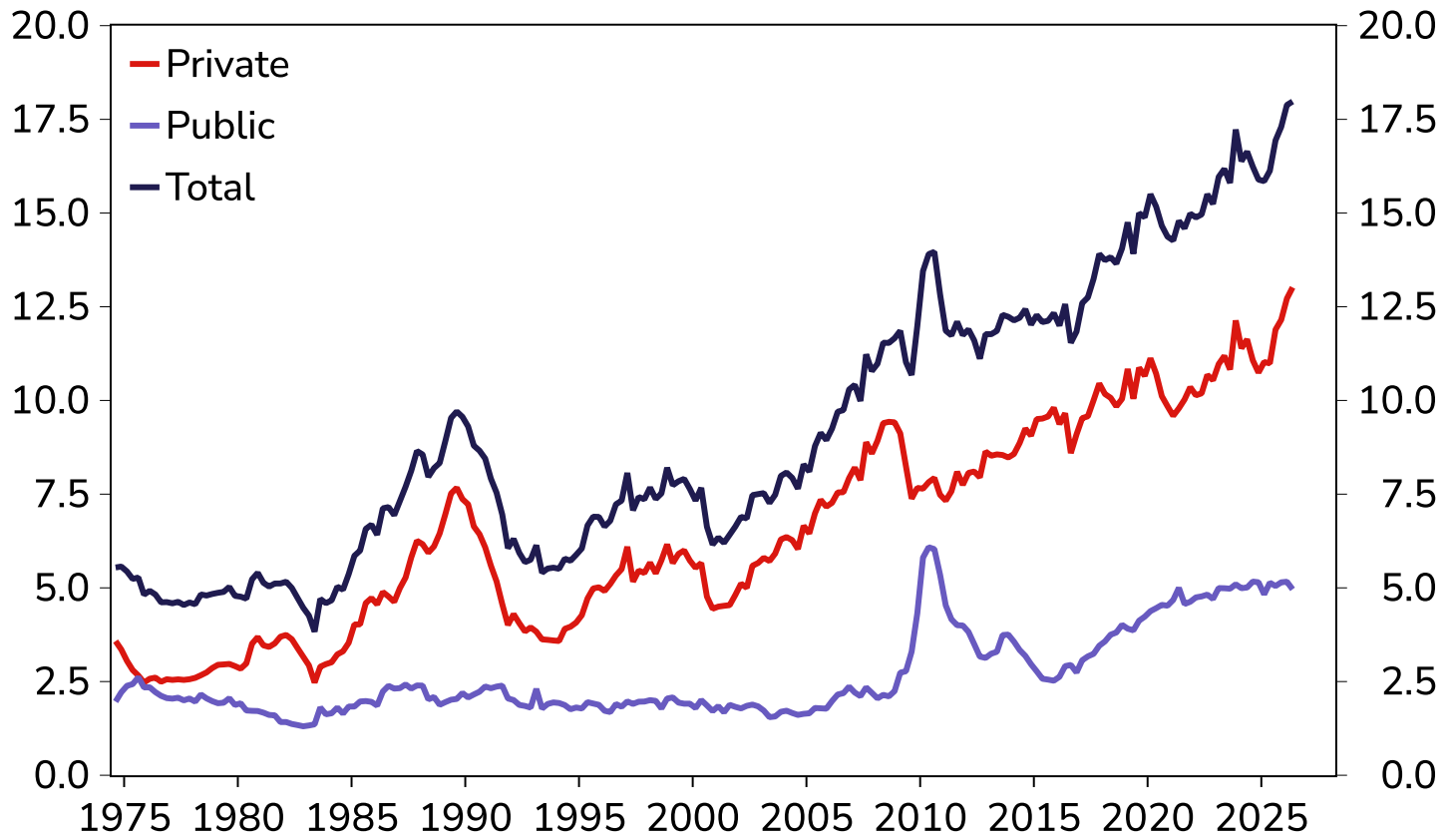
Index 2020 = 100



Non-residential building construction increased 0.5%qtr in Q2 2026, leaving activity 11.5% higher over the year. Strength in the private sector, up 2.3%qtr and 18.4%yr, more than offset a 3.9%qtr decline in public activity. Private non-residential construction is now running at its strongest level since early 2008, supported by the need to accommodate a larger population and the ongoing data centre build-out.

Non-Residential Construction Work Done

Chain Volume, \$bn

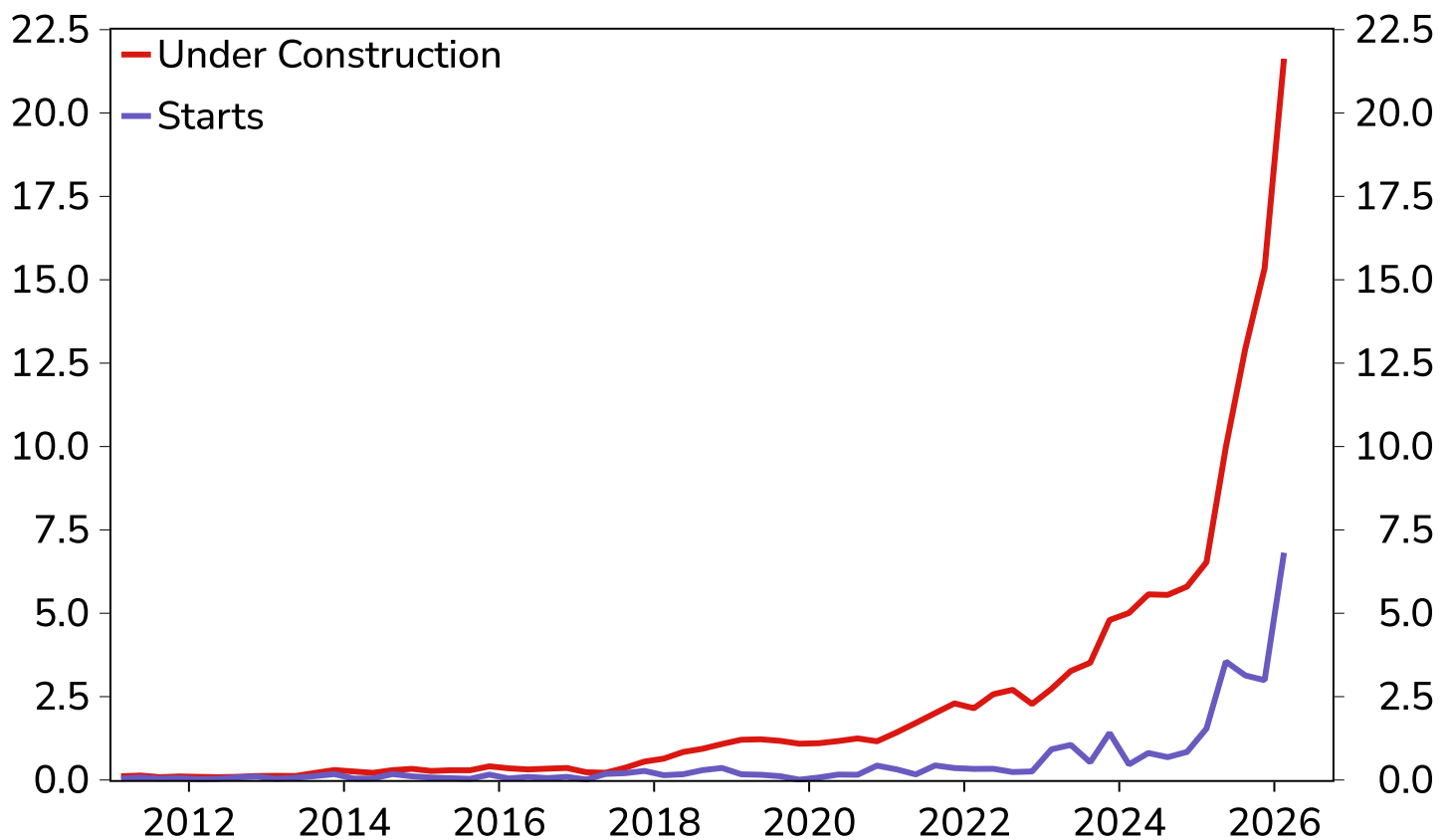


Source: ABS, Macrobond, Westpac Economics

Although the contribution from individual projects is difficult to quantify, the surge in data centre commencements during the second half of 2025 is likely supporting activity and should remain an important source of construction demand over the second half of this year and beyond.

Other commercial buildings continues to grow

Values, \$bn.



Source: ABS, Macrobond, Westpac Economics

State detail

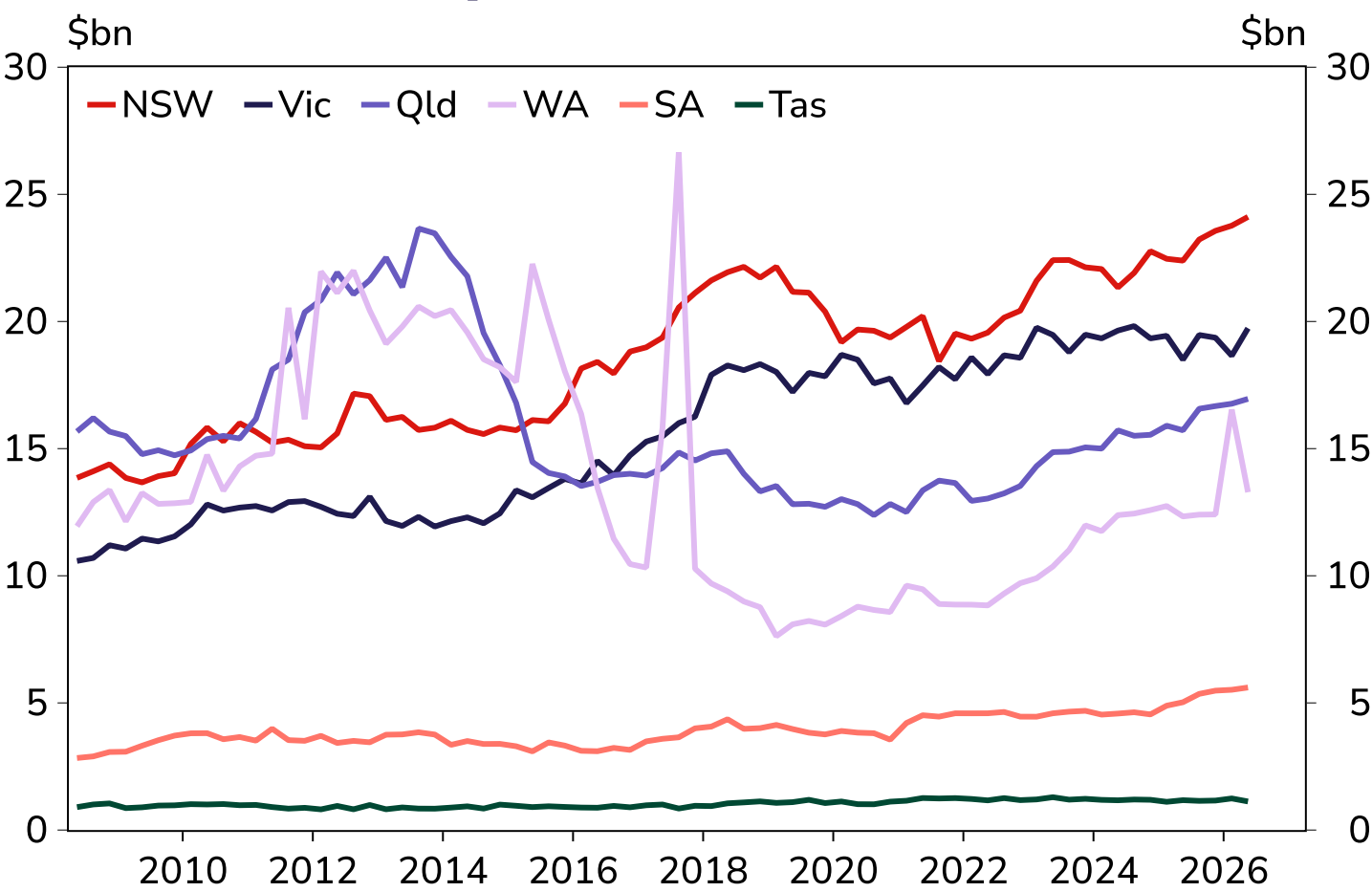
State outcomes were heavily influenced by the unwind of the mining-related spike in WA, masking generally resilient conditions elsewhere. Excluding WA, construction activity was resilient, with Victoria leading gains and the eastern states continuing to record gains.

Victoria (+5.8%qtr) recorded the strongest increase, while SA (+1.6%qtr), NSW (+1.4%qtr), Queensland (+1.1%qtr) and the Northern Territory (+2.7%qtr) also posted gains.

In contrast, WA (-19.7%qtr) recorded a sharp decline as mining-related activity unwound following the surge associated with the Scarborough Energy Project in the March quarter. Tasmania (-9.5%qtr) and the ACT (-8.8%qtr) also recorded sizeable contractions.

Despite the quarterly volatility, construction activity remained higher than a year ago in most states, with SA (+11.5%yr) recording the strongest annual growth, followed by Queensland (+7.9%yr), NSW (+7.7%yr), WA (+7.7%yr) and Victoria (+6.7%yr). The exceptions were Tasmania (-4.3%yr), the ACT (-15.7%yr) and the Northern Territory (-81.3%yr), where activity remained well below year-earlier levels.

Vic, SA and NSW outperform



Source: ABS, Macrobond, Westpac Economics

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Cliff Notes: the foundations of confidence

[#cliffnotes](#)[#rba](#)[#australia](#)[#inflation](#)[#us](#)[#fomc](#)[#ecb](#)[#aud](#)[#usd](#)

By [Elliot Clarke](#)

Head of International Economics, Westpac

11:02 August 21 2026

Share

Key insights from the week that was.



After an upside surprise in June, [the labour force survey](#) disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn

of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The Q2 wage price index was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with the Westpac-MI consumer sentiment survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both “family finances versus a year ago” and “family finances next 12 months” stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. “Time to buy a major household item” remains 24% below average despite a monthly bounce, while “time to buy a dwelling” is similarly 20% below average. We expect a lengthy period of weakness in Australia’s economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. “Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated.” In that context, “many participants assessed that policy tightening would likely be necessary if inflation did not decline”.

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee’s credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

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Cliff Notes: a cautious turn

August 14 2026 • ⌚ 5 mins

By Elliot Clarke



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Cliff Notes: consumer shows resilience amid housing gloom

August 07 2026 • ⌚ 5 mins

By [Elliot Clarke](#), [Ryan Wells](#) & [Illiana Jain](#)



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July 31 2026 • ⌚ 5 mins

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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18 August 2026

JULY CPI PREVIEW

Weaker pass-through has lead to a downward revision

Key points

- We expect the July CPI to rise 0.84%*mth*, taking the annual pace down a peg to 3.3%*yr* from 3.8%*yr* in June. On a seasonally adjusted basis, we expect a 0.4%*mth* increase.
- The July Trimmed Mean is forecast to lift 0.38%*mth*, on par with the average for the previous three months, taking the annual pace down a touch to 3.5%*yr* while the six-month annualised pace lifts a touch to 3.7%*yr*.
- Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, reflecting higher holiday travel cost and the partial unwinding of the temporary fuel excise cuts. The main offset is a drop in the DMO electricity prices.
- For the September quarter we revised our CPI estimate down to 1.1%*qtr* from 1.3%*qtr* while the Trimmed Mean is now expected to print 0.8%*qtr* vs. 1.0%*qtr*. The softer than expected momentum in the June quarter is expected to continue into the September quarter.

Breakdown: Q3 Quarterly & July Monthly CPI

	Q3	May	Jun	Jul
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	1.0	0.6	0.4	0.4
of which, bread & cereals	0.9	0.2	0.7	0.0
of which, meat & seafood	0.7	1.1	-0.3	0.2
of which, dairy & related prod.	1.8	2.3	1.3	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	0.6
of which, food products nec	0.4	-0.9	-0.2	0.6
of which, non-alcohol bev.	0.5	1.5	1.0	-0.3
Alcohol & tobacco	1.0	0.9	-0.5	0.4
of which, alcohol	0.7	1.3	-0.7	0.4
of which, tobacco	1.6	-0.1	0.0	0.3
Clothing & footwear	0.4	-2.9	-1.0	2.0
of which, garments	-0.6	-3.3	-3.1	2.6
Housing	1.3	0.5	0.5	0.3
of which, rents	0.9	0.4	0.3	0.3
of which, house purchases	1.3	0.9	0.4	0.4
of which, electricity	-3.6	0.9	0.7	-4.4
of which, gas & other fuels	6.8	-3.1	2.7	5.5
H/hold contents & services	1.0	0.3	-4.2	1.4
Health	-0.3	-0.5	-0.1	0.1
Transportation	1.6	-3.9	-2.7	1.9
of which, auto fuel	2.0	-11.9	-10.9	5.1
Communication	1.2	0.2	-0.7	1.5
Recreation	1.8	-3.1	1.8	1.9
of which, holiday travel	3.0	-6.9	4.6	3.2
Education	0.1	0.0	0.0	0.0
Financial & insurance services	0.8	0.2	0.5	0.2
CPI: All groups	1.1	-0.7	-0.1	0.8
CPI: Trimmed mean	0.8	0.4	0.3	0.4

Sources: ABS, Westpac Banking Corporation

All eyes on market services

Justin Smirk, Senior Economist
Neha Sharma, Economist

July set to be a touch stronger

The June Monthly CPI was [much better than feared](#). The headline CPI printed -0.1mth , below both our forecast and market expectations of 0.4mth and 0.2mth , respectively. The TM rose 0.3mth and 3.6yr , also slightly softer than our forecast of 0.4mth and 3.7yr . The main driver of the decline was automotive fuel, which fell 10.9mth subtracting 0.4ppts from the CPI. Other sources of weakness were clothing & footwear, household furnishings, and audio, visual and computing equipment which saw the usual end-of-financial-year discounting.

The expected increase in holiday travel was there. However, the 4.6mth increase reflected a seasonal increase in international travel of 8.0mth but the 1.3% increase in domestic travel was much softer than the usual seasonal rise so the offset was not as large as it could have been. Also helping to offset the softer data flow was a 12.7mth rise in urban transport fares as the cost of living public transport fare reductions were unwound.

In the second half of July there was an increase in Middle East tensions with the breakdown in the US-Iran MoU. Brent briefly spiked above US\$100/bbl and the [July business survey](#) had product price growth nearly doubling to 1.1qtr , suggesting firms are rebuilding margins. While this is still below the April 1.8qtr peak, recorded at the height of the Middle East conflict, it's still well above the long-run average ($+0.6\text{ppt}$). Meanwhile, input costs continue to ramp up. Labour cost growth accelerated, rising 0.5ppt to 2.2qtr , the strongest outcome since May 2024 and 1.0ppt above its long-run average, most likely reflecting the impact of the 4.75% increase in award/minimum wages. Overall, businesses' purchase cost growth increased 0.2ppt to 2.3qtr holding 1.1ppt above its long-run average.

Meanwhile, consumer's year-ahead inflation expectations moderated in May and June on the back of the fuel excise being cut by 32c/l , halving the excise. From July 1, 16 cents in excise was added back with the final 16 cents added back on August 3. This boost to retail prices, plus the firming in Brent around US\$80/bbl, has seen retail auto fuel prices rise through July and these gains continued into August. As such, we would expect to see consumer inflationary expectation to lift again through these months.

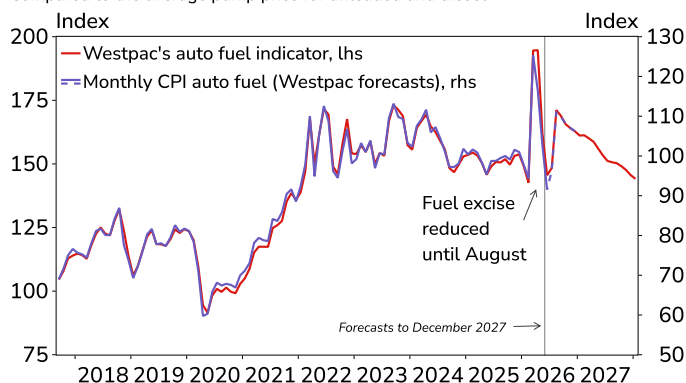
Breakdown Monthly CPI Indicator

	Apr	May	Jun	Jul
	Mth	Mth	Mth	Mth fcs
Item	%yr	%yr	%yr	%yr
Food	2.8	3.3	3.3	3.3
of which, bread & cereals	0.7	1.5	2.3	1.7
of which, meat & seafood	5.0	5.4	5.4	5.5
of which, dairy prod.	2.3	5.2	6.3	6.3
of which, fruit & vegetables	0.1	2.0	0.7	0.6
of which, food products	2.2	1.6	1.3	1.5
of which, non-alcohol bev.	2.0	1.5	2.0	1.7
Alcohol & tobacco	4.3	4.7	4.4	3.7
of which, alcohol	1.6	2.2	1.6	1.1
of which, tobacco	10.7	10.9	11.2	10.1
Clothing & footwear	5.9	5.0	4.9	4.4
of which, garments	3.1	2.1	1.5	1.4
Housing	6.3	6.5	6.8	4.9
of which, rents	3.5	3.6	3.6	3.5
of which, house purchases	4.7	5.6	5.8	5.7
of which, electricity	22.5	21.1	22.4	3.1
of which, gas & other fuels	5.7	4.9	7.2	6.4
H/hold contents & services	1.2	1.7	1.6	1.0
Health	4.0	3.8	3.7	3.7
Transportation	6.6	3.3	0.1	0.9
of which, auto fuel	18.6	7.7	-7.3	-2.6
Communication	1.5	2.1	2.2	2.2
Recreation	2.5	2.4	3.3	2.7
of which, holiday travel	1.7	1.9	4.0	2.5
Education	4.8	4.8	4.8	4.8
Financial & insurance	3.0	3.2	3.2	3.2
CPI: All groups	4.2	4.0	3.8	3.3
CPI: Trimmed mean	3.4	3.6	3.6	3.5

Sources: ABS, Westpac Banking Corporation

CPI Auto fuel prices

Compared to the average pump price for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Rising fuel prices boost July but core modest

We expect the July monthly CPI to rise 0.8%*mt* with the annual pace easing back to 3.3%*yr* from 3.8%*yr* while our seasonally adjusted estimate gains 0.4%*mt*/3.2%*yr*. We estimate the monthly TM inflation to also rise 0.4%*mt*, taking the annual pace to 3.5%*yr* from 3.6%*yr* in June. Market services excluding volatiles and holiday travel is expected to rise 0.5%*mt* and 3.7%*yr*, largely reflecting the minimum wage decision coming into effect from 1 July.

The largest contributors to the monthly print are transport (0.21*ppt*) due to a solid gain in auto fuel (0.17*ppt*) while recreation lifts (0.25*ppt*) with solid gains in holiday travel & accommodation (0.22*ppt*) to which the seasonal gains in household furnishing & equipment (0.11*ppt*) are added into the mix. For July we don't see any significant offsetting negatives.

Key details for July

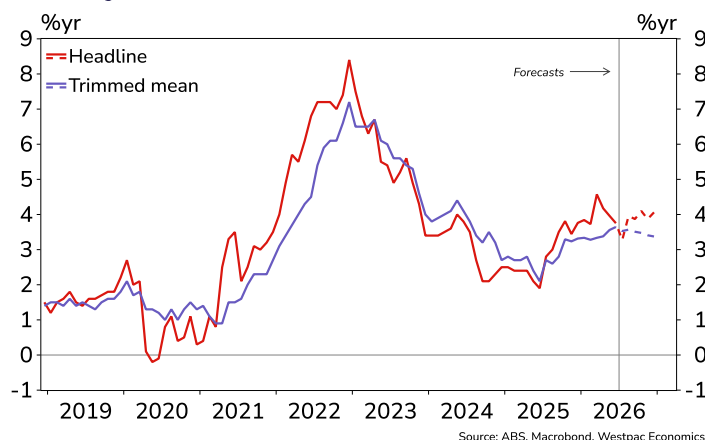
Food & non-alcoholic beverages are expected to rise 0.4%*mt* and 3.3%*yr*, largely due to a 0.5%*mt* rise in meals out & takeaway – at 4.2%*yr* this is the highest in the monthly series' history. As noted in our [Market Outlook](#), the impact of El Niño on commodity prices is uneven, but key areas of exposure for Australia is in wheat and livestock which is expected to place upward pressure on meat, dairy, and bread & cereal prices. We are also monitoring the spread of bird flu. To date, there have been no detections in commercial poultry.

Housing is expected to rise 0.3%*mt* in July, taking annual inflation to 4.9%*yr*. Key components include:

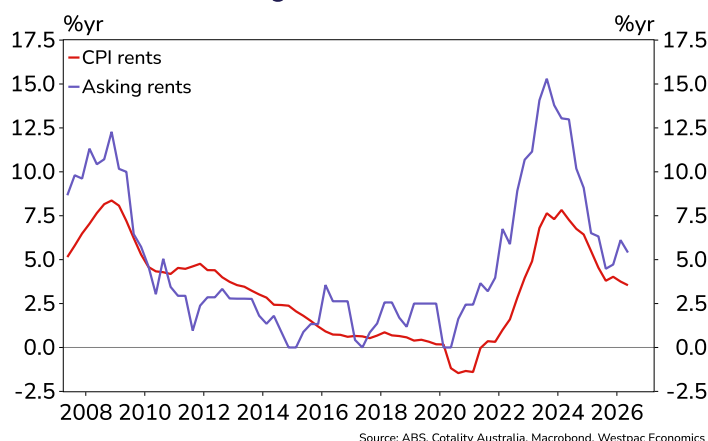
- Rents are expected to rise 0.3%*mt* and 3.5%*yr*. We continue to expect a modest firming in CPI rents into year-end given the divergence with asking rents, although this appears to have peaked and is gradually easing.
- New dwelling prices are expected to rise 0.4%*mt* and 5.7%*yr*. While we believe annual new dwelling inflation has peaked, the pace of moderation is likely to be gradual, easing to around 5.5%*yr* in Q3 and 5.1%*yr* by year-end as capacity constraints persist across the sector. Tradelink price change notifications continue to slow but remain above average, while residential construction producer prices are running at their highest pace since late-2023.
- Electricity prices are expected to fall 4.4%*mt*, leaving annual inflation at 3.1%*yr*. The decline reflects new annual market offers coming into effect, with final determinations indicating lower prices across most states. Annual price changes for water & sewerage and gas are expected to offset this decline.

Transport is expected to rise 2.1%*mt* and 1.1%*yr* owing to a 5.1%*mt* rise in automotive fuel. Insurance is expected to rise 0.8%*mt* following an unexpected 0.3%*mt* decline in June. Meanwhile, holiday travel is expected to rise 3.2%*mt*/2.5%*yr*.

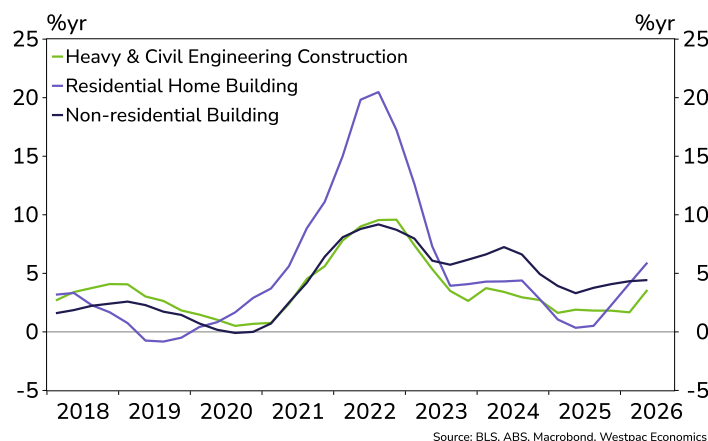
Monthly: Headline and Trimmed Mean Inflation



CPI Rents and Asking Rents Growth



Australian Construction Inflation



Risks to July baseline

We view risks around the July outcome as broadly balanced. On the upside, domestic market services inflation may prove stronger than we have accounted for given the larger-than-expected minimum wage decision amid existing pressures for businesses including from retail rents and utilities. While the pass-through from higher energy costs appears to have tapered off, some freight-related cost pressures may still be working their way through supply chains. Food is the most freight-intensive category, with fruit & vegetables among the most exposed.

This is offset by softer demand conditions and declining house prices limiting developers' pricing power, resulting in softer-than-expected new dwellings inflation. Additionally, insurance remains a key uncertainty and could undershoot again despite the continued strength in repair and maintenance costs.

Oil prices to ease through H2 2026

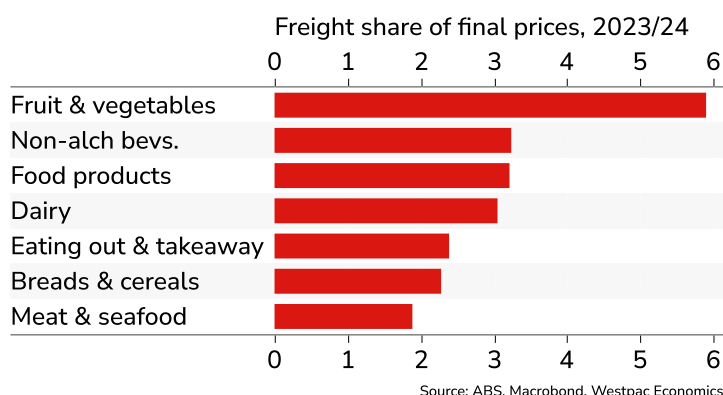
We have revised down our oil price forecasts for late-2026 and early-2027, reflecting our view that the peak in oil prices has already occurred. We lowered the profile by US\$3/bbl in both Q4 2026 and Q1 2027, which now average US\$81/bbl and US\$80/bbl respectively. While we continue to expect some strength through the second half of 2026, we now see less justification for a renewed rise above recent highs. This assessment is also consistent with recent reports suggesting the US administration is placing greater emphasis on economic sanctions and maritime pressure on Iran rather than direct military escalation, reducing the likelihood of a material re-tightening in global oil markets. The remainder of the profile is unchanged.

Model suggests a disinflationary trend to 2027

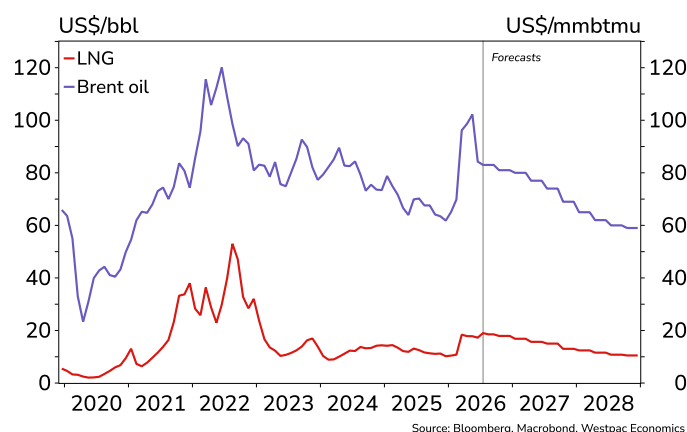
The chart on the right shows the central estimate from a range of modelling and forecasting approaches (including our bottom-up measure). These suggest that trimmed mean inflation will continue to moderate over the next few years, provided the broader economic outlook evolves broadly as expected. Under these conditions, all estimates have trimmed mean inflation within the RBA's target band by end-2027 and all but one see it moving below the mid-point of the target band by end-2028. For Q3 2026, the outcomes range between 3.4-3.5%yr, stretching out to 2.4-2.9%yr by end-2027 and 2.2-2.5%yr by end-28.

It is worth cautioning that these represent central outcomes only. Forecast uncertainty remains high, particularly over longer horizons, and the confidence bands around these estimates are wide. As such, there are plausible cases where disinflation could prove more rapid (e.g. more pronounced weakness in the labour market), or alternatively, underlying price pressures are more persistent (e.g. further supply shocks).

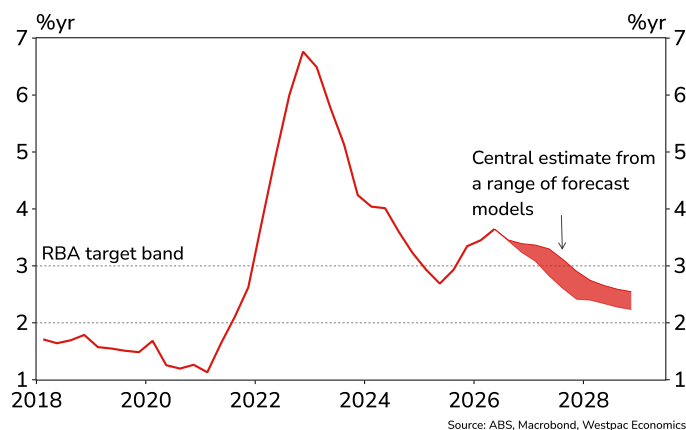
Food and Beverages Freight Exposure



Oil and LNG forecasts



Trimmed Mean Inflation Paths



Quarterly CPI profile has been revised down...

We released updated forecasts in our latest *Market Outlook* on August 14 ([see here](#)). This is a softer profile than what we expected back in July and broadly in line with the RBA's updated profile in the August SoMP.

Westpac estimates that the Q3 CPI will lift by 1.1%qtr taking the annual pace to 3.7%yr from 3.9%yr in Q2. This represents a 0.2ppt revision to our previous estimate of 1.3%qtr. With a Q4 estimate of 0.8%qtr for Q4, revised from 1.0%qtr, we now have a year end CPI inflation forecast of 3.9%yr, this is down from our previous estimate of 4.3%yr but still a touch stronger than the latest RBA estimate of 3.6%yr.

The seasonally adjusted CPI is estimated to increase 0.9% in Q3 and Q4 highlighting that some of the strength seen in Q3 is usual seasonality which is reversed in Q4.

Key to this softer profile is the revision to our Brent profile which is down by US\$3/bbl in both Q4 2026 and Q1 2027 for an average of US\$81/bbl and US\$80/bbl respectively. Along with a reduction in refining margins auto fuel is set to be a meaningfully less inflationary influence than we first thought.

In Q3 the most significant contribution comes from housing at 0.28ppt but with the inflationary pressure from dwelling purchases not being as strong as expected, now 1.3%qtr in Q3 and 0.9%qtr in Q4, this explains part of our downward revisions to both headline and core inflation estimates. We are expecting housing inflationary pressure to continue to moderate into the first half of 2027.

Recreation will also provide a boost in Q3 (0.22ppt) with a stronger than usual seasonal rise in international travel & accommodation (7.5%qtr) as Australian travel costs catch up to price increases reported by OECD countries. However, there should be a partial seasonal reversal through the first half of 2027.

Food is also set to make a robust contribution (1.0%qtr, 0.17ppt) in Q3 and while this series can be somewhat volatile due to the peaks and troughs of fresh fruit & vegetable pricing, we will be watching this series more closely than usual as the larger than usual El Niño formation presents a significant

upside risk here, most likely in 2027 but could start to appear in late-2026.

...while revisions to core inflation more marginal.

Westpac estimate a 0.8%qtr increase in the Q3 trimmed mean easing the annual pace by 0.1ppt to 3.5%yr. Our earlier estimate was for a 1.0% increase in Q3 which, with rounding, held the annual pace flat at 3.6%yr. For end-2026 we now estimate trimmed mean inflation to come in at a 3.3%yr pace, down from our earlier estimate of 3.5%yr and on par with the RBA's most recent estimate.

The six month annualised pace of core inflation has taken a step down from 3.9% at Q4 2025 to 3.6% at Q1 2026, 3.4% at Q2 and we estimate it to be at a 3.3%yr pace through the second half of the year before heading down through 3%yr around mid-2027.

The moderation in housing inflation is helping to lower core inflation but so too has the softer than expected inflation in market services. We now expect market services ex volatile to be around a 3.3%yr to 3.5%yr pace through the second half of 2026. Just how businesses responded to the recent increase in award/minimum wage rates of pay will be critical to this profile and we will know more as the September quarter data unfolds.

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.4	104.2	104.9	105.6
	(%qtr)	1.1	0.8	0.6	0.6
	(%yr)	3.7	3.9	3.1	3.2
Trimmed mean	(%qtr)	0.8	0.8	0.8	0.7
	(%yr)	3.5	3.3	3.2	3.1
	(6mth ann'd)	3.3	3.3	3.1	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Apr-26	May-26	Jun-26	Jul-26(f)	Aug-26(f)	Sep-26(f)	Oct-26(f)	Nov-26(f)	Dec-26(f)
CPI	Index	102.8	102.1	102.0	102.9	103.5	103.9	104.1	103.9	105.1
	(%mth)	0.4	-0.7	-0.1	0.8	0.6	0.4	0.2	-0.2	1.1
	(%yr)	4.2	4.0	3.8	3.3	4.0	3.9	4.1	3.9	4.1
Trimmed mean	(%mth)	0.3	0.4	0.3	0.4	0.3	0.2	0.3	0.2	0.2
	(%yr)	3.4	3.6	3.6	3.5	3.6	3.5	3.5	3.4	3.4
	(6mth ann'd)	3.2	3.5	3.5	3.7	3.9	3.8	3.7	3.3	3.2

Source: ABS, Westpac Economics.

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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27 August 2026

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Crude oil prices continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war.

Equities were mixed, US markets losing momentum into the close ahead of Nvidia's earnings. Nvidia's Q2 revenue beat expectations, but its sales outlook underwhelmed some investors.

US yields rose and the US dollar firmed after a modest upside surprise in PCE inflation figures, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test.

Australian inflation also surprised modestly to the upside, largely stemming from durable goods while household services also continued to make sizeable contributions.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
Euro Stoxx 50	6,471	0.2%
UK FTSE100	10,878	-0.1%
VIX Index	15.21	-1.6%

Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

Data as at 7:20am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.54	0.00
180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
2 year swap	4.64	0.11
3 year swap	4.63	0.12
4 year swap	4.64	0.11
5 year swap	4.68	0.11
6 year swap	4.72	0.10
7 year swap	4.78	0.10
8 year swap	4.83	0.09
9 year swap	4.88	0.09
10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
10 year bond	4.65	0.02
Other (10 year yields)		
Germany	3.23	0.03
Japan	2.90	0.00
UK	5.03	0.04

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	0.04
3 yr bond	4.64	0.04
3 mth bill rate	4.57	0.01
SPI 200	9,068	0.0%



Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

Financial Markets

- Equities had a fairly volatile session, losing momentum heading into the close – the S&P 500 flat, NASDAQ down –0.1% – before Nvidia announced its earnings, with Q2 revenues beating consensus expectations though the sales forecast disappointed some expectations. The Euro Stoxx 50 finished in the green (+0.2%), but London's FTSE 100 slipped (–0.1%).
- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
- Treasury yields moved higher following a slight upside surprise on PCE inflation, keeping the market's expectation for an FOMC rate hike by year-end 'live', though Chair Warsh's upcoming speech at Jackson Hole will be the ultimate test. The 2Y and 10Y treasury yields rose 4bps and 2bps respectively, and yields also rose across Europe and the UK.
- A slight upside surprise on Australian inflation data sparked some repricing in interest rate markets, local yields bear steepening as the 3Y jumped 5bps to 4.60% while the 10Y nudged 1bp higher to 5.03%. Swaps markets now see an RBA rate hike in September as closer to a 30% chance compared to just 10% earlier in the week, while a full rate hike is now priced in by February 2027.
- The USD posted a solid bounce, the DXY rising around 0.2% to 99.1. All DXY pairs slipped versus the USD – the Euro was down 0.2%, the Sterling fell 0.4%, while the Japanese Yen edged 0.1% lower. The Aussie dollar bucked the wider trend, outperforming on the day given hotter-than-expected local inflation data, seeing the Aussie finish 0.2% higher and hold on around the USD0.7170 mark.
- Crude oil prices have continued to gradually ease despite a still highly uncertain outlook around management of the Strait of Hormuz and the current health of global oil supply, especially in light of renewed threats of escalation from Putin in the Russia-Ukraine war. While trading a choppy session, Brent and WTI fell 1.3% and 0.2% to US\$87.5/bbl and US\$82.2/bbl respectively.
- Metals retraced yesterday's gains, with LME copper falling 0.7% off its recent record high. Gold prices meanwhile slid off of its three-month high, down 1.4% to around US\$4,590/oz, in response to the increase in real yields ahead of the Jackson Hole Symposium coming up at the end of the week.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Private New Capital Expenditure Q2	0.8%	6.5%
11:30	CN Industrial Profits Jul	-	15.1%
18:00	EZ M3 Money Supply Jul	3.5%	3.3%
22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.3	0.3%
AUD/USD	0.7172	0.1%
AUD/JPY	114.24	0.2%
AUD/GBP	0.5276	0.5%
AUD/NZD	1.2067	0.6%
AUD/EUR	0.6154	0.3%
AUD/CNH	4.8209	0.2%
AUD/SGD	0.9121	0.3%
AUD/HKD	5.6222	0.1%
AUD/CAD	0.9952	0.4%
EUR/USD	1.1654	-0.2%
USD/JPY	159.29	0.1%
USD Index	99.16	0.2%

Equities	Close	Change
S&P/ASX 200	9,128	-0.4%
S&P 500	7,676	0.0%
Japan Nikkei	66,262	0.6%
Hang Seng	25,653	0.6%
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Commodities	Current	Change
CRB Index	401.65	0.4%
Gold	4591.07	-1.4%
Copper	14253	-0.7%
Oil (WTI futures)	82.23	-0.2%
Coal (coking)	238.50	0.8%
Coal (thermal)	139.00	-0.3%
Iron Ore	97.80	1.0%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
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180 day BBSY	4.83	0.00
1 year swap	4.67	0.10
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10 year swap	4.92	0.08

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	0.05
10 year bond	5.03	0.01
United States		
3-month T Bill	3.68	-0.01
2 year bond	4.21	0.04
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- Asian share markets were generally in the green, with gains reported across Tokyo (+0.6%), Shanghai (+0.9%), Hong Kong (+0.6%) and Seoul (+1.0%). The ASX bucked the wider trend with a 0.4% decline, driven by tech and energy stocks, and futures markets are pointing to another weak open this morning.
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22:30	US Wholesale Inventories Jul Prel.	0.2%	0.2%
22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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27 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

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Ryan Wells
Economist, Westpac Group
P: +61 401 423 628
E: ryan.wells@westpac.com.au

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22:30	US Initial Jobless Claims 22/08/2026	208k	206k
1:00	US Kansas City Fed Aug	10pts	9pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

In the US, the Fed's preferred gauge of consumer inflation pressures – the PCE deflator – surprised slightly to the upside, coming in at 0.2% in July versus expectations for a 0.1% print, leaving both headline and core inflation steady at 3.7%yr and 3.3%yr respectively. Meanwhile, personal income and consumption both surprised in the month, gaining 0.4% and 0.2% respectively, which together with the inflation print, leaves real consumption flat in the month compared to an average monthly reading of 0.2% through the first half of the year.

The second estimate to Q2 GDP saw no changes to the headline result at 1.5% annualised, but there were some minor changes to the component detail. Household consumption was revised up a touch from the first estimate (3.2% to 3.4% annualised), but was offset by marginal downward revisions to business investment and government spending as well as a larger drag from net exports. Meanwhile, durable goods orders came in above the market's expectation in July at 1.1%. However, this was due to concentrated strength in transport orders, with orders excluding transport up just 0.4% and core orders (non-defence, ex-air) only 0.2% higher in the month.

Local Data

In Australia, the **July CPI** came in slightly above expectations, printing 1.0%^{mth}/3.5%^{yr} on a headline basis and 0.5%^{mth}/3.6%^{yr} on a trimmed mean basis, with upside surprises largely stemming from durable goods while household services also continued to make sizeable contributions (see [here](#)). Meanwhile, **construction activity** fell by –2.1% in Q2 due to weakness in the mining sector, whereas activity from data centres and renewables continues to offer support (see [here](#)).



Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



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US dollar struggling to make ground despite global risks

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By [Elliot Clarke](#)

Head of International Economics, Westpac

11:40 August 17 2026

Share

Key themes for FX markets.



The US dollar has struggled to make headway this month, repeatedly ranging 0.5ppts higher than its 10 July level, when our last Market Outlook was released, only to falter and eventually end the period 1.5ppts lower at 99.5 today. This is despite a deal between the US and Iran remaining elusive and with market participants optimistic on US growth but concerned over inflation, and consequently expecting

the FOMC to hike into year end.

As has been the case over the past year, the primary contributors to movements in the US dollar DXY index over the past 30 days were Euro and Sterling, both appreciating around 1.5 cents to USD1.16 and USD1.36 respectively. Compared to history, these are not challenging levels for either currency; and the balance of risks faced by each nation are becoming more favourable with respect to growth and inflation.

To end-2027, we look for a continuation of this trend, leaving EUR/USD and GBP/USD at USD1.21 and USD1.39 respectively, after which each currency is likely to plateau.

The more time passes, the greater the likelihood of the balance of risks shifting against the US and in favour of Europe and the UK. In part, this is because the US economy has experienced an extended period of outperformance that is coming across an increasingly narrow base, suggesting the run may not last. But it also pertains to the political status quo; the degree of common purpose over defence and economic development in Europe is a striking contrast with the US' partisan turbulence. Government debt is an issue for all three jurisdictions, but the structural imbalance in the US budget position, the ratcheting higher of US debt service, and the market's unease over dwindling forward guidance by the FOMC all point to a much greater financial headwind for the US dollar than Euro or Sterling.

It is worth remembering that, while the 10-year average for DXY is around 1.0% below spot, the 20-year average is almost 9.0% lower. If risks crystallise against the US, there is a material chance of an outsized market move.

As we write, the big story of the month is slowly fading into obscurity. After numerous failed attempts to turn the yen around, and with USD/JPY threatening to go through JPY165, Japanese authorities this month sought the aid of the US government. Buying of the yen by both counter-parties, aided by an active PR campaign, initially saw USD/JPY drop from a recent peak of JPY164 to a low of JPY155. However, despite warnings of additional actions, USD/JPY reversed course within days, trading back above JPY159. Without further intervention by both Japan and the US, the yen is likely to weaken further as participants search for authorities' limit. Still, a return to JPY165 seems unlikely absent a marked deterioration in Japan's economy; USD/JPY holding around JPY160 for the foreseeable future is much more probable.

In our view, the yen is unlikely to begin a lasting uptrend until expectations for tighter US monetary policy recede, which we do not see occurring until late-2026. Thereafter, progress is likely to be slow, as participants continue to doubt the Bank of Japan's resolve and given Japan has less exposure to the global tech expansion than South Korea, Taiwan and China. We expect USD/JPY to only decline to JPY154 by end-2027, then to JPY146 come end-2028. At that level, USD/JPY will still be 32% above the 30-year average of 1990–2019 – a truly historic divergence.

For the rest of Asia's currencies, the direction of travel is likely to be up, albeit proportional to each nation's exposure to technology and starting valuation.

Benefiting not only from exposure to high-end technology expansion but also pharmaceuticals, engineering, finance and tourism, at SGD1.28 Singapore's dollar is within a cent of its lowest level in a decade, and also within reach of the historic low of SGD1.22 seen in 2012. We expect the cross to settle between current spot and the 2012 low by end-2028, targeting SGD1.25 at that time. That said, a downside surprise for the US economy could see the 2012 low reached in the interim.

The softer starting point for China's renminbi provides it with a little more room to rally over the forecast period. To end-2027 then end-2028, we see USD/CNY falling from CNY6.74 today to CNY6.40 and CNY6.30 respectively. A run towards CNY6.00 is certainly possible, although it would arguably require a marked change in domestic conditions as well as continued strength in trade and financial net inflows.

India's rupee is an interesting comparison to the above Asian currencies. While India offers the world considerable capacity for technology and professional services as well as low-value-add manufacturing, it lacks the intellectual property of the US, China, Taiwan and South Korea. It also does not have the efficient process, depth of knowledge, financial capital and transport infrastructure that holds Singapore in such great stead. Concerted structural change is necessary if the rupee is going to materially reverse the declines of recent years. This is despite the nation's considerable advantage in terms of its population. To end-2028, we see USD/INR only falling from INR95 to INR87 against a 20-year average of INR64. To this view, there is clearly downside risk for the rupee, particularly if energy prices remain elevated.

This analysis first appeared in [Westpac Economics' August Market Outlook](#).

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AGED RESIDENTIAL CARE

Creating a sustainable future.

14 August 2026



Contents

Executive summary.	3	Closing the gap.	13
Aged residential care defined.	4	Profitability.	14
Institutional arrangements.	4	Basis of competition.	15
Shape of ARC provision.	6	Competitive pressures.	16
Business models.	7	Critical success factors.	17
Drivers of demand.	9	Opportunities and challenges.	18
Funding.	10	Recommendations.	18
Costs of delivery.	11	Appendix A.	19
Funding gap.	12	Appendix B.	21
		Appendix C.	22



Paul Clark, Industry Economist

+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

Executive summary.

New Zealand's aged residential care sector is being driven by population ageing and longer life expectancy, which is increasing demand for hospital, dementia and specialist care for people with high dependency needs and challenging or disruptive behaviours (psychogeriatric). Providers have opportunities to expand specialist services, improve productivity through technology and scale, and benefit from industry consolidation. However, these opportunities are constrained by a widening funding gap, workforce shortages, increasing resident complexity, rising capital costs, and growing competition from home and community-based care. As a result, ensuring sufficient financial, workforce, and infrastructure capacity to meet growing demand remains the sector's central challenge.

The sector currently comprises approximately 41,500 beds, providing rest home, hospital, dementia and psychogeriatric care, within a nationally regulated system. Despite ongoing consolidation, the sector remains relatively fragmented, with capacity spread across corporates, charitable organisations, regional chains, specialist providers, and independent facilities.

Two provider models exist. Village-linked providers, such as Ryman Healthcare and Summerset, are typically large organisations offering a continuum of care, while standalone providers are more numerous, regionally dispersed, and highly fragmented. Together, they provide complementary coverage through integrated care pathways and regional provision.

Demand is strong, driven by increasing longevity and rising dementia prevalence. While older people remain at home longer, those entering care do so later in life and with more complex needs. As a result, demand growth is concentrated in hospital, dementia, and psychogeriatric care rather than traditional rest-home services.

Financial sustainability is the sector's defining challenge. Aged residential care is funded primarily through government subsidies and resident contributions, but funding growth has not kept pace with rising costs. Consequently, the sector's funding gap has widened from about \$170 million in 2014 to around \$650 million in 2025.

In response, providers have long called for funding reforms. That's in addition to pursuing operational efficiencies, technology investment, and placing a greater focus on offering premium accommodation and higher-acuity care. While both provider types seek productivity gains, village-linked operators also benefit from retirement village businesses that support occupancy, investment, and additional revenue, whereas standalone providers rely more heavily on operational performance, service specialisation, and local referral networks.

These differences shape competition. Village-linked providers generally compete through facility quality, lifestyle offerings, reputation, and continuum-of-care pathways, while standalone providers compete more through clinical quality, workforce capability, local reputation, and operating efficiency. As resident acuity increases and workforce shortages persist, clinical capability is becoming an increasingly important competitive advantage.

At the same time, competitive pressures are building. Rivalry for residents, staff, and development opportunities is intensifying, while workforce shortages continue to strengthen supplier power. Entry barriers remain high, although home and community-based care is an increasing substitute for lower-acuity services. Competitive pressures are generally greater for standalone providers due to their heavier reliance on care revenue and fewer alternative income streams.

Long-term success will depend on clinical quality, workforce capability, occupancy, financial sustainability, and facility quality. Providers that attract skilled staff, deliver increasingly complex care, maintain occupancy, invest in modern facilities, and generate sustainable returns will be best placed to meet growing demand. Retirement village integration provides an additional advantage for village-linked operators.

The sector's strongest opportunities stem from population ageing, increasing longevity, rising dementia prevalence, and growing demand for higher-acuity care, and opportunities to improve productivity and expand capacity through technology and scale.

However, these opportunities are offset by a widening funding gap, persistent workforce shortages, increasing resident complexity, significant capital requirements, and growing competition from home and community-based care. Together, these factors support strong long-term demand but also continued pressure on financial sustainability and capacity growth.

Table 1: Recommended actions to best maximise opportunities

Opportunity	Village-linked providers	Standalone providers
Population ageing	Expand into high growth urban markets.	Expand into underserved regional markets.
Higher acuity care	Increase hospital, dementia, and psychogeriatric capacity and specialist clinical services.	Develop specialist or niche care offerings.
Alternative revenue streams	Maximise village-to-care pathways, occupancy and property income to support care operations.	Expand premium accommodation and ancillary services where feasible to diversify revenue.
Technology & productivity	Invest in digital technology and centralised support functions to improve scale efficiencies.	Use technology, procurement groups, and shared services to lower operating cost.
Industry consolidation	Acquire or partner with smaller providers to grow market share and capacity.	Consider alliances, mergers, or specialist positioning to strengthen competitiveness.

Table 2: Recommended actions to address key challenges

Challenges	Village-linked providers	Standalone providers
Funding gap	Advocate for funding reforms: Modernise the funding model (to reduce expanding funding gap), support capital investment, minimise regulatory burdens, and create a sustainable model for expanding aged care capacity.	
	In addition, continue to pursue productivity gains.	Focus on cost controls, occupancy, and revenue optimisation.
Workforce shortages	Strengthen recruitment, training, career pathways, and staff retention programmes.	Develop specialist or niche care offerings.
Increasing resident acuity	Build specialist clinical capability and multidisciplinary care teams.	Invest in staff training, clinical governance, and targeted service specialisation.
Capital requirements	Leverage scale and access to capital to prioritise developments in urban locations with strong demand and occupancy prospects.	Focus capital on refurbishments and selective expansion projects with clear returns.
Home care substitution	Strengthen continuum-of-care pathways and focus on higher-acuity care services.	Reposition away from lower-acuity care and specialise in services less easily delivered at home.

In summary, village-linked providers should maximise opportunities and manage key challenges by leveraging their scale, access to capital, and retirement village integration. Standalone providers should remain competitive by focusing on clinical excellence, operational efficiency, service specialisation, and strong local relationships.

Aged residential care defined.

New Zealand’s aged residential care (ARC) system provides 24/7 care for older people unable to live independently, with services structured along a continuum that reflects increasing needs as well as clinical complexity.

By order of clinical complexity, ARC covers rest homes, hospital level, dementia and psychogeriatric care. Each of these care levels falls within a broader continuum of healthcare services which all New Zealanders have access to.

Institutional arrangements.

New Zealand’s ARC system is structured around a small number of public agencies and a diverse group of private providers.

New Zealand’s Ministry of Health sets overall policy, funding parameters, and regulatory standards, while Health NZ operates the system as the single public purchaser, contracting providers, funding services, and administering payments. Care is delivered primarily by private providers under national contracts that specify service, quality, and staffing

requirements, ensuring a consistent baseline of care across the sector.

Access to ARC begins with a needs assessment, which determines eligibility and the appropriate level of care. A financial means assessment then establishes eligibility for government support. Funding is shared between residents and the government: residents pay up to a regulated maximum for standard care, with the Residential Care Subsidy (RCS) covering the remaining cost and paid directly by Health New Zealand. The system is underpinned by a nationally regulated daily fee covering accommodation, care, and basic living costs.

The ARC system also accommodates differing care needs and resident preferences. Health NZ provides additional funding for higher-acuity residents, particularly those requiring hospital, dementia, or psychogeriatric care. Residents may also purchase premium accommodation and non-clinical services that fall outside the publicly funded package.

Overall, New Zealand’s ARC sector operates as a centrally funded, contract-based system that combines standardised public funding with flexibility for higher care needs and private choice.

Figure 1: High level ARC model

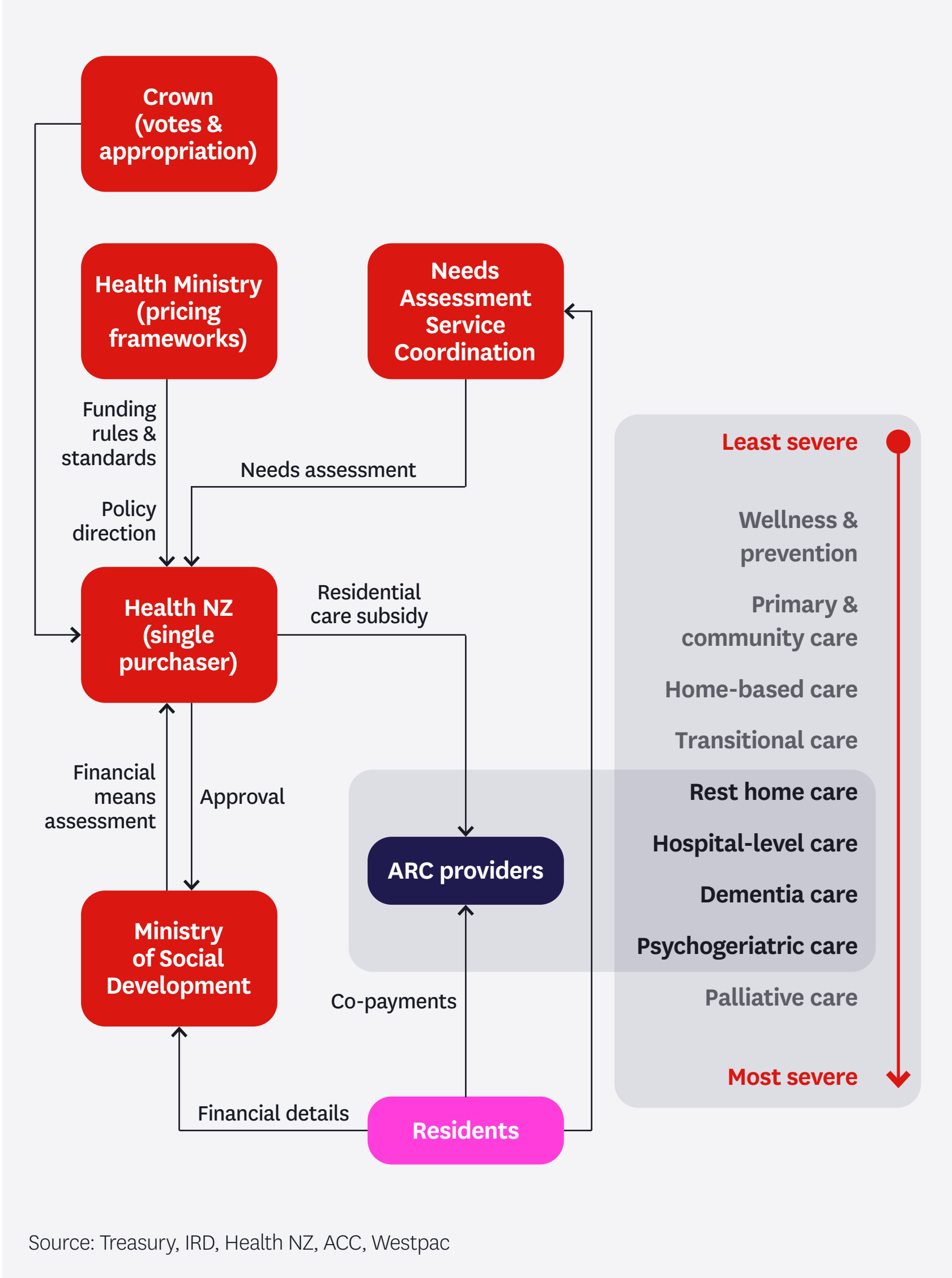
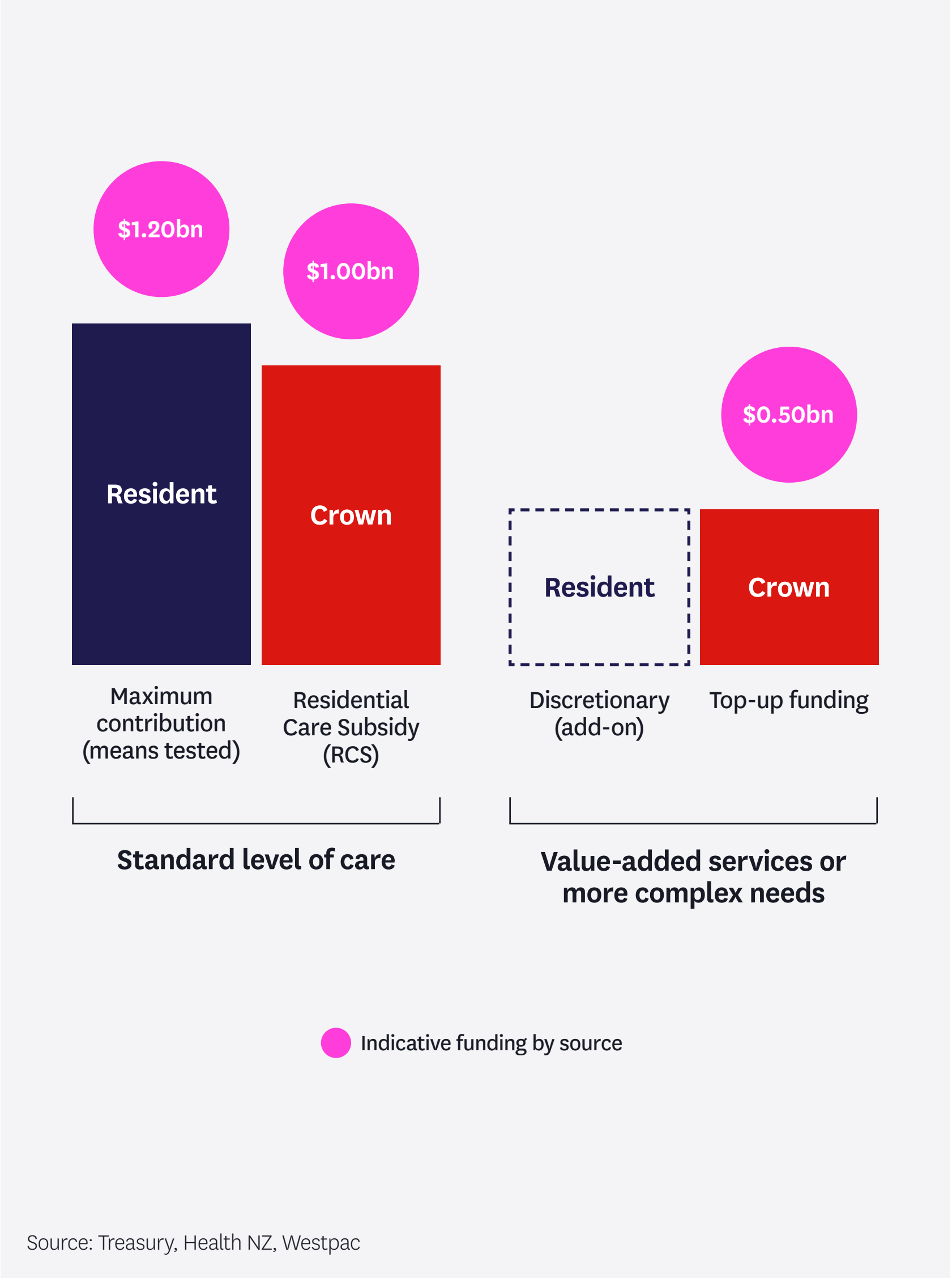


Figure 2: Composition of ARC funding



Shape of ARC provision.

ARC services are delivered by a diverse mix of providers, including large charitable organisations, national for-profit corporates (listed and privately owned), medium-sized regional operators, and small independent providers (see Appendix A for further detail on provider types, market structure, and how ARC in New Zealand compares to its peer group).

Despite ongoing consolidation, the sector remains fragmented. Large corporate providers have expanded their market share over time but still account for only around half of total ARC bed capacity. Mid-sized and smaller providers remain important, representing about one-third of capacity. Many operate in regional and community-based markets, reflecting the sector’s diverse ownership base and its fragmented structure.

ARC delivery in New Zealand remains centred on traditional care models. Around three-quarters of all beds are in rest home and hospital-level care, indicating that these services continue to dominate. This is beginning to change, with capacity having to adjust to increased demand for dementia and psychogeriatric care. Already these levels of care account for more than one-quarter of total capacity, with most services provided by generalist rather than specialist operators.

Table 3: ARC concentration by type of provider

Provider type	Estimated operational beds (number)	Market share (%)*
Listed, large corporates	9,000-9,500	22%-23%
Private, large corporates	9,500-11,500	23%-28%
Large not-for-profit/charitable providers	4,500-6,000	11%-15%
Private, medium-sized chains	7,000-8,500	17%-21%
Small independent/single-site operators	5,500-7,000	13%-17%
High-acuity specialist providers	1,000-1,500	2%-4%
Total (beds)	41,500	

Source: Health NZ, Ministry of Health, NZ Aged Care Association, and company disclosures.

* Ranges overlap and should not be summed.

Table 4: ARC concentration by level of care

Care level	Providers (number)	Estimated operational beds (number)*	Market share (%)
Rest home	640	17,000	41%
Hospital	440	13,500	33%
Dementia	260	8,000	19%
Psychogeriatric	90	3,000	7%
Total (beds)		41,500	100%

Source: Health NZ, Ministry of Health, NZ Aged Care Association, Grant Thornton, BDO, BERL.

* This is a capacity estimate, not occupied beds. Public sources often report “care beds”, “care units” or “care beds and suites”, not strictly “operational beds”.



Business models.

A defining feature of the ARC sector is the coexistence of two distinct business models: village-linked and standalone providers. While both operate within the same regulatory and funding environment, they differ significantly in their revenue sources, profitability, access to capital, and capacity for growth (see Appendix B for further detail).

Village-linked providers.

Village-linked providers are typically larger operators that combine retirement villages with ARC services, often offering a continuum of care across rest home, hospital, dementia, and, in some cases, psychogeriatric services. The integration of retirement villages can provide a pipeline of future care residents while also creating access to a source of capital that is largely unavailable to standalone providers.

The model is built around the Occupation Right Agreement (ORA), under which residents pay an upfront capital sum for the right to occupy a retirement village unit. The value of ORAs is influenced by local housing market conditions, as many residents fund their move into retirement village living through the sale of their home. When residents leave or pass away, operators typically retain a Deferred Management Fee (DMF), normally between 25% to 30% of the original ORA value, with the balance repaid to the resident or their estate.

The village-linked model generates multiple revenue streams, including DMF income, village service fees, development profits, and, where market conditions allow, ORA relicensing gains. Relicensing gains arise when a unit is relicensed to a new resident at a higher ORA value than the previous agreement. Historically, most of these gains have accrued to operators, although some providers now share a portion of the gain with residents or their estates. Examples include Vivid Living and Karaka Pines. Together, these property-related income streams support capital investment and expansion.

Based on listed-provider disclosures and industry estimates, ORA and DMF-related capital can contribute around 50% to 70% of funding for capacity expansion projects, with bank debt typically providing a further 20% to 40%, and the balance sourced from equity and operating cash flow. Strong resident-funded cash flows generally enhance borrowing capacity and support ongoing redevelopment and growth.

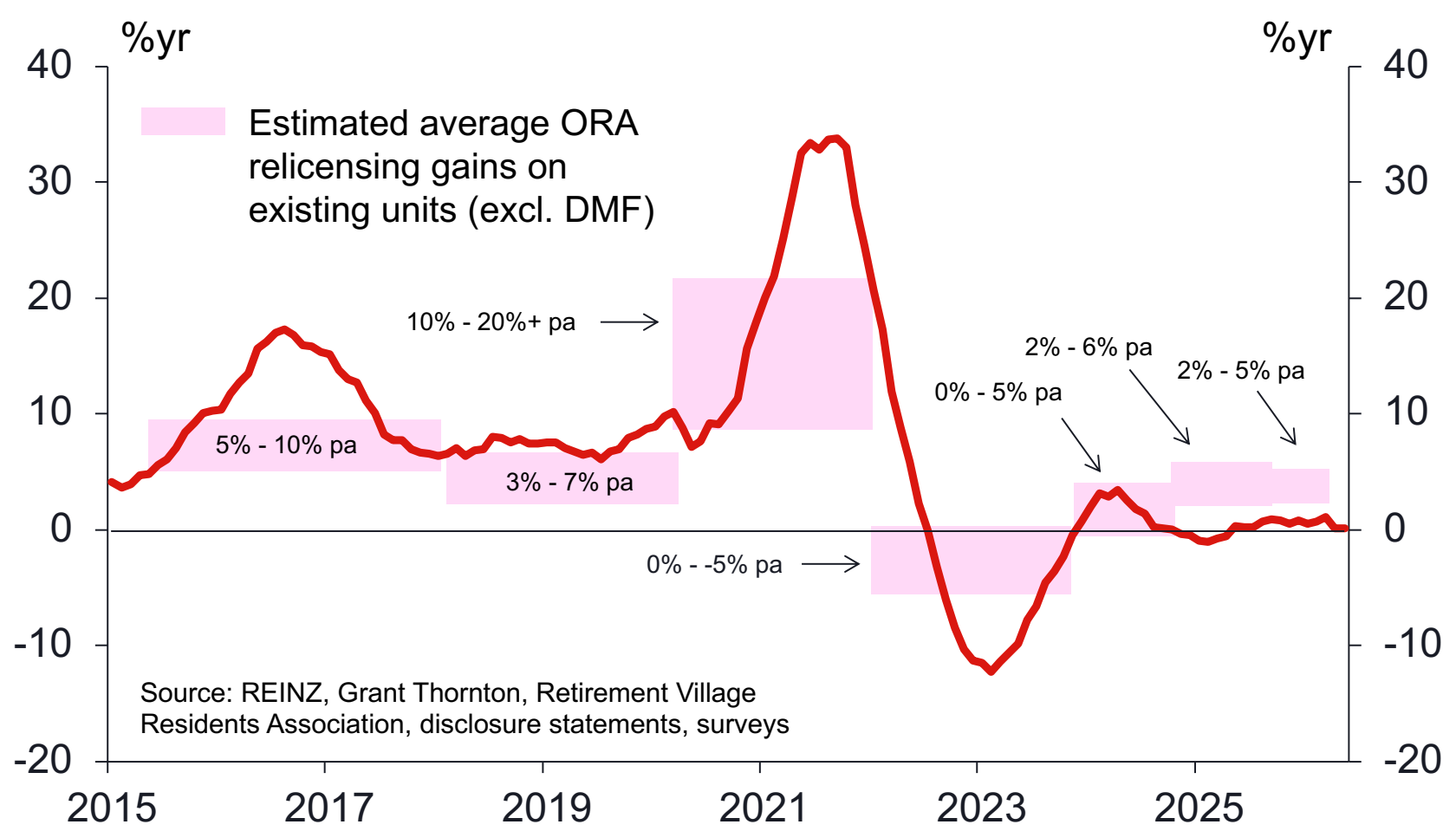
As a result, village-linked providers account for a significant share of new retirement villages and aged care developments built over the past decade.

Table 5: Operators by business model/care level

Care level	Village-linked (number)	Standalone (number)
Rest home	190	450
Hospital	170	270
Dementia	110	150
Psychogeriatric	20	70

Source: Health NZ, Ministry of Health, NZ Aged Care Association, Grant Thornton, BDO, BERL.

Figure 3: House prices and ORA relicensing gains





Standalone providers.

Standalone providers operate a more care-focused model and are generally smaller organisations operating a single facility or regional network. Revenue is derived primarily from government-funded care payments, accommodation supplements and charges, resident contributions, and premium accommodation or service fees.

Unlike village-linked providers, they do not benefit from ORA sales, DMF income, retirement village service fees, or village development profits, making financial performance more dependent on occupancy, workforce management, quality of care, regulatory compliance, and cost control.

The absence of retirement village capital significantly affects the ability of standalone operators to expand capacity. Industry estimates suggest that standalone providers typically rely on bank debt for around 40% to 70% of development funding, supplemented by equity, retained earnings, donations, grants, or asset recycling. With operating margins often tighter and government funding primarily directed towards care delivery rather than capital investment, access to growth capital is generally more constrained.

Expanding development capacity.

In practical terms village-linked providers typically have 2 to 4 times greater development capacity per dollar of equity than their standalone counterparts.

Table 6: Source of funding for capacity expansion

Source	Village-linked (% range)	Standalone (% range)
ORA/DMF	50% to 70%	0%
Bank debt	20% to 40%	40% to 70%
Equity capital	5% to 30%	10% to 30%
Operating cashflow	5% to 15%	10% to 25%
Asset sales/other sources	0% to 10%	0% to 15%

Source: Listed-provider annual reports, financial statements, industry reports (Grant Thornton, JLL, CBRE).

Drivers of demand.

According to Health NZ modelling and industry data, there were approximately 33k to 35k people living in aged residential care in 2023/24. Resident numbers have increased only modestly over the past decade, while they have declined as a share of the population aged 65 years and over. This reflects rapid growth in older age cohorts, later entry into residential care, and expanded home and community support services that enable many older people to remain independent for longer.

Nevertheless, population ageing remains the key driver of ARC demand. Although age-specific utilisation rates have declined and people are entering care at older ages, strong growth in the population aged 85 years and over is more than offsetting these trends, resulting in continued growth in overall demand for residential care.

The nature of demand is also changing. Traditional rest home care has shown little growth over the past decade, while hospital, dementia, and psychogeriatric care have expanded more rapidly. This reflects increasing resident frailty, multiple chronic conditions, cognitive impairment, and greater clinical complexity. Expanded home and community-based support services enable many people to remain at home longer, but those entering care increasingly require higher-acuity services that cannot be safely delivered in the community.

As a result, a growing share of ARC activity is concentrated in higher-acuity settings. Broader pressures across the health system, including the discharge of medically stable older patients who cannot safely return home, are reinforcing demand

Figure 4: ARC residents by level of care

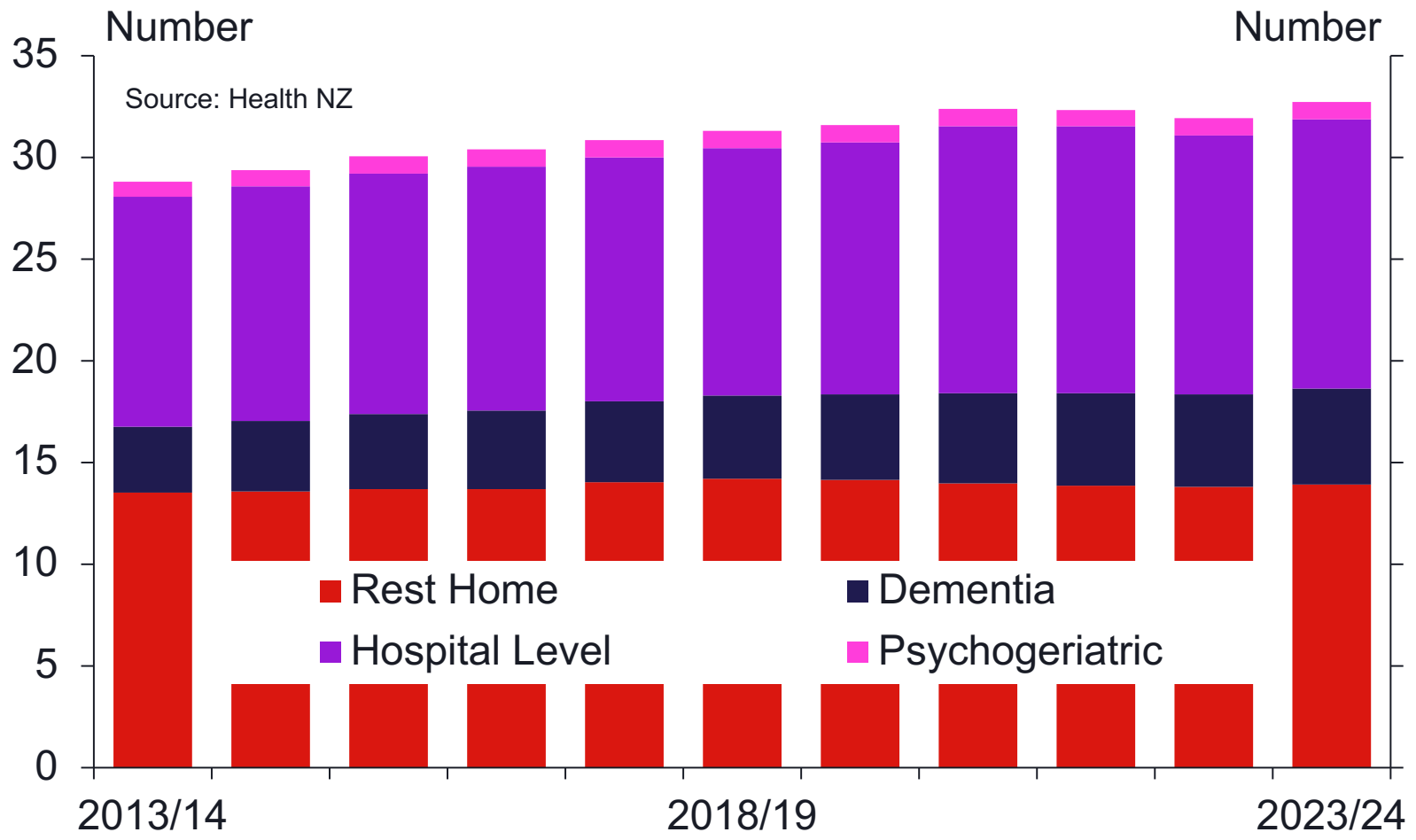


Figure 6: Growth in ARC residents by level of care

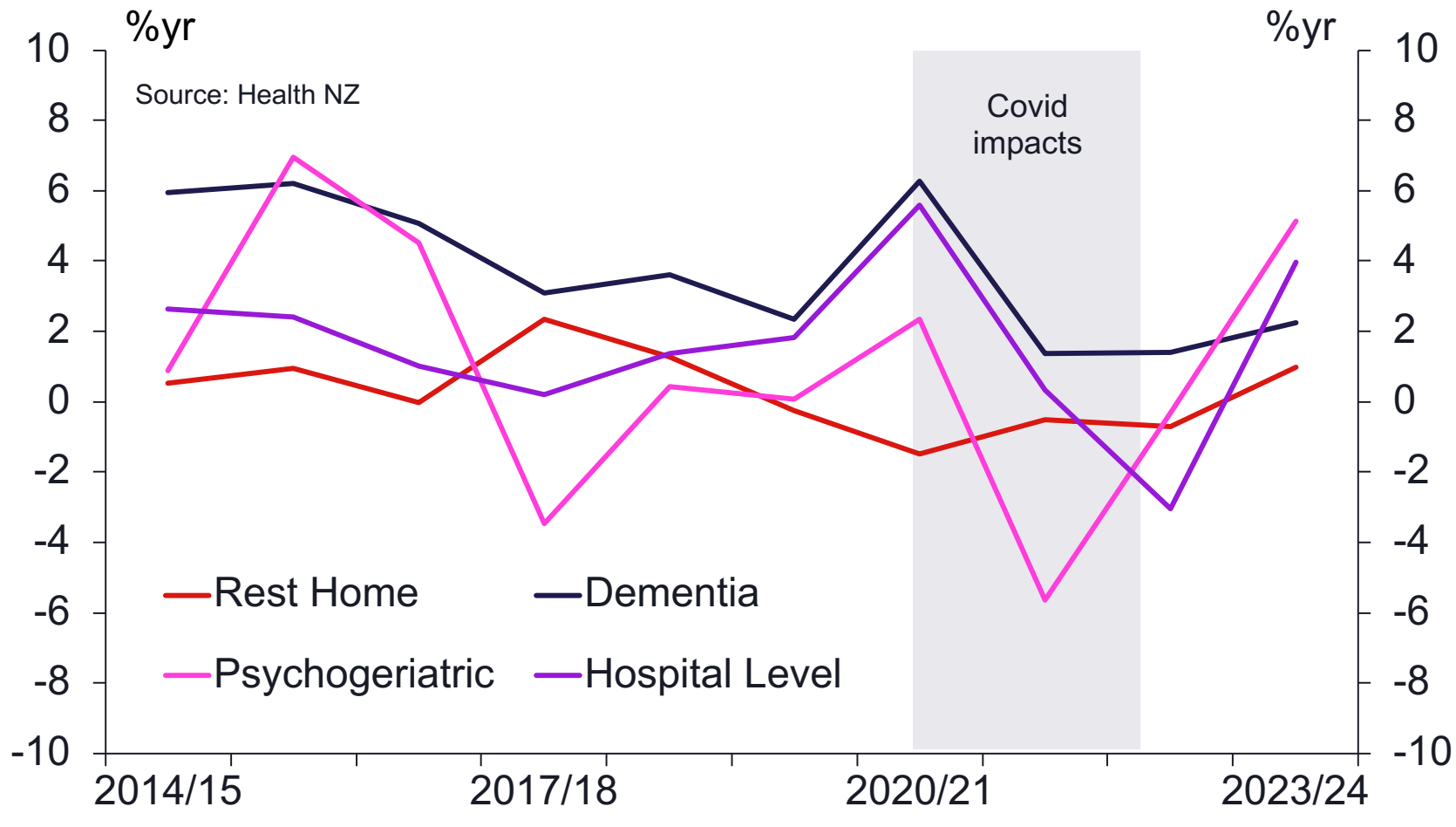
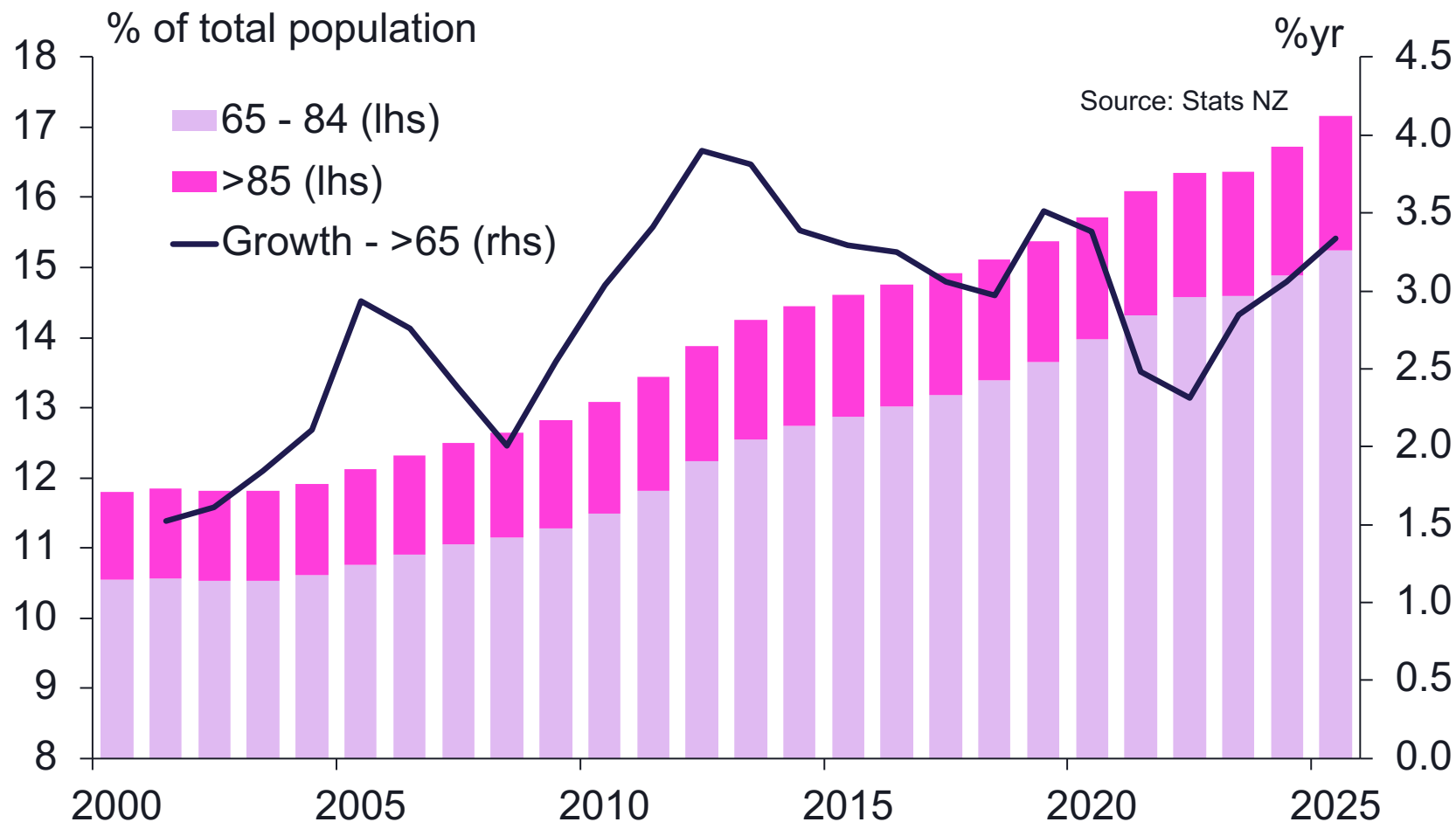


Figure 5: Population demographics



for hospital, dementia, and psychogeriatric care, while growth in lower-acuity rest home care remains relatively subdued.

Funding.

Total sector funding rose to just over \$2.7bn in 2025, comprising around \$1.5bn from RCS and Crown top-ups and \$1.2bn from residents. Funding has increased by about 4% annually since 2010, driven by population ageing, resident growth, and increasing care complexity. However, after adjusting for inflation, funding per resident has grown by only around 0.7% per year, indicating much of the increase has been absorbed by rising costs and higher care needs.

In line with demand, funding growth has increasingly been directed toward residents with more complex needs. Crown top-up funding for hospital, dementia, and psychogeriatric care has grown faster than standard RCS payments, reflecting the trend of people entering care later in life with greater frailty, cognitive impairment, and clinical complexity. Resident contributions have also increased steadily, supported by growing demand and greater uptake of premium accommodation and additional services.

Hospital-level care receives the largest share of ARC funding, accounting for just over \$1.2bn in 2025, followed by rest home care at around \$900m, dementia care at approximately \$500m, and psychogeriatric care at about \$110m. Between 2014 and 2025, funding for dementia care increased by 134%, hospital care by 94%, psychogeriatric care by 72%, and rest home care by 30%. In real terms,

Figure 7: ARC funding by source (nominal and real)

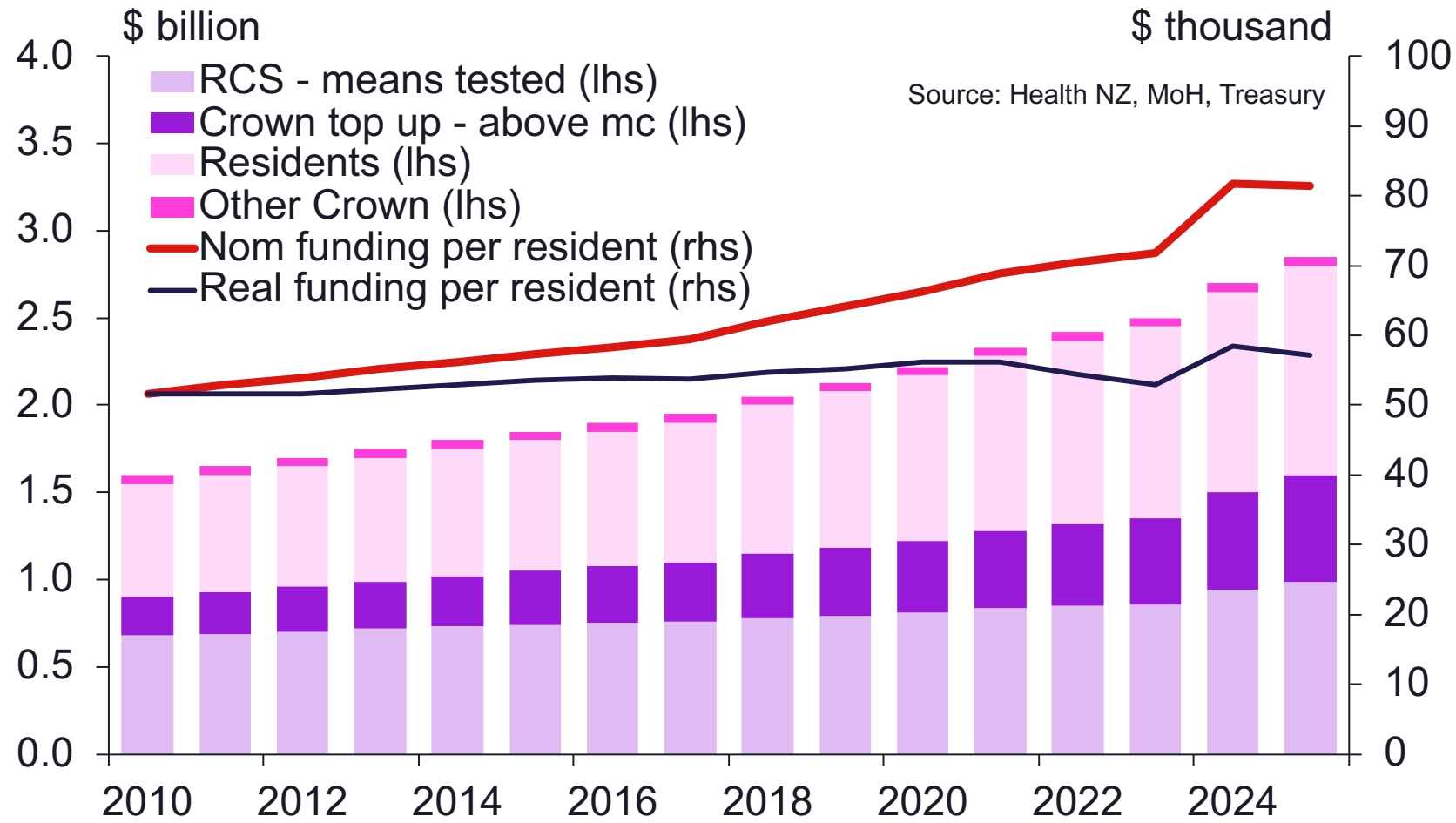


Figure 9: ARC funding by level of care

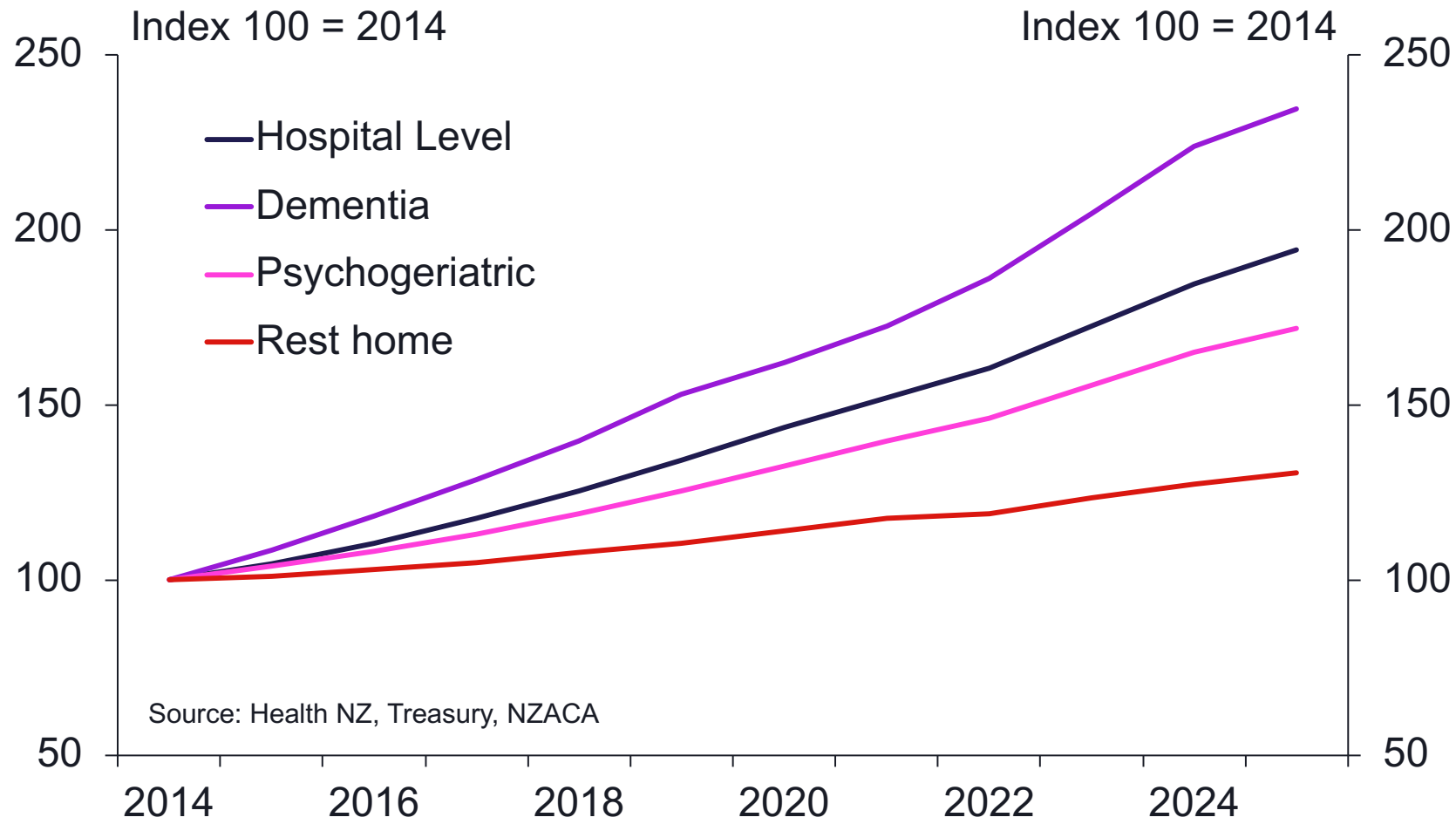
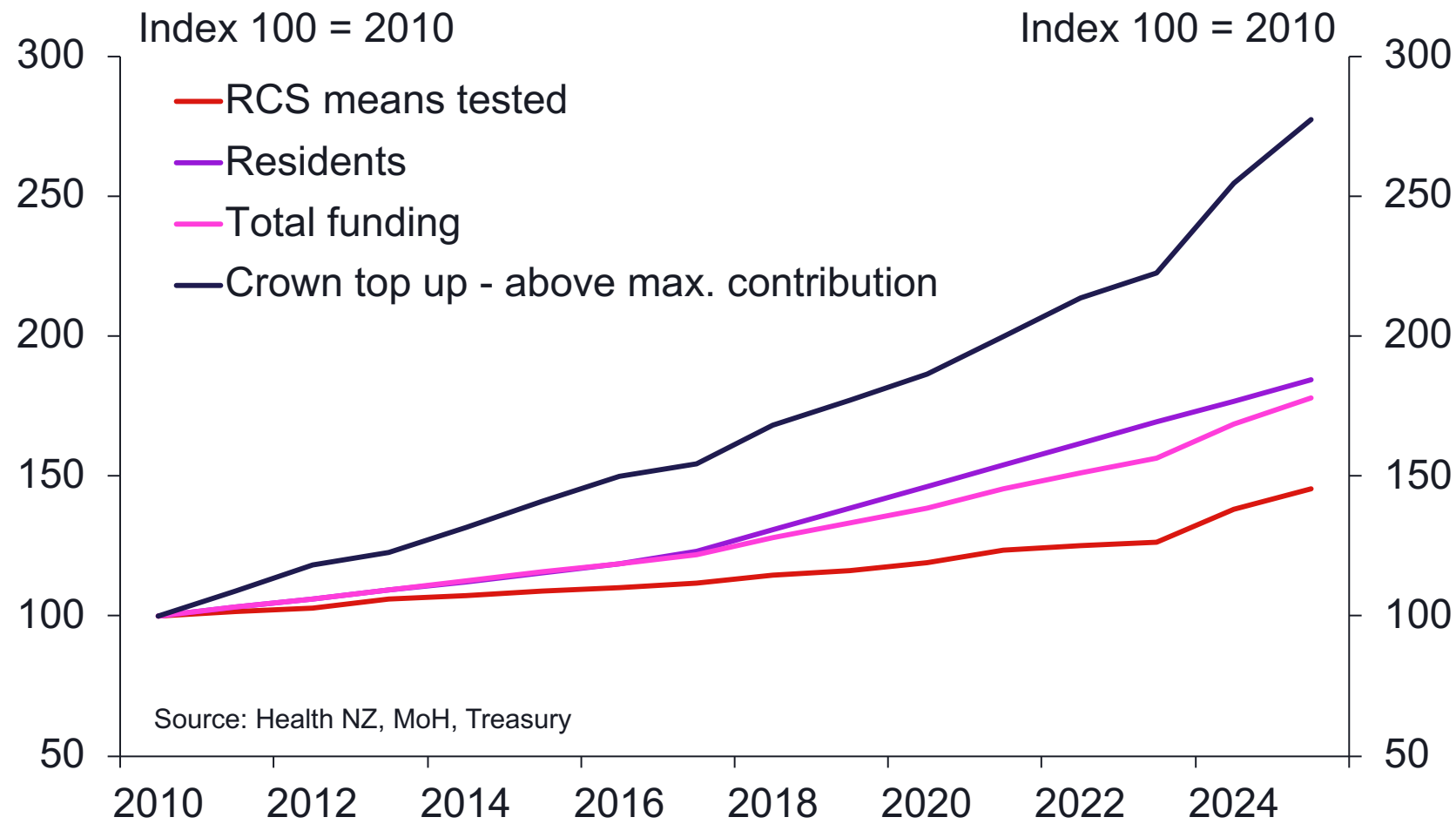


Figure 8: ARC funding by source



dementia and hospital care recorded the strongest growth, while rest home funding was broadly flat to slightly lower. These trends highlight the ongoing shift in sector resources toward more specialised and clinically intensive services as resident acuity increases.

Costs of delivery.

The cost of delivering ARC continues to rise and is widely viewed as outpacing available funding. Total sector expenditure was estimated at \$3.36bn in 2025, comprising \$2.0bn in operating costs and about \$1.4bn in capital investment, largely for new developments, refurbishments, and equipment. Since 2014, both operating and capital expenditure have increased by just over 4% annually, reflecting growing demand, higher resident acuity, and ongoing investment in facilities.

Hospital-level care accounted for the largest share of expenditure in 2025 at approximately \$1.5bn followed by rest home care (\$1.1bn), dementia care (\$0.6bn), and psychogeriatric care (\$0.1bn). Dementia care recorded the fastest growth, with costs increasing by an estimated 162% between 2014 and 2025, reflecting both rising demand and the resource-intensive nature of dementia services. Hospital-care costs have also increased strongly as residents enter care later in life with more complex clinical needs.

Labour remains the sector’s largest cost and has risen substantially due to pay-equity settlements, workforce shortages, reliance on agency staff, rising resident acuity, and Covid-related pressures. Depreciation and clinical costs have also

Figure 10: ARC delivery costs by level of care

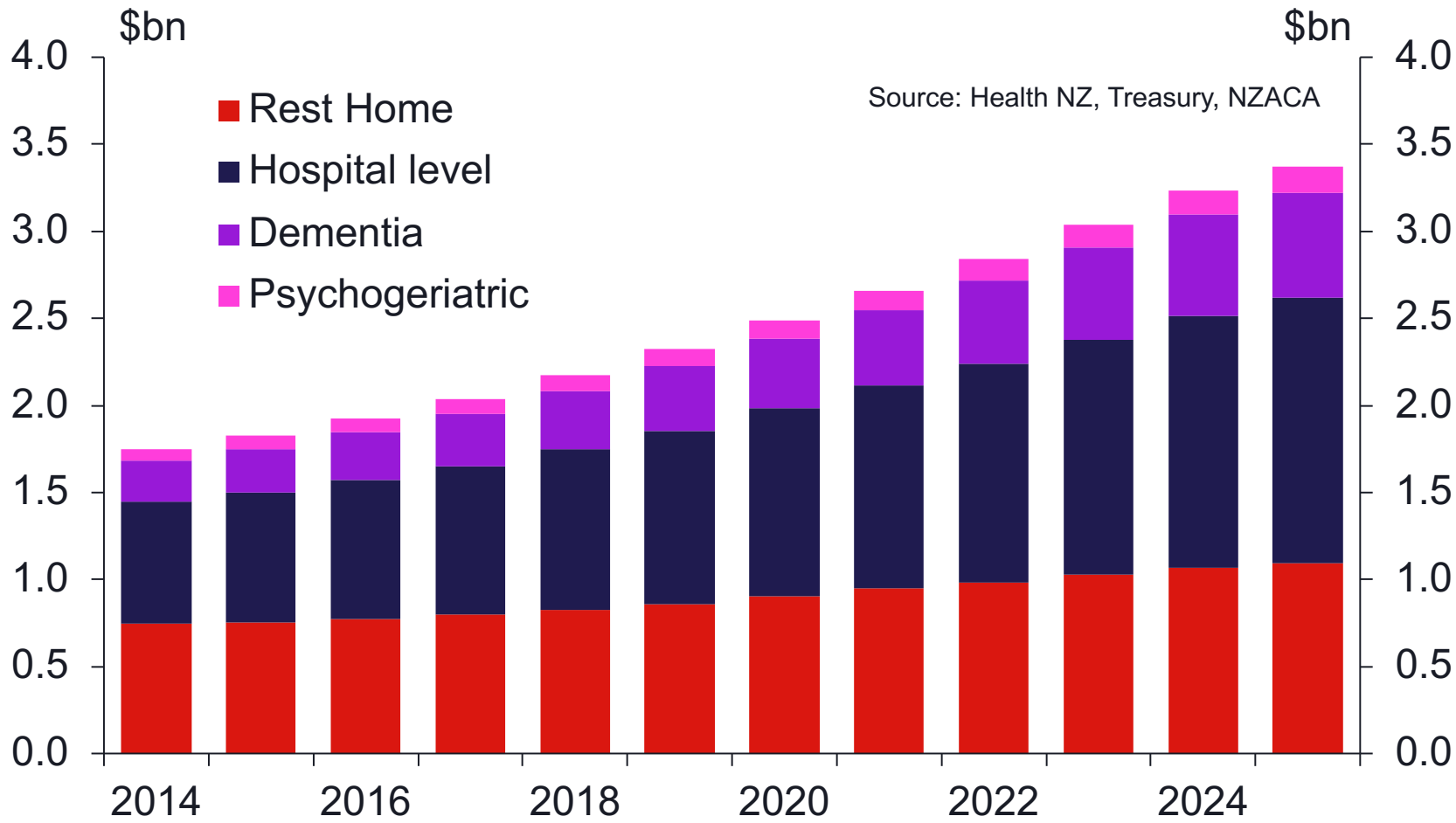


Figure 11: ARC delivery costs by level of care (indexed)

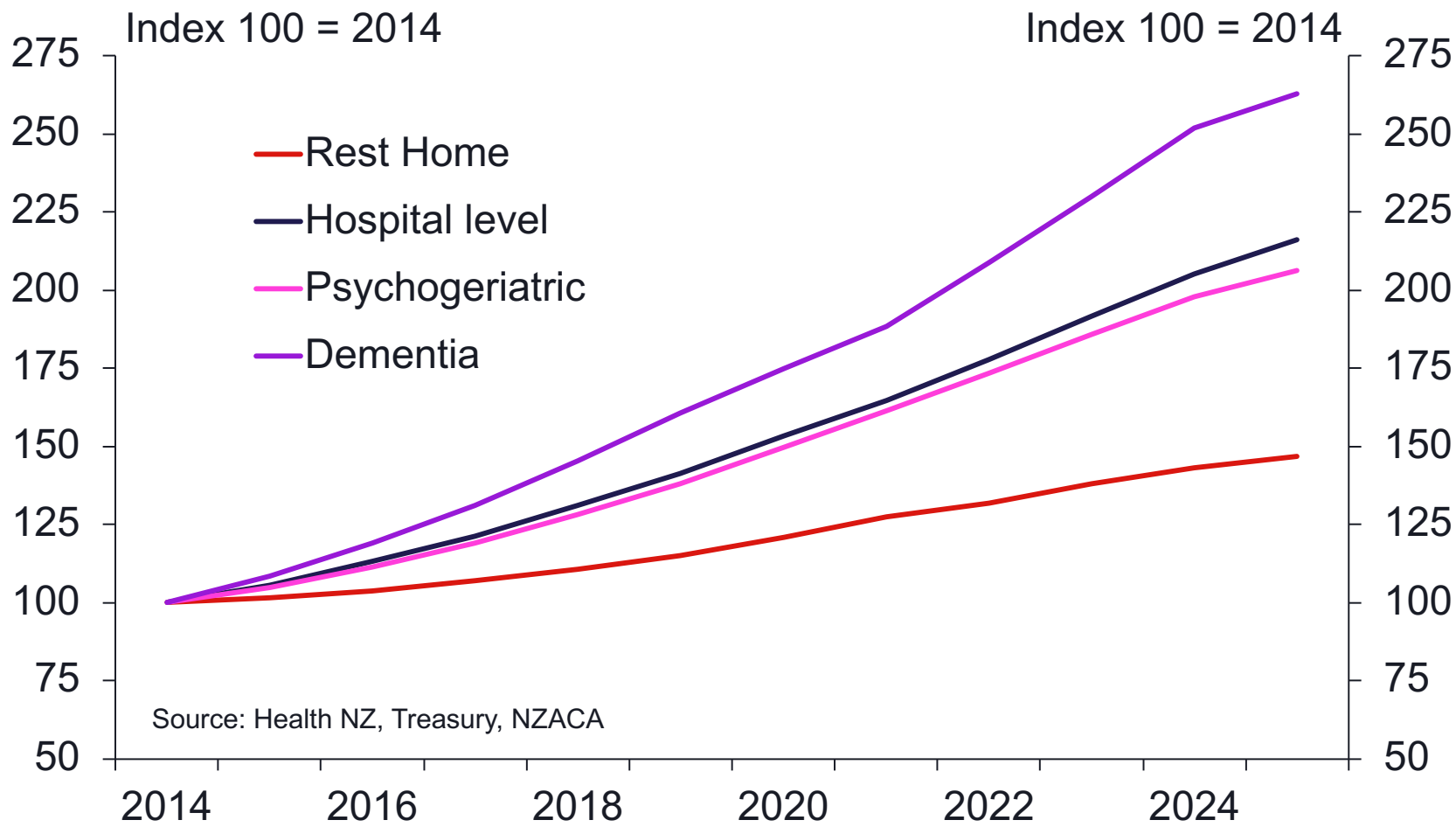
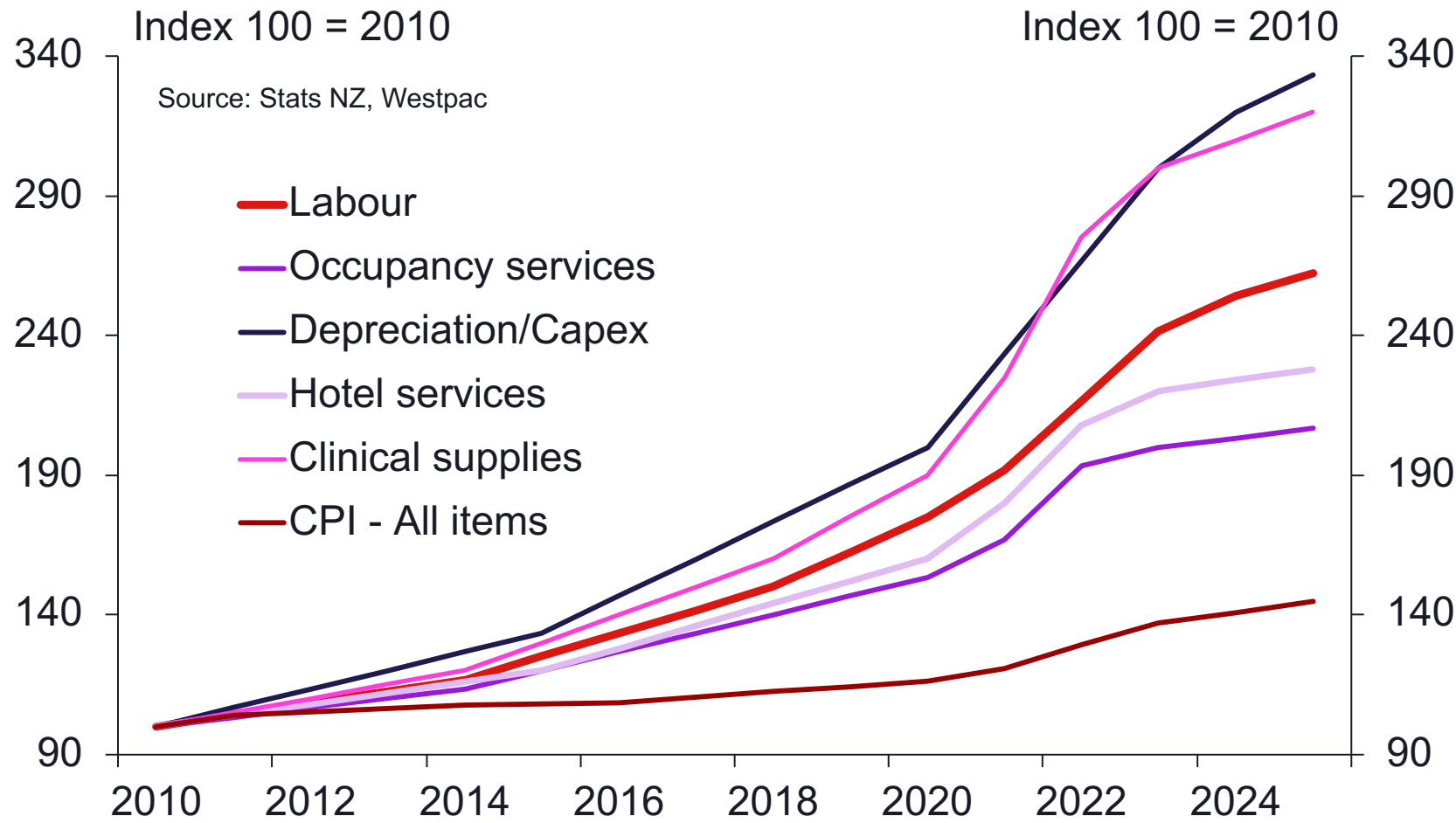


Figure 12: ARC cost price indices



increased, driven by investment in new facilities, refurbishments, compliance requirements, infection control, and more complex care delivery.

Other operating expenses, including utilities, cleaning, laundry, maintenance, food services, and resident amenities, have also risen, easily outstripping headline inflation. Cost pressures were particularly acute during 2021 to 2022 due to inflation, higher energy prices, wage growth, and pandemic-related disruption. Although cost growth has moderated as inflation and labour market pressures have eased, significant structural pressures remain.

Funding gap.

Collectively, these pressures have contributed to an estimated sector funding gap of around \$650m in 2025, up from \$166m in 2014, highlighting the ongoing challenge of maintaining financial sustainability while meeting increasingly complex care needs. The gap reflects a persistent mismatch between government funding and the actual cost of care, with labour, clinical, compliance, insurance, and capital costs generally rising faster than funding over the past decade.

This funding shortfall spans all levels of care, with estimated deficits of approximately \$290m in hospital care, \$215m in rest home care, \$110m in dementia care, and \$35m in psychogeriatric care. Hospital and rest home services account for the largest share of the gap because they represent most sector capacity, while dementia and psychogeriatric services face particularly acute cost

pressures, with residents requiring more complex and expensive clinical care as well as higher staffing requirements.

The funding gap has widened substantially over time. We estimate the sector-wide deficit has increased by around 290% since 2014, reflecting a persistent divergence between funding growth and the rising cost of delivering care. While later entry into residential care has concentrated residents with higher and more complex needs, labour, clinical, compliance, insurance, and capital costs have also increased faster than funding. This trend raises concerns about the long-term sustainability of the sector, as a continuing and widening funding gap may reduce providers’ ability to reinvest, expand capacity, and meet growing demand.

Having said that, the rate at which this funding gap has grown in recent years has slowed. Wage-linked indexation, targeted funding uplifts, and more responsive price-setting mechanisms have improved funding outcomes, while easing inflationary pressures and labour shortages have tempered cost growth. Even so, the underlying funding imbalance remains unresolved, meaning financial sustainability challenges are likely to persist without further structural changes to funding arrangements.

Figure 13: Gap between ARC funding and costs

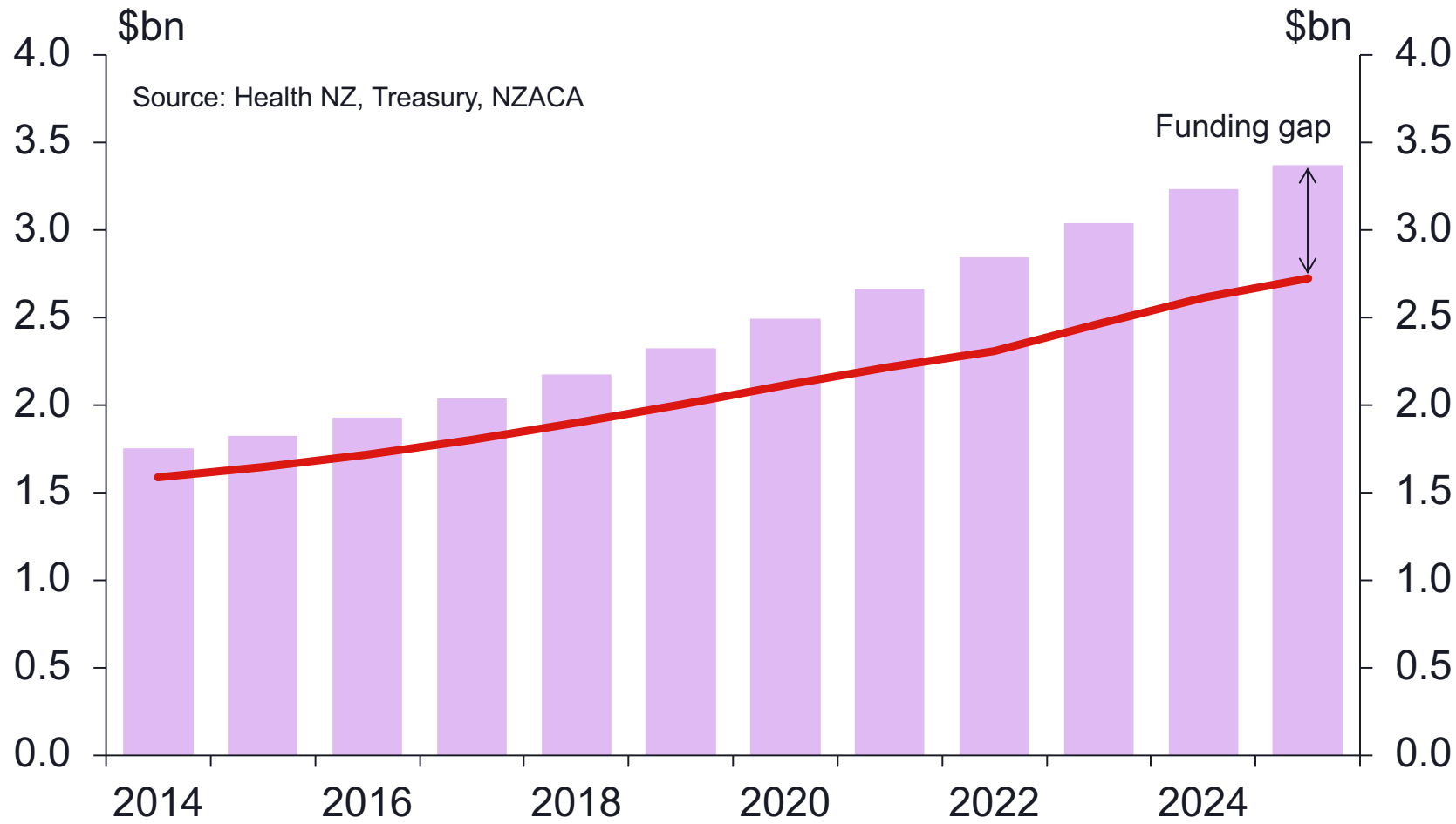
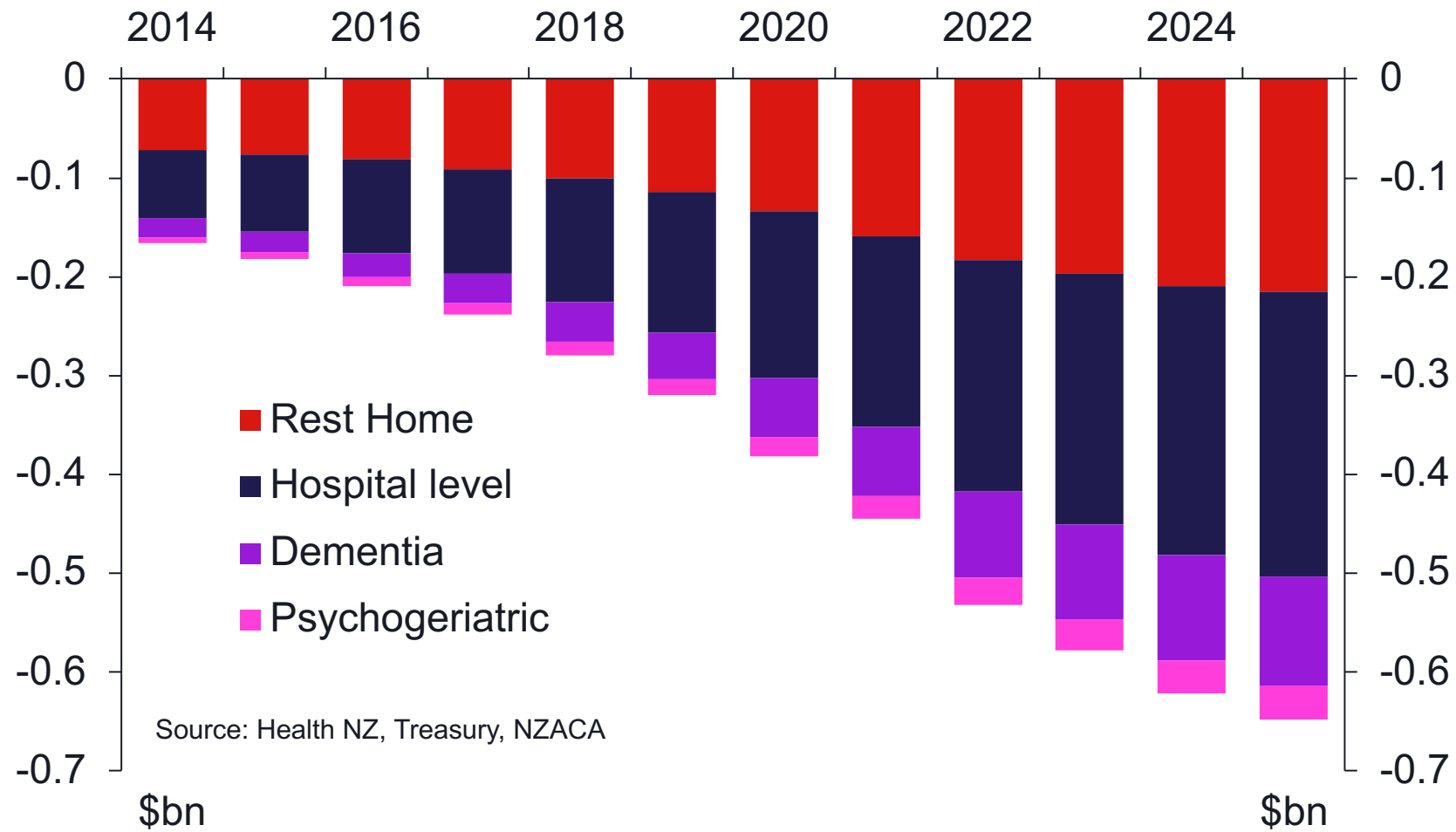


Figure 14: Gap between ARC funding and delivery costs by level of care



Closing the gap.

ARC providers are responding to funding pressures through a combination of revenue diversification, operational efficiencies, and service adaptation. Village-linked providers benefit from retirement village income streams, including DMFs, ORA relicensing gains, and development profits, which support care operations and investment in new facilities. Both village-linked and standalone providers also generate additional revenue through premium accommodation and in the case of the former, care suites.

Some providers are looking to achieve productivity gains through technology, procurement savings, shared services, workforce optimisation, and scale efficiencies. Many are also increasing capacity in hospital, dementia, and psychogeriatric care to meet growing demand from residents with more complex needs. However, funding growth has generally not kept pace with rising labour, clinical, compliance, and capital costs, leading some providers to defer refurbishments, developments, or capacity expansion.

While these measures help improve financial sustainability and adapt services to changing demand, most providers view them as insufficient to fully address the sector's underlying funding gap.

Consequently, the sector continues to advocate for funding arrangements/reforms that better reflect the cost of care delivery and support future capacity growth. Coverage includes the modernising of the funding model, increasing support for capital investment, improving funding transparency, the reviewing of cost sharing arrangements between residents and government, and the changing of regulatory settings to reduce compliance costs.

ORA is big business.

Using public domain information, we estimate that ORA generated from annual unit sales (circa 8,000 at an average price of \$600k) is worth about \$5bn a year to retirement village operators.



Profitability.

The ongoing challenge of delivering residential care on a financially sustainable basis is shown in table 7. Care-related revenue, including government funding, resident contributions, premium room charges, and ancillary services, is often insufficient to fully cover operating costs, particularly in hospital and psychogeriatric care where clinical, staffing, and compliance requirements are greatest. As a result, care-only margins are frequently negative or only marginally positive.

Financial performance therefore depends heavily on provider business models. Village-linked operators can supplement care revenue through property-related income streams, including DMFs, ORA (new sales and relicensing gains), development profits, and village service fees. These revenue sources can offset care deficits and, for many operators, contribute more to overall profitability than care services themselves. That said, with the funding gap having expanded over time, village-linked operators have become less inclined to divert profits from their village operations, resulting in new villages being designed with a lower proportion of care units than historically has been the case, which means fewer care units available in the future to meet rising demand.

This doesn’t apply to standalone providers that are typically more reliant on government funding and accommodation payments, leaving them more exposed to rising costs and funding pressures.

Performance also varies between care types. Hospital and psychogeriatric services generally face the strongest margin pressure because of higher staffing ratios and resident acuity. Dementia care is similarly resource intensive, although specialised service offerings and accommodation charges may partially offset costs. Rest home care tends to have lower clinical intensity and therefore faces less financial pressure than higher-acuity services.

Providers have increasingly relied on accommodation supplements and premium room charges to support viability, with a substantial majority of residents now making some form of accommodation contribution. To that end, transferring a greater share of costs to residents improves provider sustainability.

Overall, the figures reinforce a key sector trend: while aged residential care is fundamentally a care-based service, the financial sustainability of many providers – particularly village-linked operators – depends on access to diversified revenue streams. Property-related income has become increasingly important for funding investment, maintaining service quality, expanding capacity, and bridging the gap between the cost of care and government-funded revenues.

Table 7: Indicative ARC financials by level of care*

Item (\$ per bed per day)	Total ARC	Rest home	Hospital	Dementia	Psychogeriatric
Total care funding	100 to 108	78 to 86	88 to 102	82 to 96	78 to 92
Premium/extra services	6 to 10	6 to 10	3 to 7	10 to 8	3 to 7
Respite/ancillary	3 to 5	3 to 5	2 to 5	2 to 5	1 to 4
Operating revenue (care-side only)	109 to 123	87 to 101	93 to 114	94 to 119	82 to 103
Operating costs (care-side attributable)	115 to 129	102 to 116	112 to 130	110 to 128	112 to 132
Care-only profit	-20 to -6	-15 to -1	-22 to -6	-18 to -4	-30 to -10
ORA/DMF income	20 to 28	15 to 22	18 to 28	15 to 24	N/A
Development/resale margin	6 to 12	3 to 8	4 0	4 to 10	N/A
Village fees (net)	6 to 10	6 to 9	6 to 10	6 to 10	N/A
Property + other uplift	22 to 34	23 to 39	20 to 34	24 to 40	N/A
Total operating profit	2 to 28	8 to 38	-2 to 28	6 to 36	

Sources: Health New Zealand, Ministry of Health, NZ Aged Care Association, provider disclosures and industry analysis.

* Figures are indicative estimates only and should not be interpreted as actual provider-level results. Financial performance varies materially by occupancy, location, scale, ownership structure, care mix, and retirement village integration. Care-only profitability is often negative, with many village-linked providers relying on retirement village-related income streams to support the overall economics of aged care provision.

Basis of competition.

While village-linked and standalone providers operate within the same funding and regulatory environment, they typically compete in different segments because their business models, revenue sources, and access to capital differ.

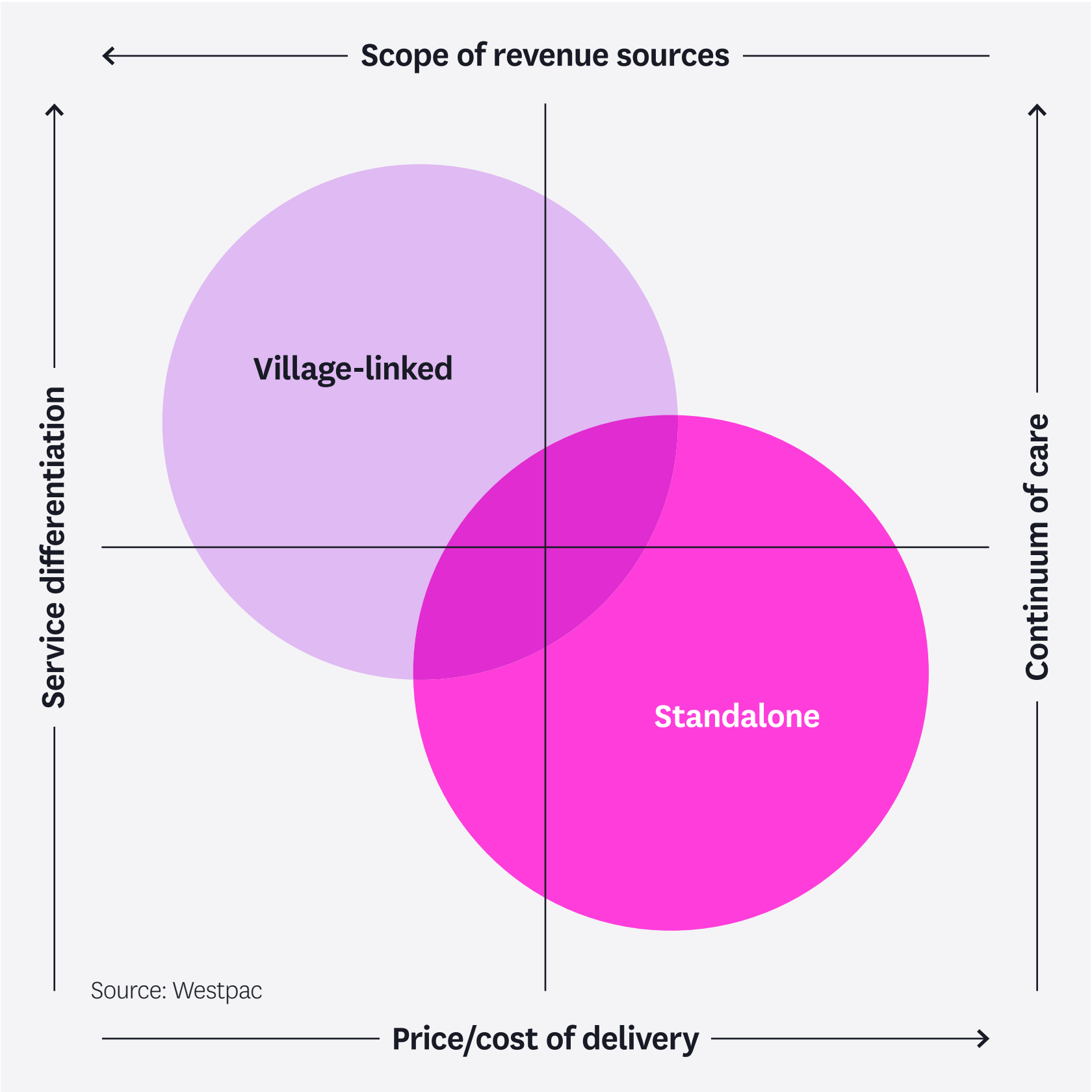
Village-linked providers generally compete through differentiation rather than price. Income from retirement villages, ORAs, DMFs, and care services supports greater investment in facilities, amenities, redevelopment, branding, and service quality. Competition is therefore focused on resident experience, care quality, reputation, modern facilities, and the ability to support residents as their care needs change. Managing costs remain a key focus. The retirement village business model also provides capital that can be reinvested into care services and infrastructure.

Standalone providers face different constraints. Relying primarily on care-related revenue, they generally have less capacity for large-scale capital investment or premium offerings. Competition therefore centres on care quality, occupancy, local relationships, operational efficiency, and cost control. Many also specialise in specific care segments rather than providing a full continuum of care, making competition more localised.

The distinction is not absolute. Some well-capitalised standalone and medium-sized providers with modern facilities compete directly with village-linked operators on quality and service. However, competition remains strongest within each segment, reflecting differences in revenue models, capital resources, and strategic priorities.

For further detail on how village-linked and standalone ARC providers compete, refer to Appendix C.

Figure 15: Basis of competition



Competitive pressures.

Competitive pressures are high for village-linked providers and very high for standalone ARC providers, The source, intensity, and direction of competitive pressures also differ.

Industry rivalry is high and increasing for both models. Village-linked providers compete for retirement village residents, premium sites, and development opportunities, with competition centred on lifestyle offerings, facility quality, reputation, and access to a continuum of care. For standalone providers, rivalry is also high and increasing, although competition is more localised and focused on occupancy, care quality, clinical capability, reputation, and operating efficiency.

The threat of new entrants is low and broadly stable for village-linked providers due to high land, capital, development, and regulatory requirements. This threat is moderate and stable for standalone providers. That said, while barriers are lower, workforce shortages, compliance requirements, and relatively low care-sector margins continue to discourage new entry in the standalone sub-segment.

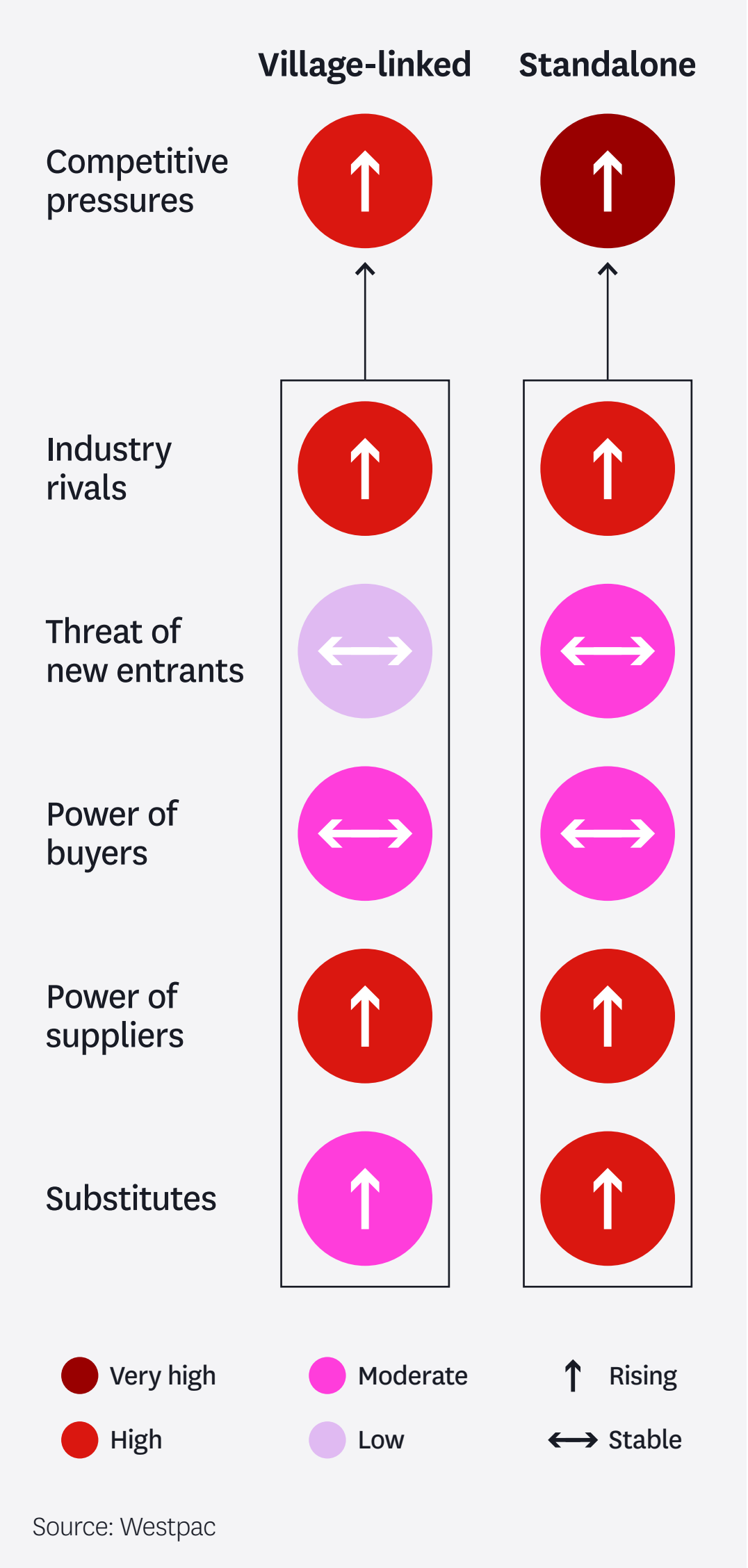
Supplier power is high and rising across the sector because nurses, caregivers, and clinical staff remain in short supply. The impact is greater for standalone providers, which have less scale and fewer opportunities to absorb rising labour costs. Village-linked providers generally benefit from stronger recruitment capability, greater operating scale, and more diversified income streams.

Buyer power is moderate and broadly stable. Residents and families can choose providers based on location, care quality, facilities, and reputation, particularly in larger urban markets. However, demand remains largely needs-based and capacity constraints limit buyer bargaining power. Government also exerts significant influence through funding and pricing arrangements.

The threat of substitutes is moderate to high and increasing, reflecting the expansion of home and community-based services that allow older people to remain at home longer and delay entry into residential care. This pressure is generally greater for standalone providers, particularly those focused on lower-acuity care. Village-linked providers are less exposed because retirement villages can act as an intermediate step between independent living and residential care.

Overall, village-linked providers face their greatest pressures from rising rivalry, housing market exposure, and development risk. While ORA sales, DMFs, relicensing gains, village fees, and development activity provide financial resilience, weaker housing markets, slower sales, higher debt, and elevated construction costs can reduce profitability and growth. Standalone providers face greater pressure from rising supplier power, funding constraints, and substitutes. Their reliance on care-related revenue makes them more exposed to labour cost inflation, workforce shortages, and rising operating costs. Consequently, competitive pressure is assessed as high and increasing for village-linked providers and high to very high and increasing for standalone providers.

Figure 16: Summary of competitive forces



Critical success factors.

For both village-linked and standalone ARC providers, long-term success depends on five key factors: clinical quality, workforce capability, occupancy, financial sustainability, and facility quality. While both models generally deliver acceptable care outcomes, village-linked providers tend to perform better overall because retirement villages provide additional revenue streams, stronger referral pathways, and greater scale. As such, the effective integration of the retirement village and aged care business is the most critical success factor for village-linked providers.

Clinical quality is also of critical performance. Most providers meet regulatory standards and achieve acceptable resident outcomes despite increasing care complexity. Village-linked providers generally

have a modest advantage due to stronger clinical governance, larger multidisciplinary teams, and greater investment in training, technology, and quality improvement. Standalone providers also perform well, although smaller scale can limit access to specialist expertise and investment.

Workforce attraction, retention, and productivity remain significant challenges. Village-linked providers are generally better positioned because they offer broader career pathways, stronger recruitment capability, and greater staffing flexibility. Standalone providers often face greater recruitment difficulties, particularly in regional and rural areas, and have less capacity to absorb rising labour costs.

Occupancy and demand management are among the strongest-performing success factors. Village-linked providers benefit from residents transitioning

from independent living to care within the same organisation, supporting occupancy and retention. Standalone providers also benefit from strong demographic change but rely more heavily on external referrals and local market conditions.

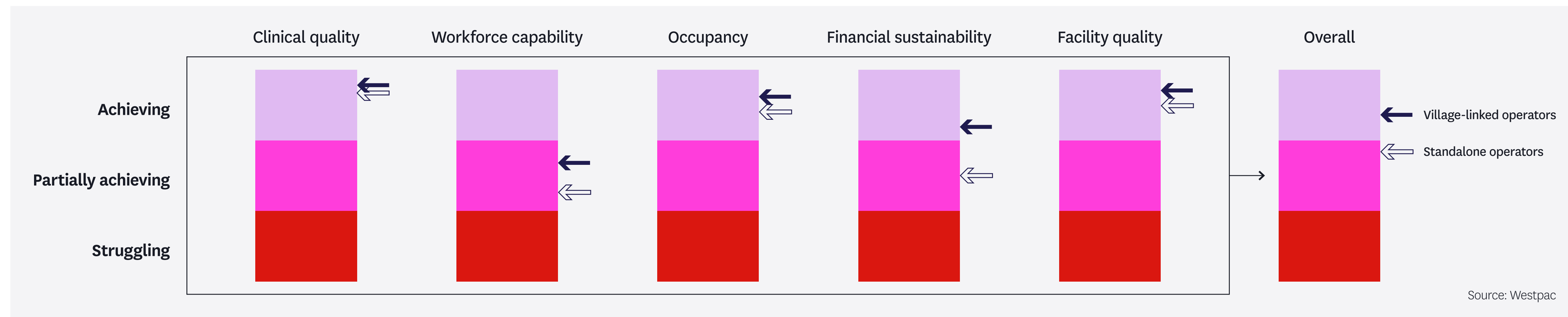
The largest difference between the models lies in financial sustainability. Village-linked providers benefit from diversified income streams, including DMFs, ORA relicensing gains, development profits, and village service fees, which help offset pressure on care margins. However, they remain exposed to housing market conditions and development risk. Standalone providers rely on government funding, resident fees, and accommodation payments, making them more vulnerable to funding constraints and rising costs.

Facility quality also tends to favour village-linked providers. Larger operators generally have greater

access to capital and can invest more consistently in modern accommodation, technology, amenities, and redevelopment. While many standalone providers maintain good-quality facilities, capital constraints can limit refurbishment and expansion.

Overall, village-linked providers generally outperform standalone providers in occupancy, financial sustainability, and facility quality due to the advantages of retirement village integration and diversified revenue streams. Standalone providers often perform comparably on clinical quality but face greater challenges in workforce management, capital investment, and financial resilience. As a result, the integrated village-care model remains the stronger-performing model, although both provider types continue to face workforce shortages, rising costs, and increasing resident acuity.

Figure 17: Sector assessment against critical success factors





Opportunities and challenges.

The sector's strongest opportunities are driven by favourable demographic trends. Population ageing, increasing longevity, rising dementia prevalence, and growing demand for higher-acuity care are expected to support sustained growth in aged residential care demand over coming decades. Additional opportunities exist to improve productivity and expand capacity through greater use of technology, operational efficiencies, and scale.

These opportunities are balanced by several significant challenges. Providers continue to face a widening gap between funding and the cost of care, persistent workforce shortages, increasing resident complexity, rising capital requirements, and growing competition from home and community-based care services. As a result, while long-term demand remains strong, financial sustainability and capacity growth are likely to remain key pressures across the sector.

Recommendations.

To capitalise on these opportunities, village-linked providers should leverage their scale, access to capital, and retirement village integration to expand into high-growth urban markets, increasing hospital, dementia, and psychogeriatric capacity, and strengthening specialist services. They should also maximise village-to-care pathways, occupancy, and property income, while using technology, centralised functions, and selective acquisitions to improve efficiency and expand capacity.

Standalone providers should focus on underserved regional markets, specialist or niche care offerings, and premium accommodation where feasible. Technology, procurement groups, shared services, and strategic alliances can help reduce costs and strengthen competitiveness.

Addressing the sector's challenges will require different strategies. Both village-linked and standalone providers should be advocating for funding reforms. In addition, we think village-linked providers should continue to improve efficiencies, diversify revenue sources, strengthen workforce recruitment and retention, build specialist clinical capability, prioritise developments in high-demand locations, and reinforce continuum-of-care pathways.

Standalone providers should focus on cost control, occupancy, and revenue optimisation. Strong workplace culture, local employment relationships, staff development, and clinical governance will be important to managing workforce pressures and increasing resident acuity. Capital should be directed towards targeted refurbishments and expansion projects, with a greater focus on higher-acuity and specialist services that are less vulnerable to substitution from home-based care.

Appendix A.

Table A1: ARC delivery models in New Zealand

Dimension	Model 1: Listed, large corporates	Model 2: Private, large corporates	Model 3: Large not-for-profit/charitable providers	Model 4: Private, medium sized providers	Model 5: Small independent/single-site operators	Model 6: High acuity specialist providers
Providers	Ryman Healthcare, Radius, Summerset, Oceania	Bupa, Heritage, Arvida*, Metlifecare*, Alden	Presbyterian Support and other faith/community trusts	Regional private chains	Single-site private operators	Small number of specialist providers (e.g. dementia/psychogeriatric)
Characteristics	National coverage	National to multi-regional coverage	Regional to national footprint (often geographically concentrated)	Selected regional coverage	Local	Typically located in larger population centres
	ARC facilities typically co-located with retirement villages	Mix of village-linked and standalone	Mission-driven rather than profit-maximising	Typically not co-located	Limited economies of scale	Narrow specialist service focus
	ARC is one component of a broader property-based business	Mixed care and property exposure	Often long-established with legacy land/buildings	Moderate scale enabling some centralisation	Often ageing infrastructure	High clinical skill and staffing intensity
	Strong balance sheets with access to capital	Moderate to strong access to capital (often shareholder-backed)	Limited access to fresh capital	Generally privately owned and debt funded	Often owner-operated or family businesses	Heavily reliant on public funding and service contracts
Economics	ARC delivers lower returns and supports overall village profitability	Low-margin but commercially sustainable at a portfolio level	ARC typically operates around breakeven or loss, supported by donations and asset recycling	Thin margins	ARC delivers thin margins	Margins typically very thin due to high clinical cost base
	Viability supported by cross-subsidisation (village margins, fees, ORAs)	Limited internal cross-subsidy	Limited ability to offset losses beyond asset sales, cost control and external funding	Occupancy and acuity critical	Structurally challenged under the current funding model, highly occupancy dependent	Viability depends on subsidies and cross-support from related services
Strategic behaviour	Willing to expand into higher-acuity care despite lower margins	Disciplined expansion; portfolio optimisation	Continue providing services despite financial pressure	Cautious expansion into higher acuity	May exit market (sell or close facilities)	Capacity constrained due to specialist workforce requirements
	Continue investing to support village value and resident proposition	Selective capex, refurbishments and acquisitions	Under pressure to rationalise capacity and older facilities	Limited new builds; portfolio churn	Often reduces service scope to manage costs	Highly sensitive to staffing availability and funding changes

Source: NZ Retirement Commission (sector and international scans), OECD long-term care framework, Australian Department of Health (AN-ACC), company disclosures.

* Arvida and Metlifecare operate similar to Ryan and Summerset on the “Economics” dimension.

Table A2: ARC New Zealand peer comparisons

Feature	New Zealand	Australia	United Kingdom	Canada
System type	Publicly funded, price-regulated, privately delivered	Public subsidies and user contributions, privately delivered	Social care, means-tested, largely privately delivered	Publicly funded health plus mixed long-term care, user-paid accommodation
Access trigger	Needs assessment (NASC)	Needs assessment	Local authority needs and means assessment	Provincial needs assessment
Means testing	Yes: determines subsidy and contributions	Yes: determines care and accommodation contributions	Yes: strict means testing	Yes: varies by province
Who pays for care	Govt pays if eligible, others self fund up to a maximum contribution. Govt funds balance for higher levels of care.	Govt majority via AN-ACC, resident co-pay	State pays if eligible, others self-fund	Provinces fund medical/nursing care
Who pays for accommodation	User-paid (means-tested, capped)	User-paid	User-paid	User-paid (often capped)
Price setting	National regulated prices	AN-ACC funding model	No national prices, locally set	Provincial budgets and fees
Care differentiation	4 care levels	Case-mix (AN-ACC)	Residential/nursing/dementia	Varies by province
Provider ownership	Mostly private for-profit	Mixed (for-profit and not-for-profit)	Mixed, mainly private	Mixed (public, non-profit, private)
Capital funding model	Provider-funded (debt/equity)	User and provider capital	User-funded/developer-led	Mixed, often publicly supported
Financial risk – providers	High	Moderate	High	Mixed
Equity of access	High once eligible	Moderate-high	Low-moderate	High for care, mixed for accommodation

Source: NZ Retirement Commission (international scan), Australian Dept. of Health (AN-ACC), OECD long-term care framework, National Institute on Ageing (Canada), country funding frameworks.

Appendix B.

Table B1: Value proposition of ARC business models

Aspects	Village-linked ARC providers	Standalone ARC providers
Core value proposition	Lifestyle and care continuum. From a provider’s view, care is supplementary to its lifestyle offering.	Care only service – no lifestyle offering.
Target customers	Wealthier residents and existing village residents transitioning into care.	Rest of the population, which means a heavy reliance on RCS.
Quality and amenities	Competes on having modern facilities, premium rooms, lifestyle offering. Village cashflows fund ongoing upgrades and redevelopment.	Competes on basic care quality and reputation. Facilities tend to older and with more basic facilities, that offer less amenity differentiation.
Pricing/revenue flexibility	Can offer premium rooms and extras (supported by village brand and positioning), allowing for premium pricing.	Limited pricing power; relies more on standard funding and small top-ups to complex care needs.
Demand pipeline	Internal pipeline-village residents transition through stages of care.	Must compete for external referrals only (GPs, hospitals, NASC).
Location strategy	Often in premium/high-demand locations linked to villages.	More mixed, often local/community-based.
Service offering (continuum of care)	More likely to offer fuller continuum of care i.e., rest home, hospital and dementia care as needs rise. Psychogeriatric care is a very small offering.	Often more limited care mix – typically rest home and some hospital care Most psychogeriatric care is provided by standalone operators.
Brand and reputation	Competes on strong national brands and integrated retirement lifestyle proposition.	Competes on local reputation and relationships.
Occupancy management	More stable as residents move through continuum of care plus brand pull.	More volatile; relies on local demand conditions.
Staffing capability	Better ability to attract staff because of scale, pay and better career prospects.	Competes on culture and flexibility, but face recruitment challenges.
Cost efficiency	Benefits from scale economies (larger sites with more beds, centralised procurement, systems).	Smaller scale implies lack of economies of scale and higher unit costs of delivery.
Capital investment	Competes through continuous reinvestment in facilities (funded by village model). New builds are common.	Limited ability to invest/re-invest facilities often older/slower to upgrade.
Business resilience	Competes with diversified income (property and care).	Compete purely on care performance and cost control.

Source: New Zealand Retirement Commission, New Zealand Aged Care Association, Grant Thornton, EY, IBISWorld, company disclosures.

Appendix C.

Table C1: How village-linked providers compete

Driver	How they compete	What “winning” looks like
Location strategy	• Target high-growth, high-income areas. • Co-locate villages and care facilities.	Sites in desirable locations with strong demand and pricing power.
Village offering (entry funnel)	• Attract residents into retirement villages earlier. • Offer strong lifestyle proposition.	Large resident base feeding into care pipeline.
Facility quality and design	• Continuous upgrades, premium rooms (larger, ensuite, care suites) and hotel-style amenities.	“Best-in-class” facilities that justify premium fees and attract high-income residents.
Brand and reputation	• Invest in national brand recognition. • Market lifestyle and continuum of care.	Strong brand that drives demand and trust.
Continuum of care	• Provide full range of care level services.	Ability to retain residents as care needs escalate.
Customer experience	• Focus on lifestyle, wellbeing, and service quality. • Differentiate on non-clinical aspects.	High resident satisfaction and referrals.
Pricing/premium positioning	• Offer differentiated accommodation and extras. • Segment rooms by price/quality.	Ability to capture higher fees above regulated funding.
Occupancy optimisation	• Use internal pipeline from village residents. • Manage mix of residents and care levels.	High and stable occupancy across care levels.
Product mix strategy	• Shift toward premium rooms/care suites. • Adjust mix toward higher-acuity care.	Better revenue yield per bed.
Development pipeline	• Build new villages to expand care capacity. • Villages are looking to limit care options to existing residents.	Ongoing growth and asset recycling.
Capital access and deployment	• Use ORA inflows/balance sheet strength to fund expansion.	Ability to invest ahead of competitors.
Scale and efficiency	• Operate large sites (100–300 beds) for efficiency. • Centralise operations (procurement, systems).	Lower unit costs and higher margins.
Staffing attractiveness	• Offer career pathways, scale, and better conditions.	More stable workforce and care quality.

Source: NZ Retirement Commission, OECD, PWC, BDO, IBISWorld, company disclosures.

Table C2: How standalone providers compete

Driver	How they compete	What 'winning' looks like
Occupancy and vacancy management	- Operators compete on speed and certainty of admission, and on minimising empty-bed days. - Operators have to be able to respond quickly to referrals, streamline admissions, manage waitlists and bed flow.	Sustained high occupancy with low churn and minimal empty-bed days.
Workforce stability and agency dependence	Providers compete on improved rosters, retention, supervision, and reduced agency use.	Tight rostering, a focus on staff retention, recruitment pipelines, flexible shifts, float/backfill where possible.
Unit-cost control (labour and overhead)	Providers focus on optimising the skills mix, improve procurement efficiencies, reduce non-care overhead layers, and standardise consumables	Cost per resident per day (unit cost) is lower than peers without triggering quality failures.
Referral network strength (NASC/hospital/GP)	- Preferred-provider status drives steady inflow. - Build trusted relationships, be 'easy to place', fast clinical info and paperwork.	Repeat referrals and stable inflow even when capacity tight.
Quality and compliance performance	- Internal audits, documentation discipline, training compliance, rapid corrective action to ensure quality standards are met. - Avoidance of negative signals to regulator/referrers.	Clean/low-severity audit findings every cycle, fast closure of actions and low compliance burden.
Clinical risk management	- Falls/infection control, meds management, escalation protocols, care planning discipline. - Providers compete by reducing hidden costs (labour spikes, transfers, claims).	Lower adverse events relative to acuity mid, fewer 'cost shocks', and less complaints.
Case-mix/acuity fit (right resident for capability)	Manage care level mix, align staffing/skills with acuity, avoid wrong-fit placements.	Better revenue mix without Registered Nurse/clinical cost blowout.
Reputation and family experience (local market trust)	- Strong communication, transparency, consistent experience, culturally aligned care. - Better reputation increases referrals/occupancy and reduces marketing effort.	Word-of-mouth momentum and strong conversion, fewer complaints.
Asset utilisation and configuration	- Minimise idle wings, reconfigure rooms where possible, targeted refurb for appeal. - No idle capacity and rooms match demand.	Improves revenue without major capex, raises return on existing assets.
Capital discipline and maintenance backlog control	- Prioritise safety/compliance capex, stage refurb, avoid capex cliffs. - Compete on surviving without overinvesting.	Cashflow resilience with manageable backlog.

Source: Health New Zealand, Ministry of Health, NZ Aged Care Association, OECD, BDO, PWC, BERL, IBISWorld.

Contact

Westpac Economics Team
westpac.co.nz/economics
economics@westpac.co.nz



Kelly Eckhold, Chief Economist
+64 9 348 9382 | +64 21 786 758
kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist
+64 9 336 5668 | +64 21 710 852
satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist
+64 9 367 3368 | +64 21 794 292
darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist
+64 9 336 5670 | +64 21 749 506
michael.gordon@westpac.co.nz

Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

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Westpac Banking Corporation.

27 August 2026

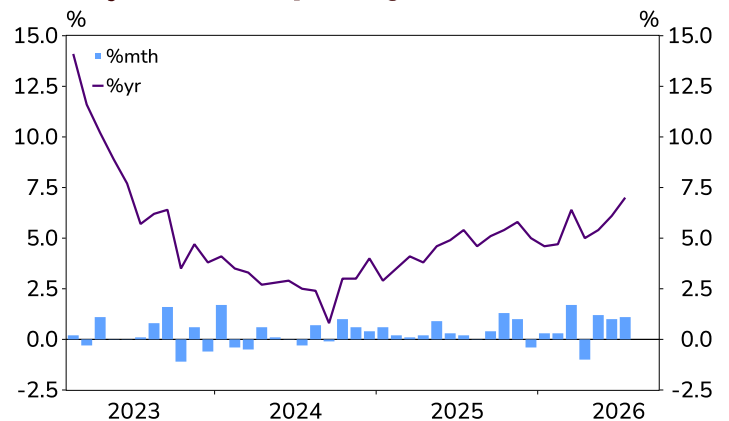
HOUSEHOLD SPENDING INDICATOR BULLETIN

Spending continues to defy expectations

Key points

- Household spending rose 1.1%*mt* in July (June revised to 1.0%*mt*), lifting annual growth to 7.0%*yr*. The three-month pace accelerated to 3.3%, the strongest in almost four years.
- Discretionary spending remains the key driver, rising 4.5% over the past three months versus 1.1% for non-discretionary spending, suggesting softer spending on essentials has freed up capacity elsewhere.
- The strength was broad-based, with all nine spending categories recording gains, led by clothing & footwear, recreation & culture, and miscellaneous spending.
- All mainland states recorded gains for the third consecutive month, led by WA (+1.5%*mt*), Victoria (+1.3%*mt*) and Queensland (+1.1%*mt*).
- Spending continues to surprise to the upside. Some of this is a prices story but there appears to be genuine underlying momentum which our internal card data shows extended into August.

Monthly Household Spending Indicator Growth



Source: ABS, Macrobond, Westpac Economics

Jul household spending indicator: 1.1%*mt*, 7.0%*yr*

Higher prices or genuine momentum? Likely both



Neha Sharma
Economist

The monthly household spending indicator rose 1.1%_{mt} in July, with June revised 0.2ppts higher to 1.0%_{mt}, this took the annual pace to 7.0%_{yr}. The three-month pace firmed to a robust 3.3% from 1.2% in June and is the strongest in nearly four years. The result was well-above both Westpac's and the market's expectations.

Services continued to lead, up 1.5%_{mt} (6.8%_{yr}), while goods spending rose 0.7%_{mt} (7.2%_{yr}). Discretionary and non-discretionary spending increased at a similar pace in July, up 1.0%_{mt} (7.8%_{yr}) and 1.1%_{mt} (5.6%_{yr}) respectively. However, over the past three months discretionary spending has significantly outperformed, rising 4.5% versus 1.1% for non-discretionary. As highlighted in the **Westpac-DataX Card Tracker**, softer spending on essentials appears to have freed up capacity for discretionary purchases (see [here](#)).

All nine spending categories recorded gains, underscoring the broad-based nature of the increase. Clothing & footwear led the way, up 1.6%_{mt}, followed by recreation & culture (1.5%_{mt}), miscellaneous spending (1.3%_{mt}) and health (1.2%_{mt}). Hotels, cafés & restaurants (+1.1%_{mt}) and food (+1.0%_{mt}) also rose strongly, with the ABS citing price rises being a notable factor for the higher spending. Alcohol & tobacco spending increased 0.9%_{mt}, while transport (+0.6%_{mt}) and household furnishings (+0.4%_{mt}) posted more modest gains. For transport, higher fuel prices appear to have driven a weaker consumption response. Nominal fuel spending rose 2.2%_{mt}, but fuel volumes fell 4.7%_{mt} following the scaling back of the fuel excise discount to 16c/l in July.

All mainland states recorded gains for the third consecutive month. WA was out in front with spending rising 1.5%_{mt}, followed by Vic (+1.3%_{mt}), Qld (+1.1%_{mt}), with NSW and SA both up 0.7%_{mt}.

Consumer spending continues to surprise to the upside, despite facing several headwinds. While the ABS highlighted firmer prices as a driver of spending growth in some categories, the strength is evident even in real per capita terms, suggesting a genuine underlying demand pulse. Our **Westpac-DataX Card Tracker** also shows solid momentum carrying into early-August, including spending by Australians travelling overseas. Although this sits outside the scope of this release, it will be captured in the Q3 national accounts.

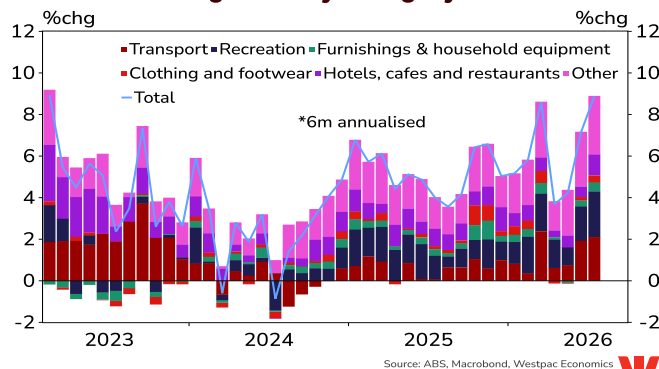
The transport detail highlights some of cross-currents. Consumers scaling back on fuel consumption is unlikely to be sustained indefinitely. So eventually some spending will re-shift towards essentials. Additionally, higher interest rates are still making their way through the economy including through softening labour market trends which will dampen spending.

Household spending indicator – July 2026

	\$bn	% chg mth		% chg yr	
	Jul-26	Jun-26	Jul-26	Jun-26	Jul-26
sa	82.34	1.0	1.1	6.1	7.0
trend	81.68	0.6	0.6	6.0	7.0

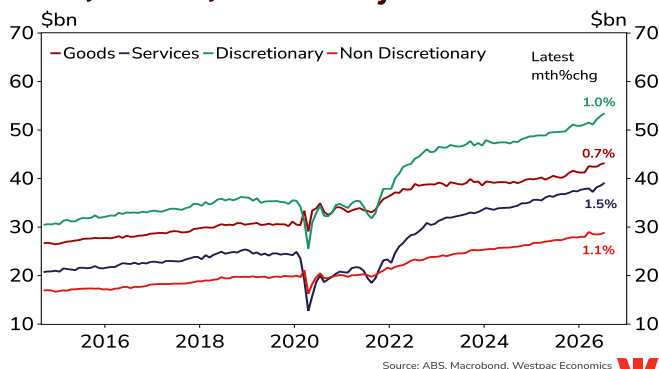
Source: ABS, Macrobond, Westpac Economics.

Contribution to growth by category: nominal



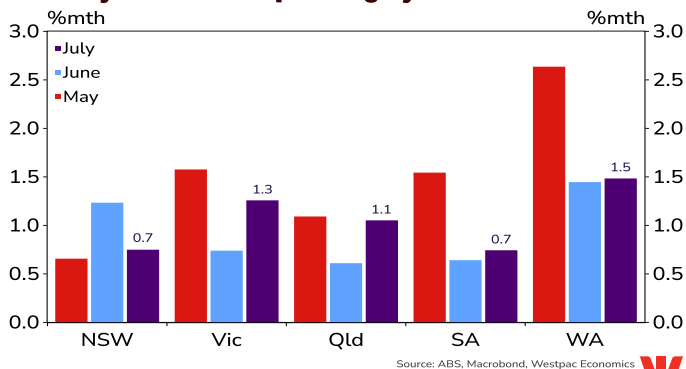
Source: ABS, Macrobond, Westpac Economics

Goods, services, discretionary & non-discret.



Source: ABS, Macrobond, Westpac Economics

Monthly household spending by state



Source: ABS, Macrobond, Westpac Economics



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Q2 Wage Price Index: steady

#wages

#inflation

#labour



By Ryan Wells

Economist, Westpac

13:14 August 19 2026

 Share

Private wages continue to decelerate while public wages provide a bit of an offset, before the award wage lift in Q3. Q2 2026: 0.8%qtr, 3.2%yr.

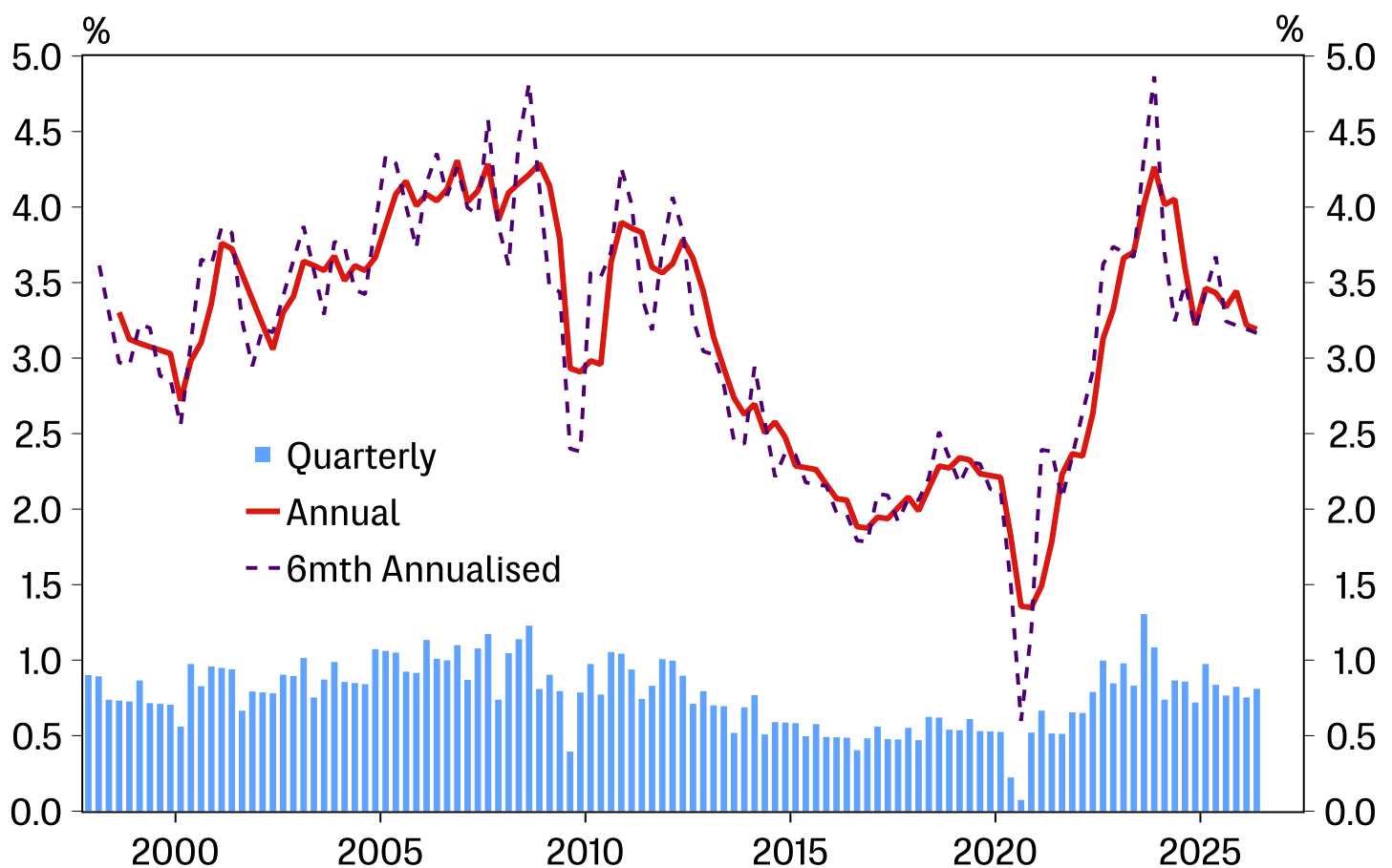


- The Wage Price Index (WPI) rose 0.8% in Q2 2026, in line with Westpac's forecast and the market consensus. Wages growth is softer than in 2025, when the bump higher in public sector wages

brought annual growth closer to the 3½% mark; at 3.2%yr, wages growth is currently tracking slightly below the RBA's forecast (3.3%yr).

- Overall, the mix was broadly as expected. Private sector wages have continued to decelerate to its softest pace since Q4 2021, in line with a softer labour market. Meanwhile, public sector wages provided a bit of an offset, with the ABS noting gains from government public service jobs and scheduled rises under the existing APS-wide enterprise agreement for Commonwealth employees.
- Q3's result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that wages growth will nudge back up to 3.4%yr but whether a higher pace can be sustained will depend on how the labour market evolves from here – the recent sharp rise in underemployment is a key signal to watch going forward.

Wages growth not a concern for inflation at present



Source: ABS, Macrobond, Westpac Economics



Wages by Sector

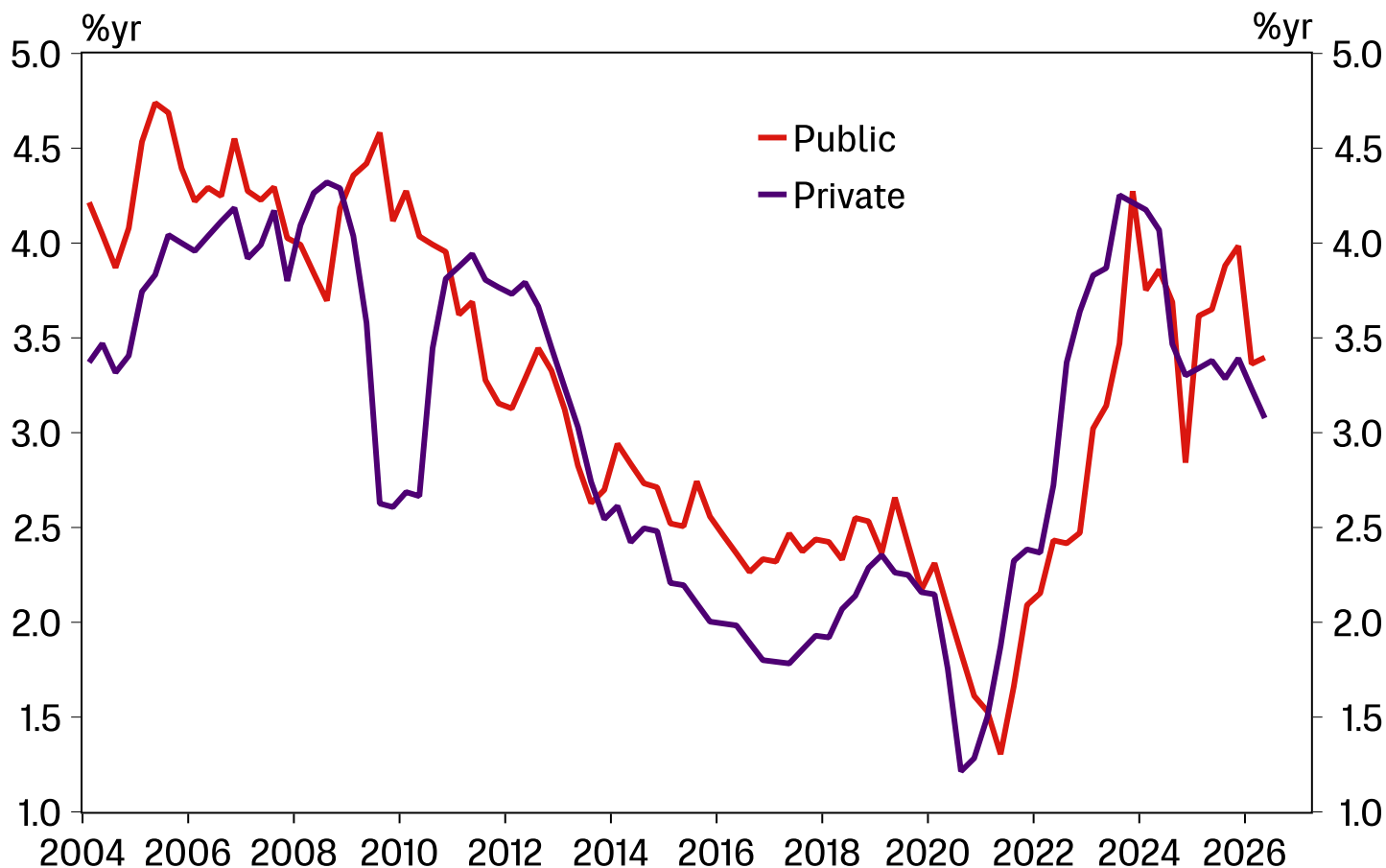
By sector, private wages (excl. bonuses) have continued to decelerate. In Q2, private wages grew by 0.7%, the smallest quarterly gain since the Q4 2021, during the 'delta' outbreak of COVID-19. This leaves the annual pace at 3.1%yr, down from 3.4%yr six months ago. This is in line with the evidence of a softer labour market over the first half of this year. Most notably, a sharp rise in underemployment has surfaced over recent months, likely tied to added pressure from the cost-of-living and interest rate rises, causing more people to seek extra hours of work.

Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (10% vs. 12%), but of those jobs, they recorded around the same average hourly wage increase (3.9%).

Public wages provided a bit of an offset to the private sector in the quarter, gaining 0.9% in Q2, echoing the solid momentum from this time last year, allowing the annual rate hold steady at 3.4%yr. The ABS noted the main driver of the gain were state government public service jobs, in addition to “scheduled rises paid under the existing APS-wide enterprise agreement for Commonwealth employees.”

Interestingly, compared to the same quarter a year ago, there was a larger proportion of jobs in the public sector that recorded a wage increase (25% vs. 20%), but of those jobs, they recorded a smaller average hourly wage change (3.1% vs. 3.5%). This speaks to a broader base of wages growth across the public sector at present, compared to last year’s public sector wage gains which were led by specific state-based enterprise agreements and an increase in aged care wages.

Private wages decelerate, public wages offset a touch



Source: ABS, Macrobond, Westpac Economics



Industry

The contribution from public sector wages was clearly apparent in the industry data. In the quarter, public administration and safety was the largest contributor to aggregate wages growth – impressively, this matched the contribution from health care and social services, Australia’s largest industry with

around three-times as many jobs as public administration and safety.

Across the individual industries, health care and social assistance is still leading the pack in terms of annual wages growth (3.8%yr), followed by public administration and safety (3.6%yr) and utilities (3.6%yr), then mining (3.5%yr) and transport, postal and warehousing (3.5%yr). The main laggards are those industries dominated by private sector jobs, including professional, scientific and technical services (2.5%yr), financial and insurance services (2.7%yr) and administrative and support services (2.7%yr).

Bargaining Stream

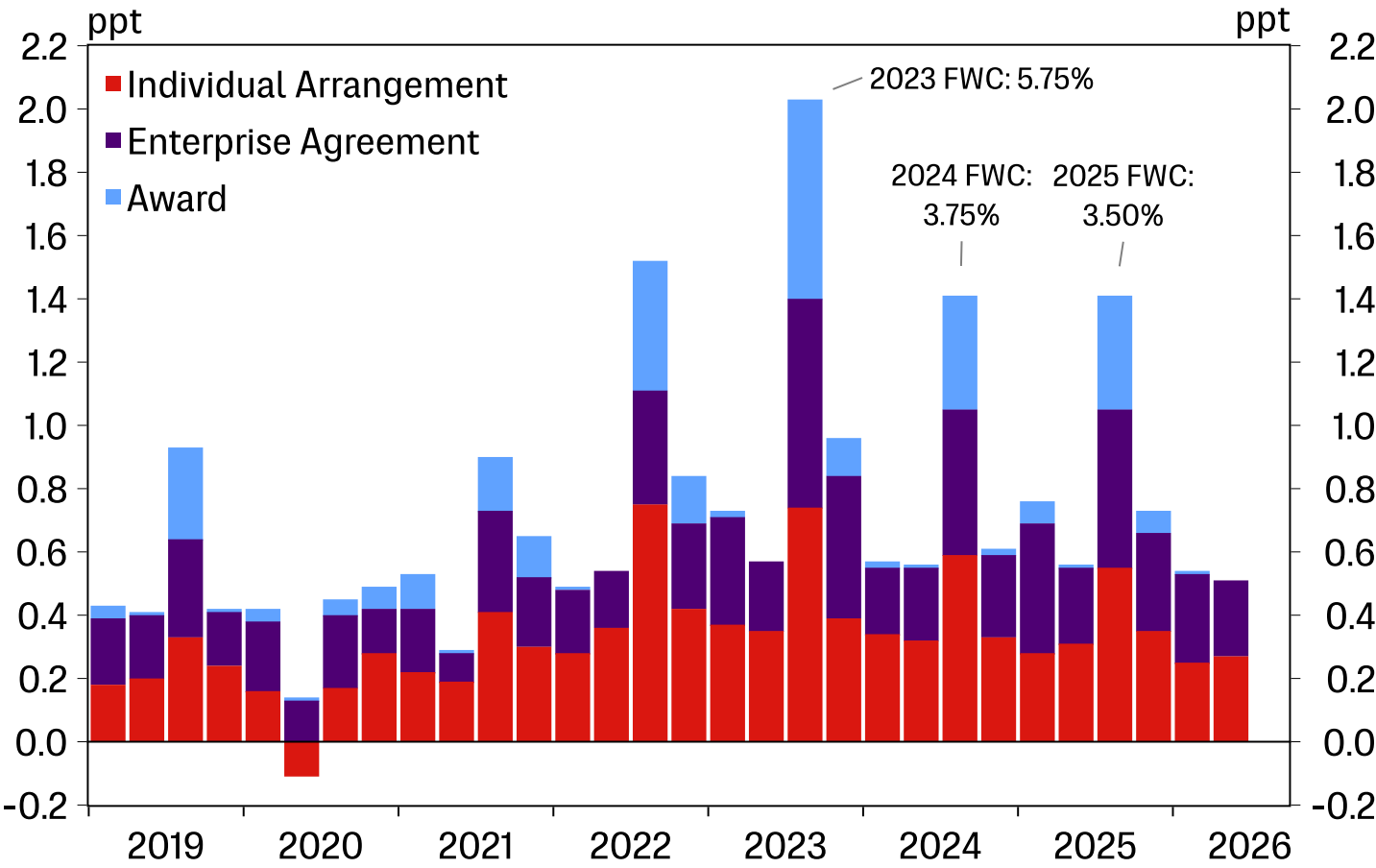
Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q2 2026. Of that 0.6% increase, jobs covered by individual arrangements made the largest contribution at 0.27ppt, followed by 0.24ppt from enterprise arrangements, and zero for awards. Compared to this time last year, we can see there has been a continued, gradual slowing in individual arrangements, while the contribution from enterprise arrangements have been relatively more stable.

The largest share of Australian wage adjustments tends to occur in Q3, with July being the start of the new financial year. This result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that this should nudge wages growth back up to 3.4%yr but whether a higher pace can be sustained will depend how the labour market evolves from here. There has been a sharp rise in underemployment in recent months, and this may well be signalling a weaker labour market to come, which may limit bargaining power and dampen the rise in wages growth.

Contributions to Quarterly WPI Growth



Source: ABS, Macrobond, Westpac Economics 

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First Impression: RBNZ survey of inflation expectations, September quarter 2026

#inflation

#newzealand



By Satish Ranchhod
Senior Economist, Westpac NZ

13:36 August 13 2026

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Inflation expectations remained contained in the RBNZ’s latest survey. High oil prices and elevated near-term inflation don’t appear to have boosted medium-term inflation expectations.



1 year ahead: 2.60% (Prev, 3.41%, down 81bps)
2 years ahead: 2.34% (Prev: 2.53%, down 19bps)
5 years ahead: 2.31% (Prev: 2.22%, up 9 bps)
10 years ahead: 2.20% (Prev: 2.19%, up 1 bp)

Expectations for inflation over the next couple of years have dropped back in the RBNZ's latest survey of professional forecasters and selected businesspeople.

Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter.

Similarly, the closely watched measure of inflation in two years' time fell to 2.34% (down from 2.53% previously).

This will be welcome news for the RBNZ. With the rise in oil prices in recent months, inflation has risen to over 4%, and it's likely to remain elevated for the remainder of this year.

But despite such pressures, respondents to the RBNZ's survey do not expect the current uplift in inflation to be enduring.

We did see some rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see.

All of the measures of expected inflation are either at or slightly below where they were six months ago, before the Iran conflict.

Implications for the RBNZ

While expectations remained contained in today's survey, the RBNZ is still looking at a firm near term inflation outlook, with core inflation at firm levels even before the Middle East conflict. In addition, other business surveys point to ongoing pressures on operating costs.

The RBNZ hiked the Official Cash Rate 25bps at their last policy meeting in July and signalled further hikes over the coming months. We're forecasting two more 25bp hikes this year, most likely at the RBNZ's September and December meetings.

Satish Ranchhod, Senior Economist

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14 August 2026

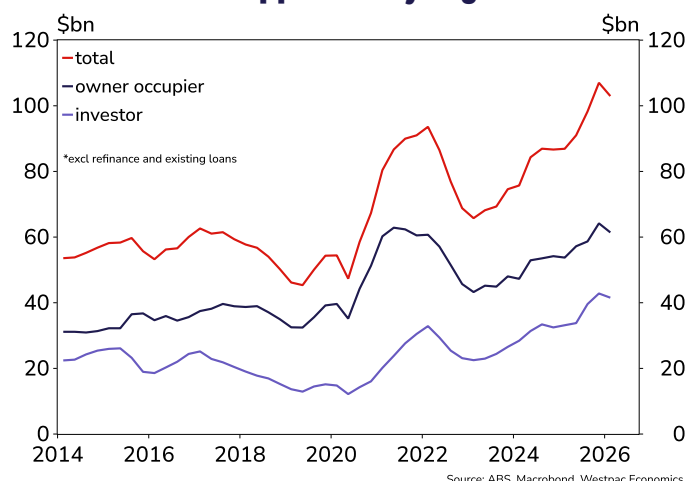
AUSTRALIAN DWELLING FINANCE BULLETIN

Decline gathers pace

Key points

- The value of new dwelling finance approvals excl. refinance fell 5.2%qtr, the largest quarterly drop in three years. Annual growth eased to 7.3%yr.
- The weakness was accounted for mainly by lower lending volumes: loan numbers were down 4.0%qtr (-0.6%yr), while average loan size also contributed negatively.
- Borrowing by investors led total approvals lower. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values.
- Borrowing by owner occupiers also dropped, by 1.9%qtr, in value terms suggesting that this segment is also under pressure from high interest rates, weak sentiment and high economic uncertainty.
- We fully expect the weakness in new dwelling approvals to persist into Q3, and eventually show up in the slower housing credit growth.

New finance approvals by segment: value



Q2 new dwelling finance:
-5.2%qtr,
+7.3%yr

Investors leading new housing finance lower



Mantas Vanagas
Senior Economist

After a weak start to the year, when the value of new dwelling finance approvals, excluding refinancing, dropped 3.4%qtr, the latest figures show that the pace of decline accelerated to 5.2%qtr in Q2, the weakest result since late 2022. The outcome was not a major surprise, coming in close to market consensus (-5.3%qtr) and our expectations (-6.0%qtr). Lower lending volumes, down 4.0%qtr, were the main factor behind the decline, with average loan size also contributing negatively, in line with the recent drop in house prices.

Looking across the major segments, borrowing by investors was the principal source of weakness. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values. Weakening of this magnitude in a single quarter has previously only been seen during major correction periods – after the post-pandemic boom and during the tightening of investor lending standards by regulators in 2017-19. The numbers confirmed that investors are reacting negatively to changes to the capital gains tax discount and negative gearing tax changes announced in the Federal Budget in mid-May.

Borrowing by owner occupiers also fell, by 1.9%qtr, following an even steeper 3.5%qtr decline in Q1. While the focus has been on investors, this negative trend suggests that, in the context of high interest rates, weak consumer sentiment and elevated economic uncertainty, the owner-occupier segment is also under significant pressure. Interestingly, first-time buyers in this segment saw new finance approval values stabilise, with 0.2%qtr growth after a 4.8%qtr correction in Q1.

Lending for land purchases and renovations also fell significantly, by 5.1%qtr. Some of this likely reflects higher construction and material costs due to supply disruptions linked to the Middle East conflict. With households also having to divert more spending to cover higher energy costs, the retreat in renovation lending also suggests that households may be delaying non-urgent projects.

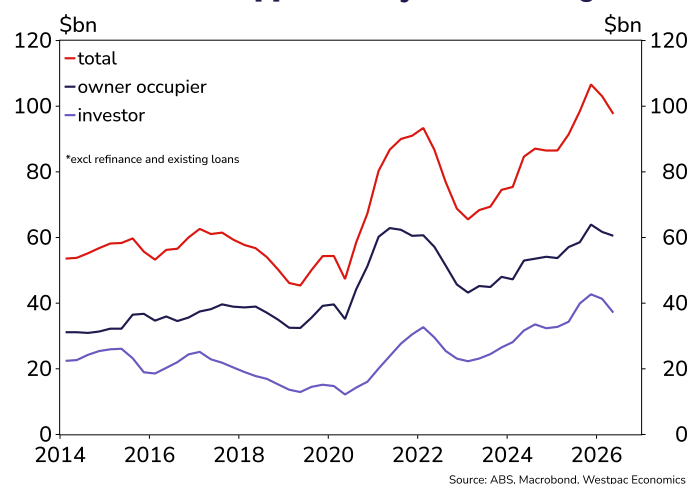
Today's results are broadly consistent with our assessment that a notable housing market correction is underway. We expect the weakness in new dwelling approvals to persist into Q3, particularly on the investor side, as the full impact of the reaction to tax changes comes through. The housing credit data have so far shown little impact from weakness in other major housing market indicators, including new finance approvals, but we think this mostly reflects lags in the system, which should be resolved in the coming months.

Dwelling finance: Q2 2026

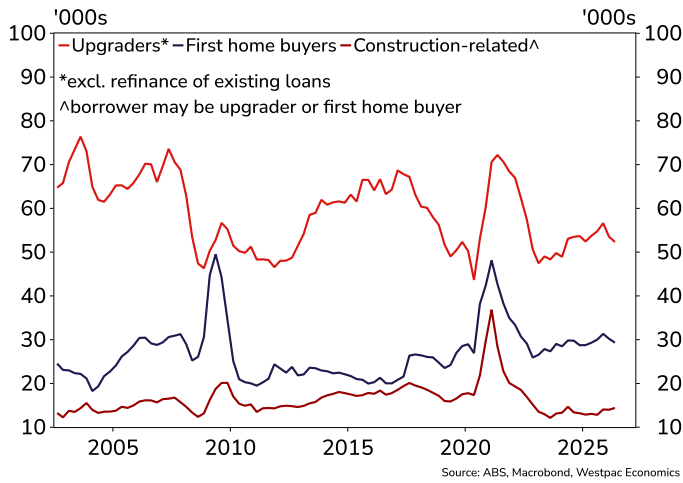
	%chg qtr			% chg yr	
	latest	Mar	Jun	Mar	Jun
Number ('000s)					
Owner-occupiers	81.6	-3.8	-3.3	4.9	-3.0
Investors	52.6	-4.7	-8.6	19.2	3.3
Total dwelling finance[^]	134.2	-6.2	-4.0	8.6	-0.6
Value (\$bn)					
Owner-occupiers	60.5	-3.5	-1.9	14.8	5.8
Investors	37.1	-3.2	-10.2	24.7	9.8
Total dwelling finance	97.6	-3.4	-5.2	18.6	7.3
Land and renovations	6.7	-2.2	-5.1	28.7	15.5
Refinance	60.4	0.8	-1.7	10.7	5.4
Total housing incl. refinance	164.7	-1.9	-4.0	16.0	6.9

* unless specified, all figures exclude land, additions and alterations, and refinance. Where specified, refinance is 'external' only, i.e. with a new lender.
[^]seasonally adjusted by Westpac.
 Sources: ABS, Cotality, APM, Westpac Economics

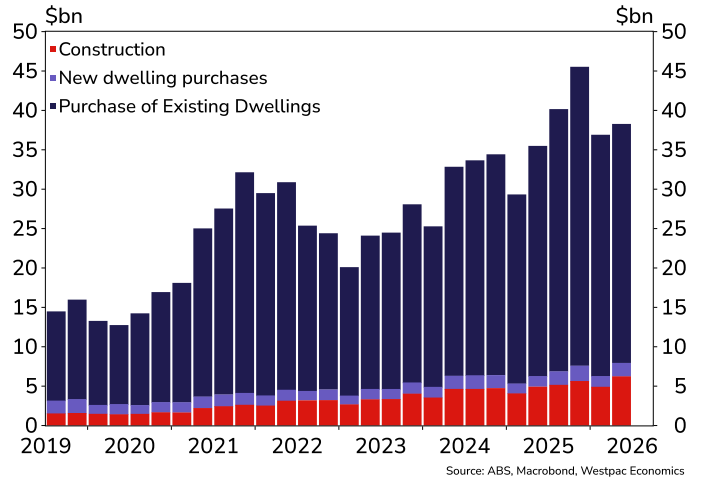
New finance approvals by detailed segment



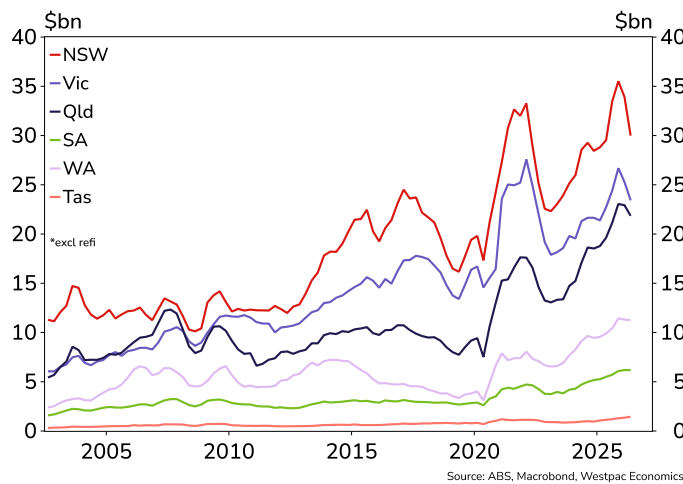
Owner occupier finance approvals (number)



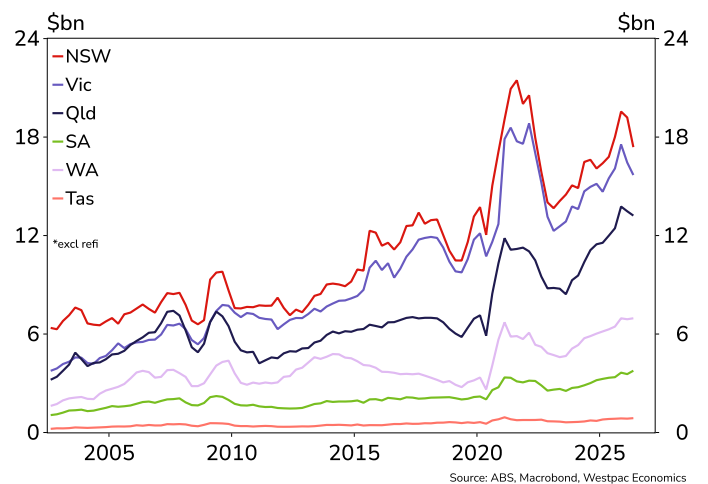
Investor loan by purpose



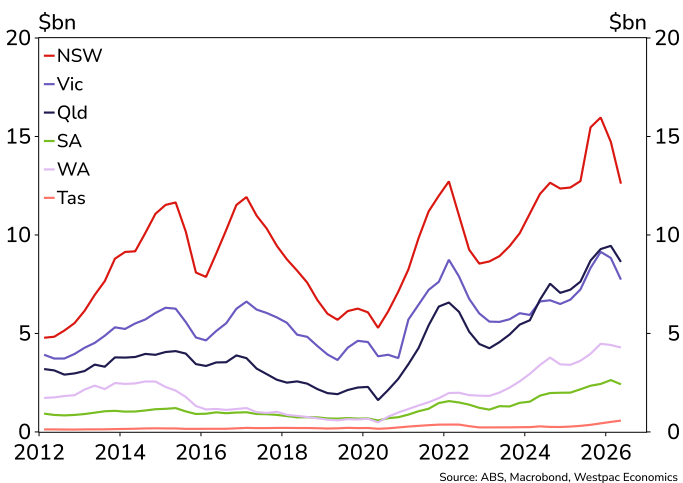
Dwelling finance by state: total value



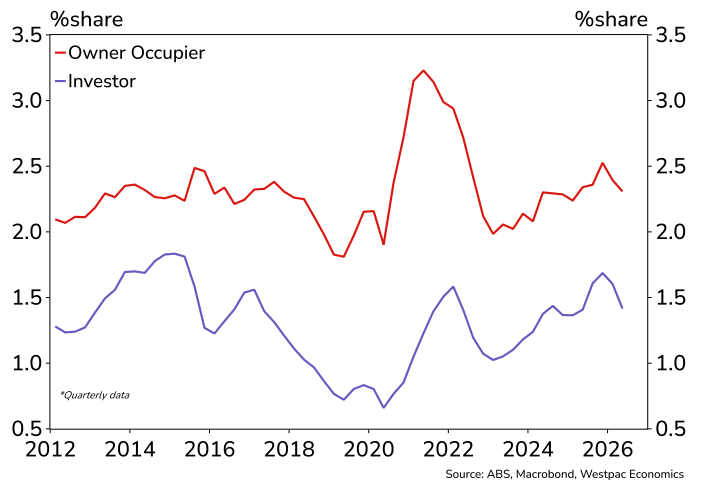
Dwelling finance by state: owner occupier



Dwelling finance by state: investor



Dwelling finance as a share of housing credit





Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au



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Week beginning 24 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Higher bond yields: not just one thing.

The Week That Was: The foundations of confidence.

Focus on New Zealand: Counting down the days.

For the week ahead:

Australia: RBA minutes, CPI, Q2 private capex, Q2 construction work done, Westpac-MI leading index.

New Zealand: Q2 retail sales, employment indicator.

Japan: CPI, jobless rate.

China: Industrial profits.

Euro Area: Economic confidence, consumer confidence, M3 money supply, IFO business climate survey.

United States: Q2 GDP, personal income and spending, PCE deflator, consumer confidence, new home sales.

Information contained in this report current as at 21 August 2026.

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Higher bond yields: not just one thing



Luci Ellis
Chief Economist, Westpac Group

- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.
- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted [two years ago](#). As we highlighted [at the time](#), a range of forces have been pushing “neutral” rates higher, along with the

structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a “term premium”. The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

“rumblings of investor discontent about the US fiscal position have become evident in yields.”

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet's

super-sized \$A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the \$A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia's, also start looking attractive. To this we must add that Japan now looks to be becoming a "normal" economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that [There Is No Alternative](#) to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

Cliff Notes: the foundations of confidence

Elliot Clarke, Head of International Economics

After an upside surprise in June, [the labour force survey](#) disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The [Q2 wage price index](#) was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with [the Westpac-MI consumer sentiment](#) survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both "family finances versus a year ago" and "family finances next 12 months" stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. "Time to buy a major household item" remains 24% below average despite a monthly bounce, while "time to buy a dwelling" is similarly 20% below average. We expect a lengthy period of weakness in Australia's economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. "Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated." In that context, "many participants assessed that policy tightening would likely be necessary if inflation did not decline".

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee's credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

Counting down the days



Michael Gordon
Senior Economist

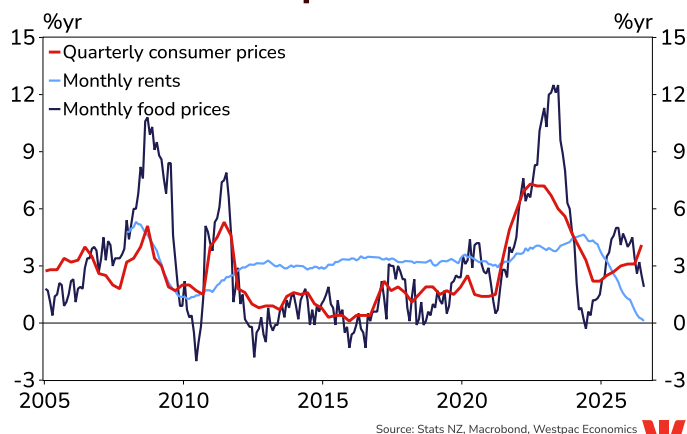
This week saw a handful of data releases, with no decisive signals for the RBNZ as it approaches its 2 September Monetary Policy Statement. Market pricing is firmly in favour of another OCR hike next month, but there is much more uncertainty around what the RBNZ will signal for the remaining meetings this year. We'll be discussing these issues and more in our latest quarterly Economic Overview, released next Wednesday.

The monthly selected prices release, which covers almost half of the quarterly CPI basket, was softer than expected in July. Of particular note was a muted 0.1% rise in food prices for the month, with annual growth slowing to an 18-month low of 1.9%. Meat prices saw their largest monthly fall since 2020, and there were also price declines for wine and some dairy products.

Outside of food, petrol prices were down 6% over the month, with diesel down 12%. However, the renewed hostilities in the Middle East since July mean that prices at the pump have been higher again over August. There were large increases in domestic and international airfares, both of which experience large seasonal swings, and are likely to ease back next month. However, with global oil prices still elevated, this is one area where we could see ongoing strength.

July also saw another 0.1% fall in housing rents, continuing the weak trend seen over the past year. With weak population growth and ample supply, housing rents are likely to remain subdued for some time. Rents make up just over 10% of the CPI, so they are having a significant dampening effect on overall inflation at the moment.

NZ selected consumer prices

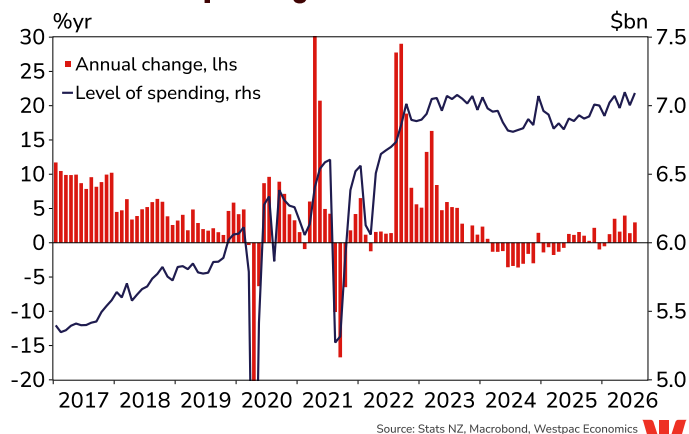


Altogether, the July results signal some downside risk to our existing forecast of a 0.7% rise in consumer prices in the September quarter (which would see annual inflation slow down from 4.1% to 3.7%). However, we're still left with a picture of inflation that's likely to be well above the RBNZ's target range for the remainder of this year, including firm levels of core inflation.

The June quarter producer price index showed a range of cost pressures, with input prices rising 2.9% and output prices up 1.6%. Higher fuel prices were an obvious driver, showing through in a range of industries such as wholesaling, transport and construction. As the June quarter CPI has already shown, though, many firms have limited ability to pass on these cost increases.

Turning to the activity data, card spending at retail stores rose by 1.3% in July, following an equal-sized fall in June. Indeed, these figures have been volatile for several months even after seasonal adjustment – there may have been some changes in the timing of spending that are difficult to account for. Looking through this, spending is up modestly on a year ago, but price increases – especially for fuel – will have accounted for a large part of this. We expect next week's retail trade survey to show a 0.2% fall in sales volumes for the June quarter.

NZ retail card spending

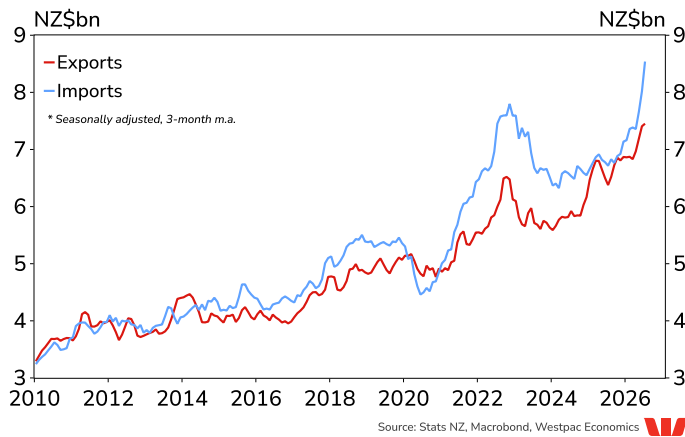


The services PSI was little changed at 50.6 in July, holding just above the zero-growth mark. So far this year the services survey has been more subdued compared to the manufacturing survey, which recorded a solid 54.3 in July after spiking to 60.1 in June. That may reflect their relative exposures to the global market, with strong demand and a favourable exchange rate boosting export-oriented sectors and regions.

The second GlobalDairyTrade auction for August saw a 2.3% rise in dairy prices, led by strong gains in whole milk and skim milk powders. These results had been well signalled by the futures market, which has seen a strong run-up in prices in recent weeks. Longer-dated contracts – covering the New Zealand summer – have risen particularly strongly, suggesting that the market is eyeing the risk that a severe El Niño event could restrict milk production this season. With New Zealand accounting for a large share of internationally-traded dairy products, past droughts have tended to squeeze global prices higher, sometimes resulting in a net boost to industry-wide earnings.

The final release this week was the goods trade data for July, which fell further into deficit in seasonally adjusted terms. Exports remained strong, supported by higher commodity prices. But the country's import bill has surged in the last few months, mostly reflecting the jump in fuel prices. The July figures also included a particularly large diesel shipment, for the purpose of lifting our onshore fuel reserves in response to the Middle East conflict. Outside of fuel, the ongoing growth in imports of capital equipment suggests that firms have remained willing to invest through the war uncertainty.

Merchandise trade



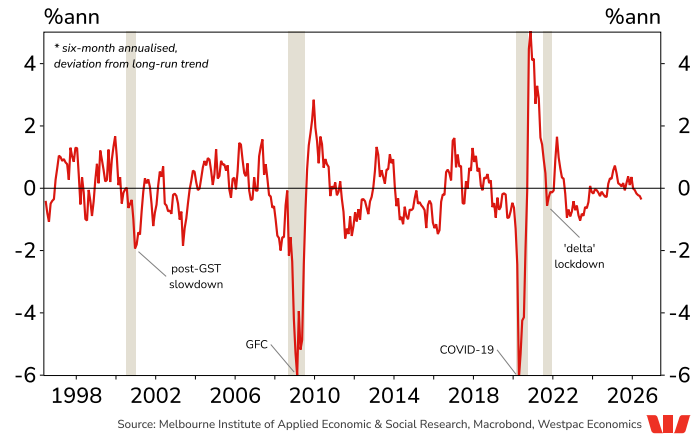
AUS: Jul Westpac-MI Leading Index

Aug 26, Last: **-0.36%**

The Leading Index growth rate dropped to -0.36% in June from -0.25% in May. The update pointed to a more material loss of momentum although the growth pulse was still not overly weak.

The July read include will again include a mixed bag of monthly updates with equity markets and commodity prices firming, dwelling approvals posting a solid rise and the yield spread and consumer expectations a little more positive but some softer signals emanating from labour market components: consumer unemployment expectations and total hours worked. All up the mix may see a slight improvement in the growth rate signal.

Westpac-MI Leading Index



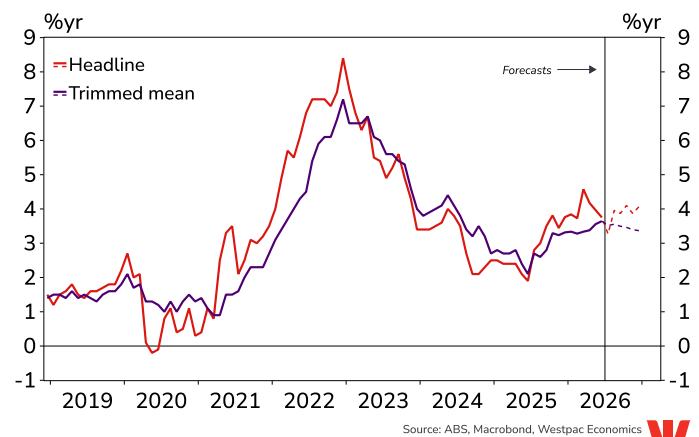
AUS: Jul Monthly CPI (%yr)

Aug 26, Last: **3.8**, Westpac f/c: **3.3**
Mkt f/c: **3.3**, Range: **3.1 to 3.6**

The June Monthly CPI was much better than feared, falling for a second consecutive month at $-0.1\text{mth}/3.8\text{yr}$. The monthly trimmed mean also moderated to 0.3mth with a slight up tick in the year-ended pace of 3.6yr .

We expect the July monthly CPI to rise 0.8mth with the annual pace easing back to 3.3yr . Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, alongside a pick-up in some domestic market services resulting from the higher minimum wage decision. Electricity will be the main drag in the month. The monthly trimmed mean is forecast to rise 0.4mth , taking the annual pace to 3.5yr . For the full preview, see [here](#).

Headline and Trimmed Mean Inflation



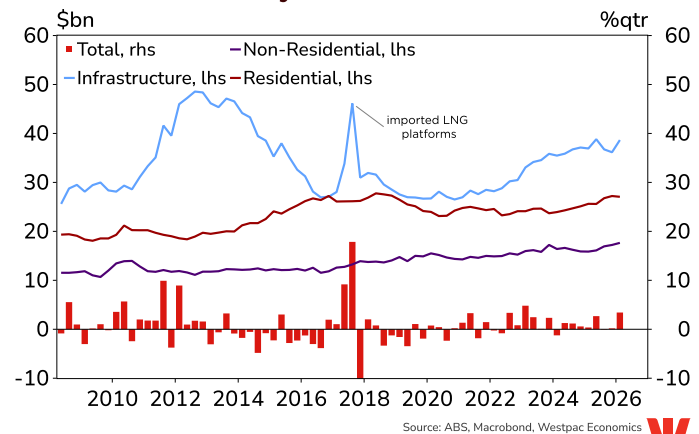
AUS: Q2 Construction Work Done (%qtr)

Aug 26, Last: **3.4**, Westpac f/c: **-1.0**
Market f/c: **0.5**, Range: **-2.0 to 2.5**

Construction activity grew 3.4qtr in Q1, leaving it 6.3% higher over the year. However, the headline result was boosted by the installation of a floating production unit for the Scarborough Energy Project, much of which would have already been captured in the National Accounts through earlier progress payments. As this temporary spike unwinds, we expect construction activity to fall by around 1.0qtr in Q2.

Beyond this, underlying trends remain more favourable. Public infrastructure investment is soft as major projects are completed, but residential construction is expected to recover following the unexpected Q1 decline. At the same time, data centre related developments and population-driven demand for commercial floorspace should continue to support non-residential building activity.

Construction activity maintains a solid trend



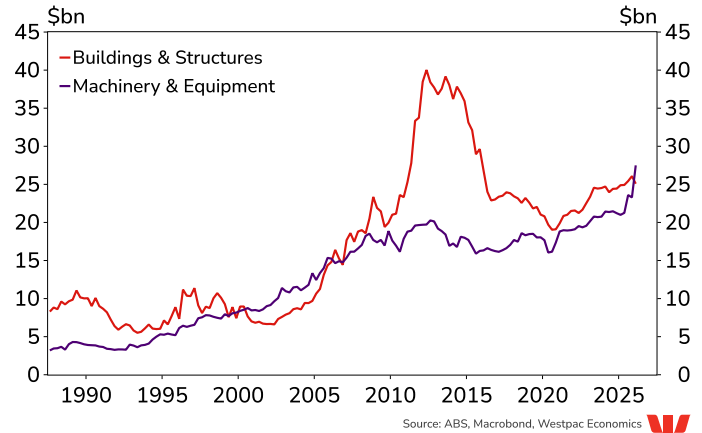
AUS: Q2 Private CAPEX (%qtr)

Aug 27, Last: 6.5, Westpac f/c: 0.0
Market f/c: 0.0, Range: -6.0 to 4.0

Private capex grew a very strong 6.5%qtr in Q1 2026, with investment in machinery and equipment driving much of the increase, primarily led by the IT sector. Capital imports suggest there will be some payback in the machinery and equipment component this quarter following that surge. However, there has also been a significant increase in the construction of commercial buildings with building approvals rising strongly over the June quarter. Overall, this should see private capex hold flat in Q2, while remaining elevated in level terms.

Est 6 for 2025/26 capex plans, after our adjustment, is consistent with robust nominal growth of 11.2%yr and real growth of 10.7%yr. We expect Est 3 unadjusted plans for 2026/27 to come in at \$195bn, an 11.5% increase on a year ago, pointing to continued growth in FY27.

Private Capex



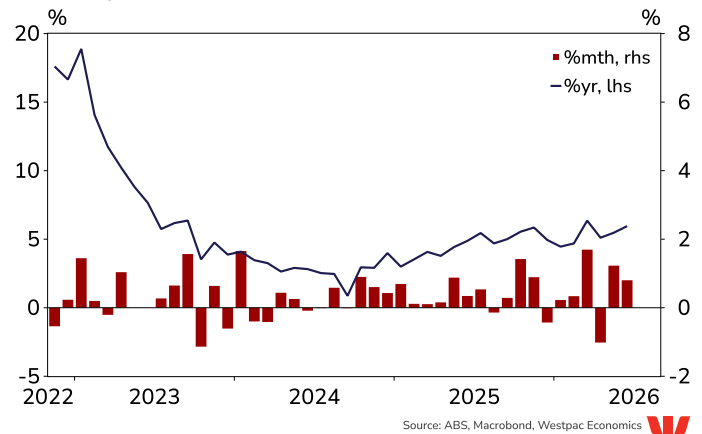
AUS: Jul Household Spending Indicator (%mth)

Aug 27, Last: 0.8, Westpac f/c: -0.5
Mkt f/c: 0.3, Range: -0.5 to 0.7

The household spending indicator rose 0.8%mth in June, beating expectations. The gain followed a choppy run, spending up 1.2%mth in May having fallen 1%mth in April. Annual growth strengthened to 6.0%yr.

Our **Westpac-DataX Card Tracker** maintained solid momentum through July and early August. However, the gains were stronger in parts that are not covered by the ABS HSI (including international transactions). A narrower measure that more closely aligned with the HSI points to a dip in the July month. Vehicle sales (covered by HSI but not the card tracker) also look to have dipped after a strong June quarter. Overall we expect the indicator to show a 0.5% decline with a small downward revision to June also possible.

Monthly household spending indicator

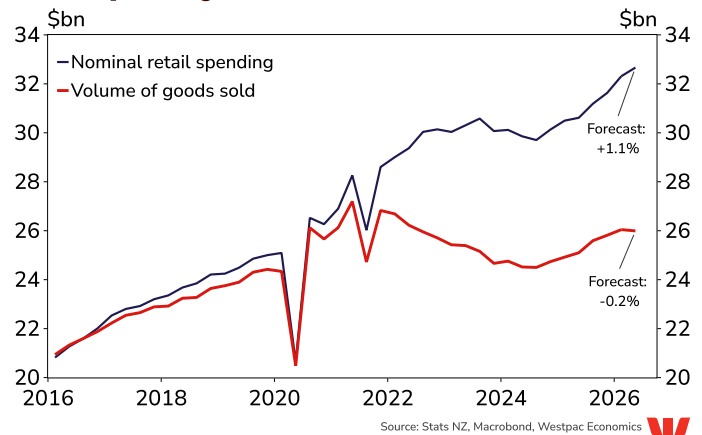


NZ: Q2 Retail Trade Survey (%qtr)

Aug 24, Volumes last: 0.9, Westpac f/c: -0.2

In the early part of this year, we were seeing signs that spending appetites were lifting, with retail sales posting several quarters of solid growth. However, that momentum has taken a knock recently due to the large increase in fuel prices and related uncertainty about the economy outlook. We're forecasting a 1.1% rise in nominal spending over the June quarter. However, with a large rise in prices, volumes are expected to be down 0.2%. Core spending is expected likely to be firmer, with a moderate 0.6% rise forecast.

Retail spending

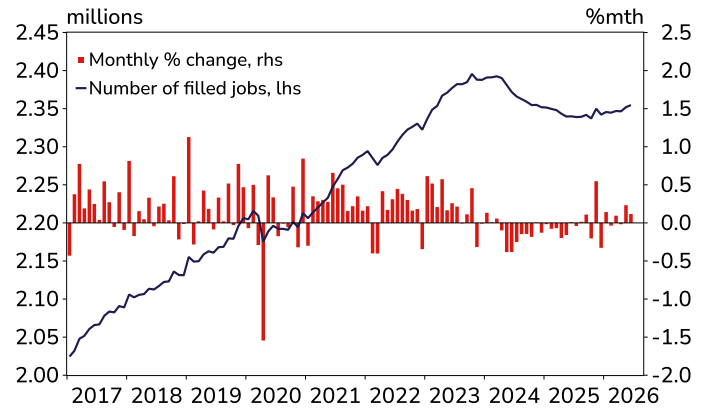


NZ: Jul Monthly Employment Indicator (%mth)

Aug 28, Last: 0.1, Westpac f/c: 0.3

The MEI has continued to tick higher in recent months, showing that the jobs market has held its ground through the Iran conflict and the consequent surge in fuel prices. The weekly snapshots provided by Stats NZ have been running ahead of year-ago levels and suggest another solid result for July – we've pencilled in a 0.3% rise on the initial release, although this measure tends to get revised down a bit in later releases.

Monthly Employment Indicator



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 24							
NZ	Q2	Real Retail Sales	%qtr	0.9	0.0	-0.2	High fuel prices weighing on spending.
US	Jul	Chicago Fed Activity Index	index	-0.02	-	-	Indicates underlying growth momentum relative to trend.
Tue 25							
Aus		RBA Minutes	-	-	-	-	Discussion of inflationary pressures in focus.
		RBA Speak	-	-	-	-	Speech by David Jacobs, Head of Domestic Markets, 2:00pm.
Ger	Aug	IFO Business Climate Survey	index	86.6	-	-	Will test whether confidence is stabilising
US	Jun	FHFA House Price Index	%mth	0.3	0.2	-	High interest rates dampening house price growth,
	Jun	S&P/CS Home Price Index	%mth	0.15	0.10	-	Has been around zero lately.
	Jul	Building Permits	%mth	5.0	-	-	Final estimate, ample supply keeping new construction low.
	Jul	New Home Sales	'000	628	620	-	Slow housing market activity.
	Aug	Richmond Fed Manufac. Survey	index	5	7	-	Manufacturing sentiment recovered in recent months.
	Aug	Conf. Board Consumer Confidence	index	90.8	90.2	-	Weakened notably over the last twelve months.
Wed 26							
Aus	Jul	Westpac-MI Leading Index	%ann'd	-0.4	-	-	Mixed monthly data may see an improvement on net in July.
	Jul	Monthly CPI	%ann	3.8	3.3	3.3	Holiday travel and autofuels will support the headline.
	Q2	Construction Work Done	%qtr	3.4	0.5	-1.0	First partials of the Q2 GDP growth.
US	Jul	Personal Income	%mth	0.2	0.2	-	Income growth continues to support spending
	Jul	Personal Spending	%mth	0.4	0.0	-	Can strong Q2 growth be maintained in Q3?
	Jul	PCE Deflator	%mth	-0.1	0.1	-	Inflation pressures are easing gradually...
	Jul	Core PCE Deflator	%mth	0.1	0.2	-	...but core inflation may prove sticky.
	Q2	GDP	%ann'd	1.5	1.5	-	Second est., slower Q2 growth despite higher consumption.
	Jul	Durable Goods Orders	%mth	0.5	0.5	-	AI investment driving underlying demand.
Thur 27							
Aus	Q2	Private New Capital Expenditure	%qtr	6.5	0.0	0.0	Data-centre investment in focus after a surge in Q1.
	Jul	Household Spending Indicator	%mth	0.8	0.3	-0.5	Vehicle sales to detract from the headline after a strong June.
Chn	Jul	Industrial Profits	%ann	15.1	-	-	Weak domestic demand challenging profit growth.
Eur	Jul	M3 Money Supply	%ann	3.3	-	-	Focus on credit conditions after the ECB interest rate hike.
US	Jul	Wholesale Inventories	%mth	0.2	-	-	Inventory adjustment cycle still unfolding.
	Jul	Advance Goods Trade balance	\$bn	-101.4	-99.5	-	Goods trade deficit increased recently.
		Initial Jobless Claims	000s	206	208	-	Consistent with broadly balanced supply and demand.
	Aug	Kansas City Fed Manufac. Activity	index	9	-	-	Manufacturing sentiment recovered in recent months.
Fri 28							
NZ	Jul	Employment Indicator	%mth	0.1	-	0.3	Jobs have held their ground through the Iran conflict.
Jpn	Aug	Tokyo CPI	%ann	2.0	1.9	-	Inflation pressures remain firm.
	Jul	Jobless Rate	%	2.5	2.5	-	Labour market conditions remain tight.
Eur	Aug	EC Economic Confidence Index	index	96.9	-	-	Good indicator of how GDP growth impulse is evolving in Q3.
	Aug	EC Consumer Confidence Survey	index	-15.9	-16.0	-	Recovering after the energy price shock.
US	Aug	Chicago PMI	index	57.6	59.0	-	Increased a lot this year despite higher economic uncertainty.
	Aug	Uni. Of Michigan Sentiment	index	51.0	51.0	-	Confidence remains very low by historical norms.
		Fedspeak	-	-	-	-	Chair Kevin Warsh's speech at Jackson Hole

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.49	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.56	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.57	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	5.06	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.70	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.99	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.66	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.71	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	1	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7139	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5941	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.03	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1691	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3643	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7218	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1969	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	-	-	-	-
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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Week beginning 17 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA holds at 4.35%, narrows risk of hikes.

The Week That Was: A cautious turn.

Focus on New Zealand: Political drama and mixed data.

For the week ahead:

Australia: Labour force survey, Q2 WPI, Westpac-MI Consumer Sentiment, inflation expectations.

New Zealand: Retail card spending, food price index, Q2 PPI, trade balance, performance services index.

Japan: Q2 GDP, CPI, industrial production, core machinery orders.

China: Retail sales, industrial production, fixed asset investment.

Euro Area: ZEW survey of expectations.

United Kingdom: CPI, ILO unemployment rate, retail sales, GfK consumer sentiment.

United States: Leading index, import price index, industrial production, FOMC meeting minutes.

Global: S&P Global manufacturing and services PMIs.

Information contained in this report current as at 14 August 2026.

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RBA holds at 4.35%, narrows risk of hikes



Luci Ellis
Chief Economist, Westpac Group

As widely expected, the RBA Monetary Policy Board (MPB) kept the cash rate on hold at 4.35% at its August meeting. The accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it was stated that the cash rate would be increased “if needed”.

The RBA has evidently concluded that the base case is that rates are on hold. Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it expected. Pass-through of higher energy prices came in quickly and in size – as we flagged at the time. But as we noted in our [change of rate call](#), this pass-through has since tapered off, undershooting the RBA's expectations.

This decision is a hold of a different character to June's meeting, where a hike was not even contemplated because the MPB was in “wait and see” mode ahead of the Q2 CPI. This month's decision involved consideration of a hike, but the base case forecasts, which show inflation below the target midpoint by 2028, did not really support such a decision.

Softer inflation and labour market outcomes have strengthened the assessment that monetary policy is somewhat restrictive, a judgement the RBA had less confidence about earlier in the year. Still, the RBA is looking for a period of below-trend growth, and ultimately some spare capacity to build up, to engineer the reduction in inflation. Currently its forecasts show the economy to be on track to deliver that outcome.

The MPB is not yet ready to rule out rate hikes, however, because it assesses that inflation risks are skewed to the upside. It is particularly concerned that pass-through from energy prices to other prices might continue, even though it has eased off a bit sooner than originally expected. Further escalation in the Middle East conflict might result in higher energy prices than forecast, and/or more pass-through. These are similar considerations to the ones that led us to [flag that there was still some chance that the RBA hikes again this cycle](#), even though that is no longer our base case.

The RBA still assesses the labour market to be somewhat tight, although it has eased recently. However, some of the [measures](#) the RBA typically relies on for this assessment have been affected by changes to the Labour Force Survey; measures that do not involve this survey such as capacity utilisation and business difficulty finding suitable labour provide a clearer easing

signal. The SMP highlights underemployment as supporting the assessment that the labour market is still tight. As we have [previously noted](#), other measures of underemployment published by the ABS have increased more sharply than the headline measure. The RBA's evolving assessment of labour market conditions will be a key driver of its inflation outlook, arguably more so than the housing market, which is also being affected by changes to taxation arrangements.

The RBA's underlying analysis that capacity pressures are boosting inflation and constraining output growth remains in place. Although the RBA's assessment of potential output growth is a little higher than in recent quarters, the revision was driven solely by a revised outlook for population growth. The RBA's downbeat assumptions about trend productivity growth have not changed, despite extensive language in the SMP highlighting the boom in AI and data centre investment, which has been stronger than its forecasts recognised in May.

“RBA on hold as expected, recognising the data has broken against its hawkish narrative.”

Curiously, the SMP highlighted the inflationary risks posed by the AI boom pressuring construction capacity at home and semiconductor-related inflation globally, despite not factoring in any positive productivity spillover from the resulting investment. While productivity benefits would be expected to come through with a lag, how long this was expected to take was not addressed. We also find it curious that the SMP and Governor highlighted the contention for construction labour and other resources this involves, but the effects of this are only barely evident in its GDP forecasts. This implies a view that data centre construction must be crowding out other construction.

We continue to expect the RBA to remain on hold through to mid next year. However, it will be a “hawkish hold” with the MPB slow to relax given its view that upside inflation risks predominate. While we believe that investors should allow for some risk of a hike later this year, it is not our base case. There are clearly upside risks to inflation, as the RBA has highlighted, but in our view downside risks as well.

Forecast changes

- A full update to our forecasts has been published in our [Market Outlook](#) publication today, August 14.

Cliff Notes: a cautious turn

Elliot Clarke, Head of International Economics

This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by [Chief Economist Luci Ellis](#), the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it stated that the cash rate would be increased “if needed”.

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation below the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA's communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest [Red Book](#).

On the data front, [the July NAB business survey](#) captured businesses' reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey's gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC's 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month

over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy and shelter was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday's nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on [Westpac IQ](#).

Political drama and mixed data



Darren Gibbs
Senior Economist

While much of the focus remains on developments offshore, over the past week market participants have also had to digest both further domestic political drama and the release of several local economic indicators.

Beginning with political developments, the National Party is continuing to poll well below its 2023 General Election result, suggesting that several of the party's MPs are at risk of losing their seats at the next General Election on 7 November. So perhaps unsurprisingly, media speculation about a possible change in the party's leadership – citing sources within the party – resurfaced over the weekend. This led Prime Minister Christopher Luxon to call an impromptu caucus meeting on Wednesday, calling MPs back to Wellington despite parliament being in recess.

Following a three-hour meeting, Luxon held a very short press conference at which he confirmed that he had survived a no confidence motion. This follows him surviving an earlier confidence motion back in April (on that occasion, initiated by Luxon himself following widespread media reporting of dissatisfaction within the party caucus). Later in the day it emerged that one minister, Chris Penk, had challenged Luxon for the leadership. Penk has since been sacked from the Cabinet and has announced that he will no longer be standing for re-election.

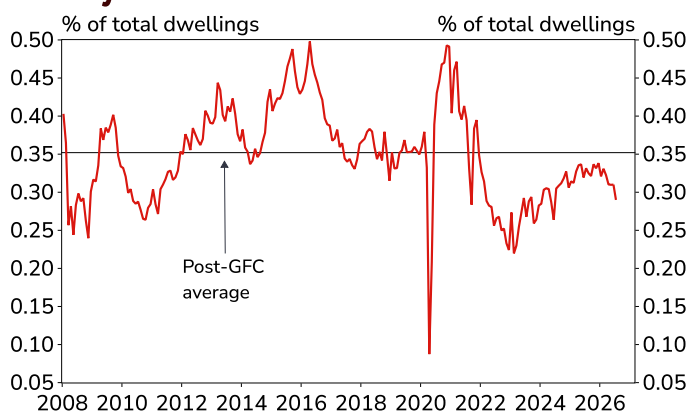
With the next General Election now less than 90 days away, polling continues to show a tight race. Crucially, another well-respected poll released this week (the 1News-Verian poll) suggests that the Opportunity Party will – for the first time – achieve the 5% vote threshold that will allow it to enter parliament. Moreover, the same polling suggested that it could well be the “kingmaker” after the election. Given that the National Party has indicated an unwillingness to work with it, the Opportunity Party's rise increases the likelihood of a change of government.

It will be interesting to see how this week's developments impact polling over coming weeks, with political infighting usually punished by potential voters. It is worth noting that measures of headline business confidence have historically been weaker when a left-of-centre government is in power, so it would not be surprising to see a slip in sentiment over the next month or so (even more so given the ongoing Middle East conflict).

Turning to this week's economic data, news from the housing market remained soft in July. House sales fell 4.6% – their fifth straight monthly decline. Sales are now at their lowest level in two years. The median time to sell extended to around 47

days, thus remaining much longer than the historic average. Meanwhile, the REINZ house price index was unchanged for the month and was down 0.4% on a year ago. Conditions remain stronger in the south, with prices up on a year ago in Canterbury, Otago and Southland. However, Auckland prices were down 1.7% on a year ago, while Wellington was down 4.4%. Fixed-term mortgage rates have continued to rise since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). This will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet.

Monthly house sales



Source: REINZ, Stats NZ, Macrobond, Westpac Economics

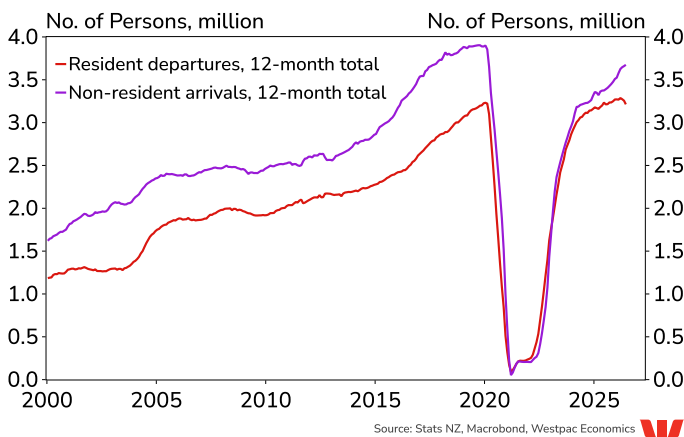


The subdued activity being seen in the housing market is also a reflection of slow population growth. The estimated net migrant inflow in the year to June was just 17,600 – little more than half the average pace experienced over the past two decades. The net inflow has increased marginally over the past year, mostly due to a 5% decline in migrant departures. Looking ahead, given the expected cyclical improvement in the New Zealand economy over the next 12 months, and the expected weakening of the Australian labour market, a further reduction in migrant outflows should contribute to a gradual strengthening in population growth, providing some support to the housing market in time.

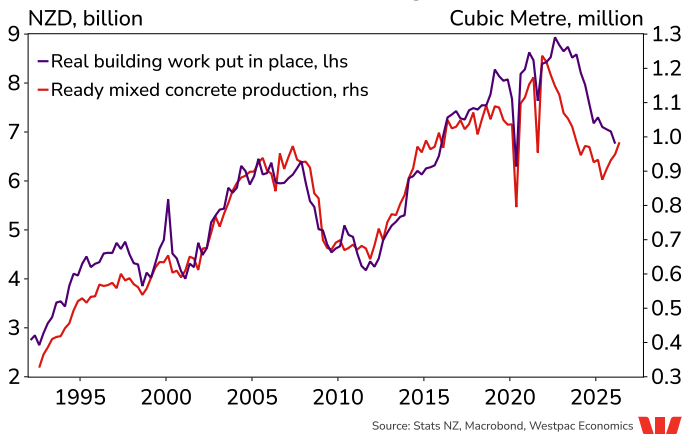
In other news, short-term foreign visitor arrivals were down fractionally in June but still 8% higher than a year earlier. Annual growth in total arrivals hides some quite divergent performance across New Zealand's major source markets, however. Arrivals from Australia – the largest market – were up 16%/yr and are now well above pre-pandemic levels,

doubtless helped by the significant fall in the NZD/AUD cross over the past year. The recent strong performance of the Chinese market also continued, with arrivals up 33%yr (now around 88% of pre-pandemic levels). By contrast, arrivals from the US and Canada were down around 8%yr. Less surprisingly, arrivals from Germany and the UK were down over 9%yr, likely reflecting both the undesirability of transiting via the key Middle East hubs as well as the large increase in long-haul airfares. Meanwhile, the Middle East conflict also appears to be impacting the travel habits of New Zealanders, with outbound travel falling for a third consecutive month in June to sit slightly below its year-earlier level.

Tourism flows



Concrete poured vs real building work

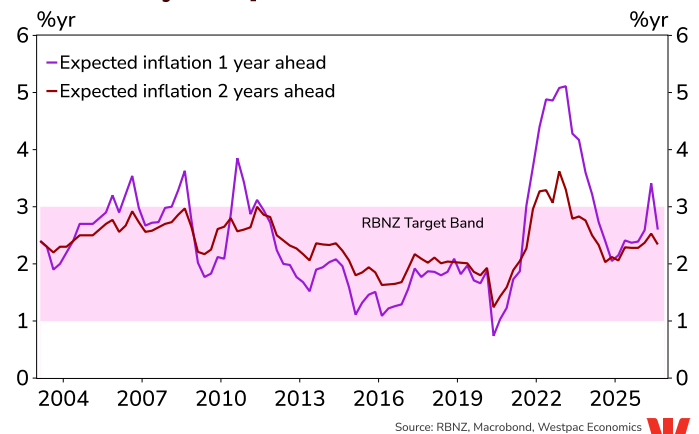


The Business NZ manufacturing index fell 5.8pts to 54.3 in July – roughly halfway between its sharply contrasting May and June readings. The sharpest decline was seen in the new orders index, which fell 10.8pts to 53.3 – just above its May reading. By contrast, the production index remained quite resilient, falling just 1.9pts to 57.3. We think that the manufacturing sector is continuing to benefit from strong conditions in the primary food sector and the beginnings of an upturn in the construction sector. Indeed, further signs of the latter were evident in concrete production data for the June quarter. At the nationwide level, production increased 3.7%

during the quarter to be 12.4% higher than a year earlier. In common with many other macroeconomic statistics, the South Island regions stood out as relatively strong, with growth of 25%yr in Canterbury and 20%yr in Otago/Southland.

Turning to inflation, the RBNZ's September survey of professional forecasters and selected businesspeople pointed to a welcome decline in expectations over the next couple of years. Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter. Similarly, the closely watched measure of inflation in two years' time fell to 2.34%, down from 2.53% previously. We did see a small rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see. Meanwhile, in a similar vein, the RBNZ's household survey reported that the median one-year ahead inflation expectation had declined by 0.5pts to 4.5%, while the two-year ahead expectation fell 0.6pts to 3.4%. At the margin these results might ease the RBNZ's concerns about the potential for second-round inflation impacts.

RBNZ Survey of Expectations



Finally, after trending sideways for most of this year, Westpac's indicator suggests that spending levels took a step higher in July, with per-person spending on Westpac issued credit and debit cards rising 2% over the month. Helping to support July's lift in spending were falls in fuel prices, with the savings there supporting a near 3% lift in spending on groceries. We also saw sizeable increases in some categories of discretionary spending – spending in restaurants was up 5% and spending on other entertainment was up 2%. That lift coincided with the FIFA World Cup. Stats NZ will release its more comprehensive measure of electronic card spending over the coming week.

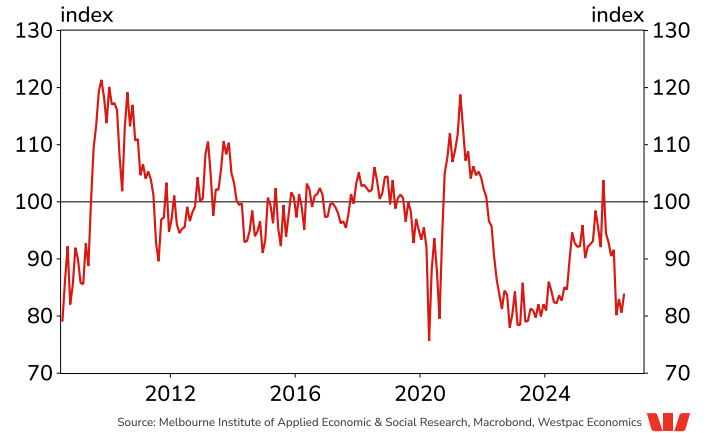
AUS: Westpac-MI Consumer Sentiment

Aug 18, Last: 83.9

Consumer sentiment rose 4.1% to 83.9 in July. Despite the gain, sentiment remains deeply pessimistic, ranking in the bottom 10% of outcomes over the survey's 50-year history. The improvement appears to reflect growing confidence that the worst-case scenarios around energy prices, interest rates and the labour market are not materialising, although cost-of-living pressures continue to weigh heavily on households.

Developments over the past month have been mixed. An unsettled situation in the Middle East has contributed to higher fuel prices following the expiry of the fuel excise discount, with the national average retail pump price now back above \$2.00/L. Offsetting this, the RBA kept rates on hold in August and signalled it was a little less worried about inflation following the softer Q2 CPI print. Sentiment may also see some influence from a broadening downturn in housing markets.

Consumer Sentiment Index



AUS: Q2 Wage Price Index (%qtr)

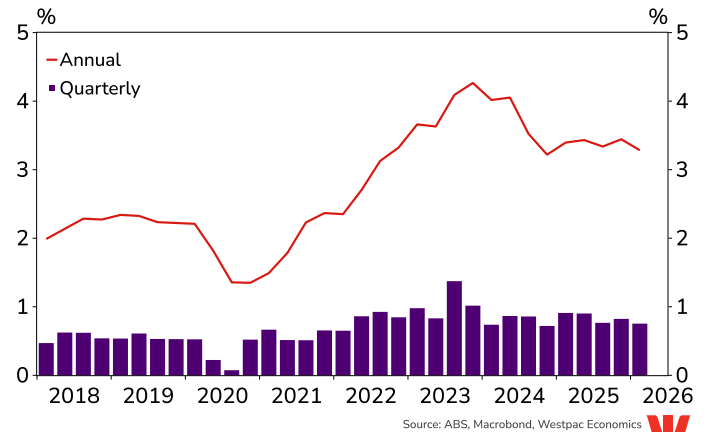
Aug 19, Last: 0.8, Westpac f/c: 0.8
Market f/c: 0.8, Range: 0.8 to 1.0

The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus. Growth in private sector wages continued to moderate, annual growth now at its slowest pace so far in the cycle (3.2%yr). Meanwhile, growth in public sector wages eased back following some larger gains over last year that were due to state-based enterprise agreements and an increased in aged care wages.

We expect a similar result for Q2 2026, a 0.8% increase that should see the annual pace tick down from 3.3%yr to 3.2%yr

Further ahead, the Fair Work Commission's 2026 Annual Wage Review handed down a larger-than-expected increase in award wages of 4.75%. That will come into effect in Q3, which we expect will raise the WPI pace back around the 3½%yr mark.

Wage Price Index



AUS: Jul Labour Force – Employment Change (000s)

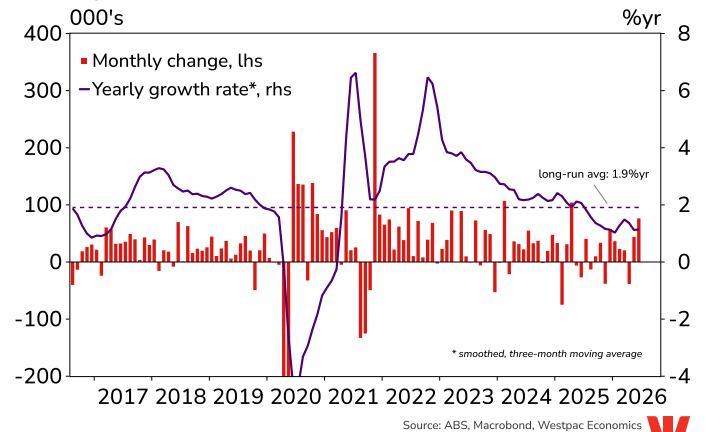
Aug 20, Last: 76.3, Westpac f/c: 15.0
Market f/c: 13.5, Range: -15.0 to 25.0

Employment surprised to the upside in June, jumping +76.3k following a couple of volatile readings over April (-38.6k) and May (+44.0k), matched by a sizeable lift in labour supply.

On a three-month average basis, employment growth is running at an annual pace of 1.1%yr, well below the long-run average (1.9%yr) and the current pace of working age population growth (1.8%yr). High inflation, recent interest rate rises and lingering uncertainty makes for a challenging hiring environment, as evinced by recent business surveys

For July, we have pencilled in a lift in employment of 15k. We recommend watching the employment-to-population ratio on the day, as it will be subject to less noise around population projections. Please see **our preview** for more detail.

Employment growth



AUS: Jul Labour Force – Unemployment Rate (%)

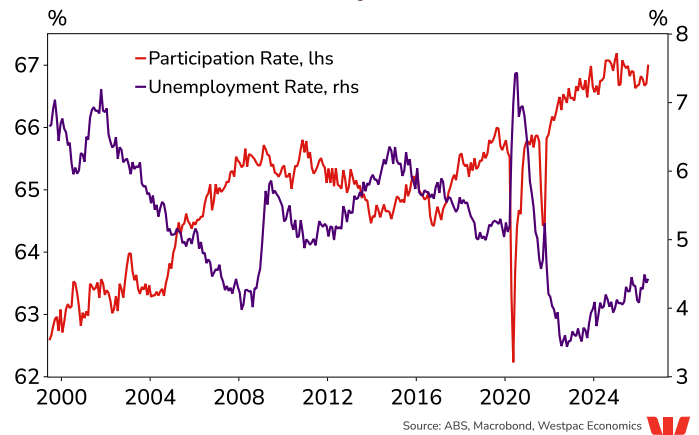
Aug 20, Last: 4.4, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.5

The participation rate bounced 0.3ppt higher to 67.0% in June, and since the increase in employment was driven by new entrants into the labour force, the unemployment rate held steady at 4.4%, though at the second decimal place it edged slightly higher (4.37% to 4.43%).

Explaining at least some of this surprise, the ABS noted that in May, there was a larger group of individuals who already had a job lined up but just hadn't started working, where come June they moved into the labour force and started work.

For July, we expect the participation rate to tick down to 66.9% while the unemployment rate holds broadly steady at 4.4%. As discussed in our preview, the recent sharp jump in underemployment may be a signal of more slack to come.

Participation and unemployment rates

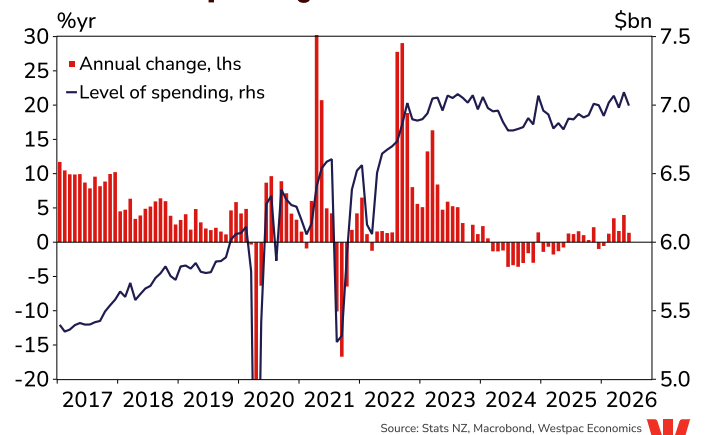


NZ: Jul Retail Card Spending (%mth)

Aug 17, Last: -1.4, Westpac f/c: 0.3

Retail spending fell 1.4% in June, reversing the step higher that we saw in May. June's fall in spending was in part due to the fall in fuel prices, with spending on fuel down 1.7%. However, while lower fuel prices did put money back into households' pockets, spending was also down in most other areas. We're expecting moderate growth of 0.4% in July. That's in part due to the continued easing in petrol prices. Core (ex-fuel) spending is likely to record a larger 0.7% gain, including a pick-up in hospitality spending which was boosted by FIFA World Cup celebrations.

NZ retail card spending

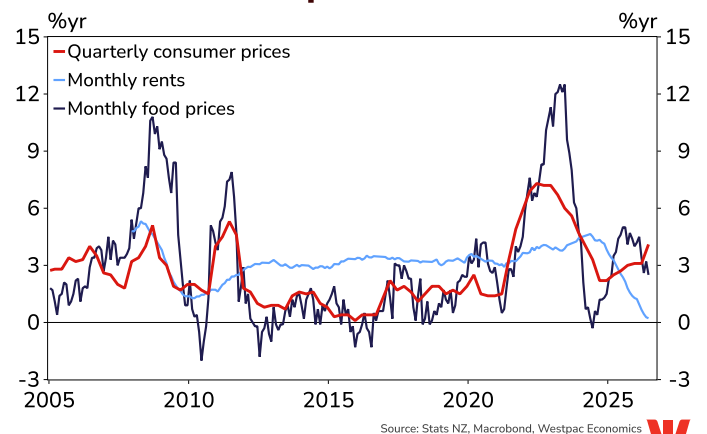


NZ: Jul Selected Consumer Prices (%mth)

Aug 17

Stats NZ's monthly Selected Prices update provides information on around 50% of the full CPI basket, including some of the more volatile components. Looking at some of the big groups, we expect the July update will show a 5% fall in fuel prices. We also expect further softness in housing rents, which have essentially shown no growth for a year. On the upside, we expect a 1% rise in food prices related to the seasonal rise in the price of fresh fruit. Overall, this month's release is expected to leave us with a picture of headline inflation tracking close to 4% and core at firm levels. The key areas of uncertainty are the travel categories, which have been volatile in the wake of the war in the Middle East.

NZ selected consumer prices



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 17							
NZ	Jul	Performance Services Index	index	50.6	–	–	Services have underperformed so far this year.
	Jul	Selected Price Indices – Food	%mth	0.6	–	1.1	Seasonal lift in prices for fresh fruit.
	Jul	Selected Price Indices – Rents	%mth	0.1	–	0.0	No sign that softness is dissipating.
	Jul	Retail Card Spending	%mth	–1.4	–	–	Core spending picking up as fuel prices edged back.
Jpn	Q2	GDP	%qtr	0.5	0.5	–	Firmer domestic demand to support growth.
	Jun	Industrial Production	%mth	1.3	–	–	Final estimate.
Chn	Jul	Retail Sales	ytd %yr	1.3	1.4	–	Activity indicators will likely show an economy that...
	Jul	Industrial Production	ytd %yr	5.4	5.3	–	...continues to lose momentum as policymakers fail to offer...
	Jul	Fixed Asset Investment	ytd %yr	–5.7	–6.2	–	...new stimulus, putting 2026 growth target at risk.
US	Aug	Fed Empire State Manufacturing	index	15.6	10	–	A bumpy up trend since early–2025 remains intact.
	Aug	NAHB Housing Market	index	34	33	–	Homebuilder sentiment expected to reach a 2026 low.
Tue 18							
Aus	Aug	Westpac–MI Consumer Sentiment	index	83.9	–	–	Steady rates, higher fuel, housing downturn, all in play.
		RBA Speak	–	–	–	–	RBA's Jones–Fireside Chat
Eur	Aug	ZEW Survey Of Expectations	index	23.4	–	–	Sitting at a five month high as reform spur hope for growth.
UK	Jun	ILO Unemployment Rate	%	4.9	4.7	–	Stabilising after coming off early–2026 peak.
US	Jul	Import Price Index	%mth	0.3	0.1	–	Prices for consumer goods firmed partly offset by energy costs.
	Jul	Housing Starts	%mth	19.0	–5.7	–	Partial unwind expected following June boost...
	Jul	Building Permits	%mth	–2.6	–0.2	–	...while permits expected to record third consecutive decline.
	Jul	Industrial Production	%mth	0.1	0.3	–	Rising production sees capacity pressures increase.
Wed 19							
Aus	Q2	WPI	%qtr	0.8	0.8	0.8	Higher than expected FWC decision to lift wages.
		RBA Speak	–	–	–	–	RBA's Hauser Fireside Chat, 12:45pm AEST.
NZ	Q2	PPI	%qtr	0.8	–	–	Will reflect higher fuel prices.
Jpn	Jun	Core Machinery Orders	%mth	–12.4	7.8	–	To partly reverse following last month's contraction.
UK	Jul	CPI	%ann	2.6	3.0	–	Services to moderate as energy pressures persist.
US		FOMC Meeting Minutes	–	–	–	–	Minutes for the July Committee meeting.
Thur 20							
Aus	Aug	MI Inflation Expectations	%ann	4.7	–	–	Could see an increase given the end of the fuel excise cut.
	Jul	Employment Change	000s	76.3	13.5	15.0	Watch employment-to-population to dampen noise...
	Jul	Unemployment Rate	%	4.4	4.4	4.4	...as participation rate ticks lower keep the UR steady.
US	Aug	Philly Fed Manufacturing	index	41.4	25.0	–	At a near five year high.
		Initial Jobless Claims	000s	209	210	–	Down trend resumes after early–May–to–mid–June up trend.
	Jul	Leading Index	pts	–0.2	0.1	–	Consumers are the key headwind to economic growth.
Fri 21							
NZ	Jul	Trade Balance	\$m	23	–	–	Exports likely to decline from exceptional June level
Jpn	Jul	CPI	%ann	1.6	2.0	–	Price pressures broaden beyond food and energy costs.
	Aug	S&P Global Manufacturing PMI	index	54.5	–	–	Activity buoyed by steepest rise in new orders in four years...
	Aug	S&P Global Services PMI	index	51.2	–	–	...while cost and capacity pressures remain at odds in services.
Eur	Aug	S&P Global Manufacturing PMI	index	51.9	51.6	–	Production sees fastest rise since post–Covid related surge...
	Aug	S&P Global Services PMI	index	51.7	51.5	–	...with services activity rebounding into expansion.
UK	Aug	GfK Consumer Sentiment	index	–17	–18	–	Yet to recover from Middle East led deterioration.
	Jul	Retail Sales	%mth	1.0	–	–	World Cup overrides sour sentiment to lift spending.
	Aug	S&P Global Manufacturing PMI	index	51.9	51.8	–	Input price inflation eased considerably...
	Aug	S&P Global Services PMI	index	52.1	51.8	–	...as services activity returned to expansion in July.
US	Aug	S&P Global Manufacturing PMI	index	53.9	53.7	–	Rising at a milder pace due to supply chain disruptions...
	Aug	S&P Global Services PMI	index	54.6	53.9	–	...while outlook for services improves bolstering job creations.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (14 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.51	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	4.98	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.64	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.95	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.60	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.64	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	0	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (14 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7062	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5856	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.46	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1533	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3489	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7449	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2069	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	-	-	-	-
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	-	-	-	-
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	-	-	-	-
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	-	-	-	-
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	-0.1	0.6	0.7	1.0	0.5	0.6	0.7	-	-	-	-
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	-	-	-	-
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Corporate Directory

Westpac Economics / Australia

Sydney

Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis

Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan

Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke

Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner

Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk

Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante

Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas

Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells

Economist
E: ryan.wells@westpac.com.au

Illiana Jain

Economist
E: illiana.jain@westpac.com.au

Neha Sharma

Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic

Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland

Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold

Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon

Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs

Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod

Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark

Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva

1 Thomson Street
Suva, Fiji

Shamal Chand

Senior Economist
E: shamal.chand@westpac.com.au



 westpaciq.com.au

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17 AUGUST 2026

WESTPAC—DATA CARD TRACKER

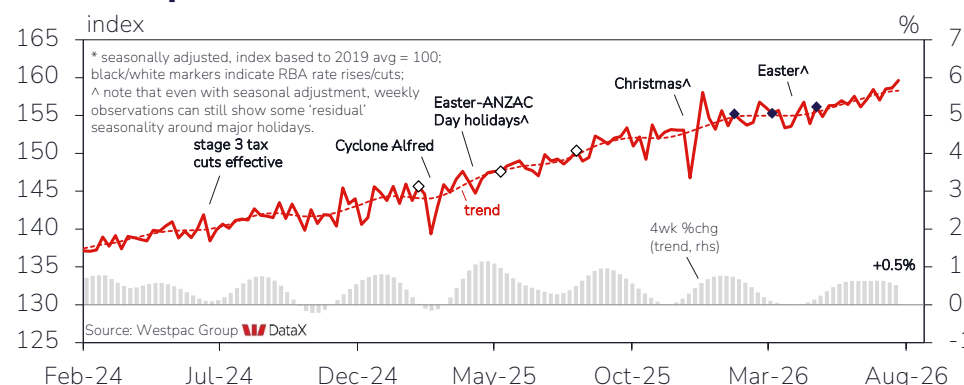
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Card activity: solid growth pulse returns

- The **Westpac–DataX Card Tracker Index*** has posted a sustained improvement since mid-July, rising 2.6pts to 159.6, a new historical high.
- Quarterly growth momentum has lifted back into the 1.1–1.5% range, the strongest pace since late-March. Notably, this has little to do with the move higher in fuel prices following the end of temporary excise tax cuts, with this effect having little bearing on quarterly growth rates so far.
- Monthly growth momentum is also holding steady at around 0.7%, although here the impact of fuel price changes is clearer with card activity ex fuel tracking a softer 0.3% pace.
- The softer fuel and electricity spending over the quarter appears to have freed up some capacity for discretionary spending. Discretionary segments are now growing at 2.4%, the strongest pace in around a year. Much of the lift has been driven by holiday travel, which has rebounded following disruptions earlier in the year associated with the Middle East conflict. In contrast, spending on essentials has been broadly flat over the quarter.
- By state, Victoria continues to lead the majors, with card spending up 2.4%, although momentum has softened noticeably over the past four weeks. Elsewhere, spending growth remains more modest but positive, tracking between 1.1% in NSW and 1.8% in WA.
- Momentum has strengthened through recent months, even though consumers face several headwinds. Looking back, the Q2 Household Spending Indicator, which captures around two-thirds of consumption, recorded a solid 0.7% rise in real terms. However, we still expect the broader national accounts measure to show a more modest 0.2% increase in Q2 when it is released on 2 September. While still early in the quarter, the latest card data suggest some upside risk to our current forecast of a 0.4% rise in household consumption in Q3. Overall, we expect consumption to rise by 1.6% in 2026 (see our August [Market Outlook](#) for the full outlook and our August [Red Book](#) for a consumer deep dive).

“... essentials relief supporting discretionary spending.”

1. Westpac–DataX Card Tracker Index*



The **Westpac–DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

Neha Sharma, Economist

Email: economics@westpac.com.au

This issue was finalised on 17 August 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit [Westpac DataX](#) or contact datax@westpac.com.au.

Higher rates not biting the consumer

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- The quarterly growth momentum continued to improve since our last update, with the latest pace tracking 1.5% – the strongest since late-March. Underlying this is a 1.2% rise in domestic transactions and a 6.0% rise in international. Earlier estimates have also been revised higher.
- Notably, excluding fuel and electricity spending from this measure, quarterly

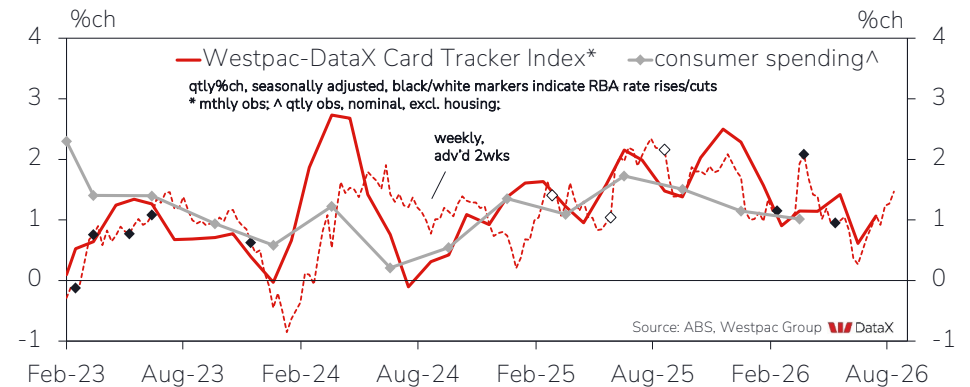
growth momentum was running at 2.1%, the strongest in around a year. The near-term momentum tells a different story, though, with broader card activity tracking 0.7% over the past month and 0.3% after excluding electricity and fuel.

- Overall, we see some upside risk to our current estimate of 0.4% for consumption in Q3.
- The Q2 ABS household spending indicator posted a solid 0.7% rise in real terms. The full consumption wash-up will be provided in the national accounts, due September 2. We expect a 0.2% rise in consumption over Q2.

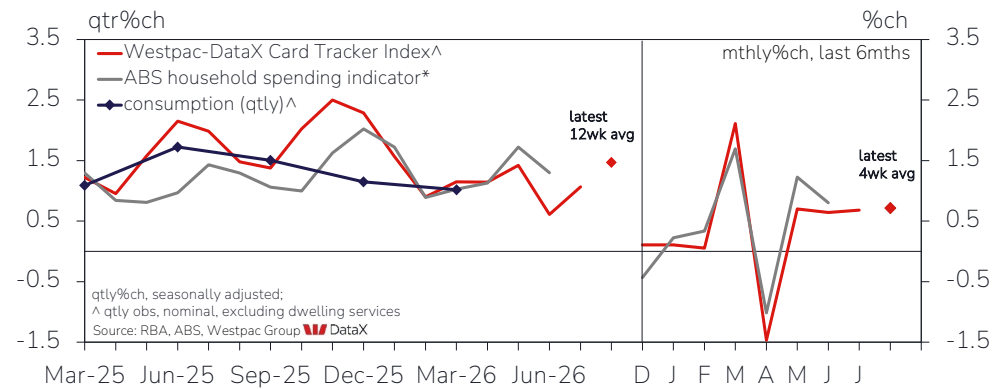
qtrly%ch	Q4	Q1	Q2	latest^
Westpac-DataX Card Tracker	2.3	1.1	0.6	1.5
ABS monthly household spending indicator*				
Nominal	2.0	1.0	1.3	n.a.
Real*	0.9	0.8	0.7	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.1	1.0	n.a.	n.a.
Real	0.4	0.5	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



Discretionary categories and Vic lead

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown in Q2 was fairly broad-based but slightly more pronounced for essentials (noting that for essential goods this is partly due to the unwinding fuel price spike).
- The recent firming continues to be centred on discretionary categories. Growth in discretionary services is running at 3.4%qtr (strongest since mid-2025), in particular holiday travel which is growing at 5.2%qtr. Discretionary goods are growing at 1.2%qtr – the strongest in about five months.
- By contrast spending on essentials has been flat, with a modest rise in services (+0.2%qtr) offset by a decline in goods (–0.2%qtr). The weakness in the latter is entirely due to vehicle-related spending. The near-term momentum for both appears much stronger, running at 1.0%mt and 1.9%mt respectively, mostly due to the operation of vehicles and transport services component.
- Chart 5 shows card activity across the major states. Vic continues to run ahead of other states, with spending up 2.4%qtr, though the trend softened over the past four weeks. Card activity is running at 1.1%qtr in NSW, 1.2%qtr in Qld, 1.3%qtr in SA and 1.8%qtr in WA.

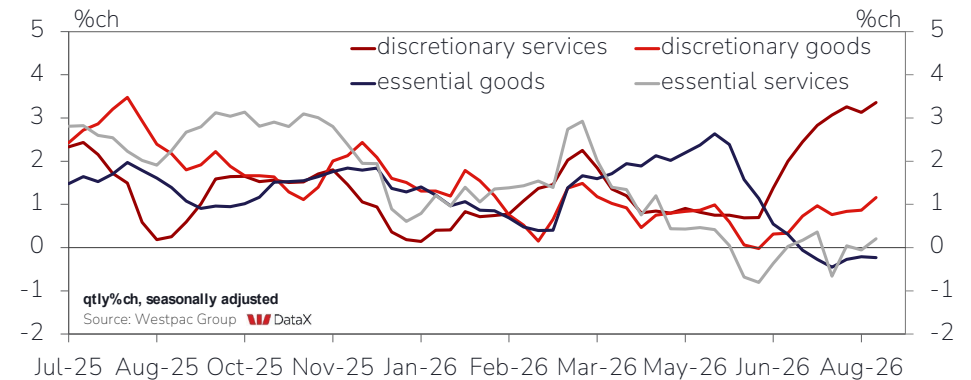
	May	Jun	Jul	8/8
Westpac–DataX Card Tracker	156.0	157.0	158.1	159.6
By category				
– discretionary*	157.5	159.1	160.4	162.7
– essential*	151.6	151.7	152.5	154.5
By state				
– NSW	149.1	149.5	150.5	154.5
– Vic	147.3	148.0	148.9	152.8
– Qld	170.1	172.3	174.3	175.3
– WA	171.4	173.9	176.2	179.8
– SA	163.3	163.6	164.9	168.4

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.

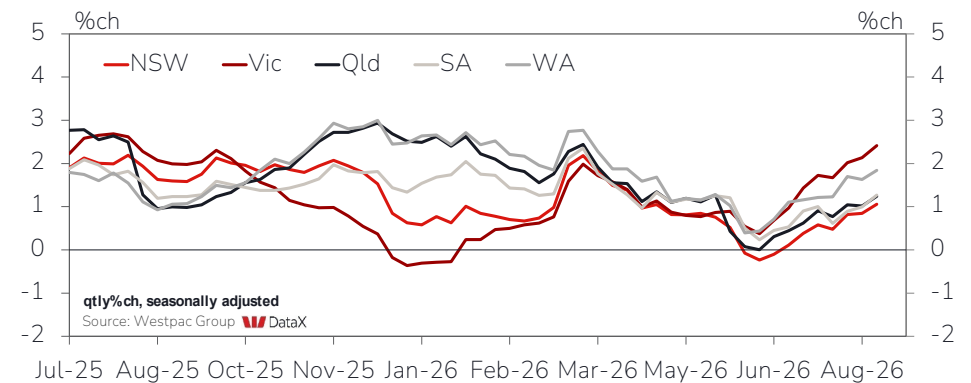
* indexes revised due to re-classification.

Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

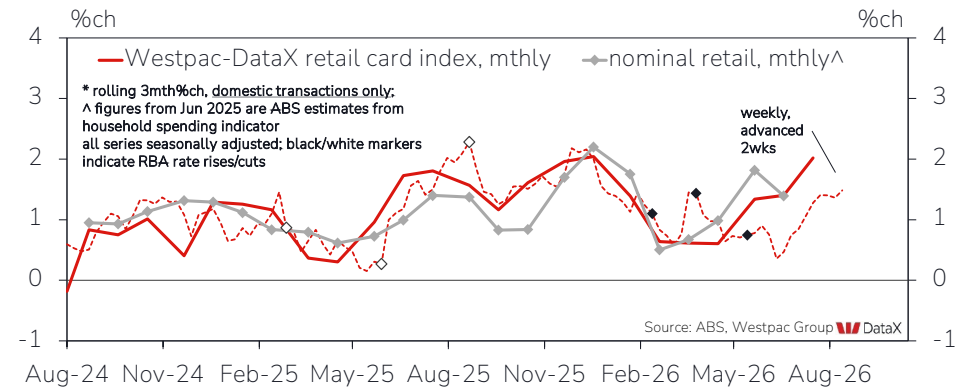


Food retailing slows led by hospitality

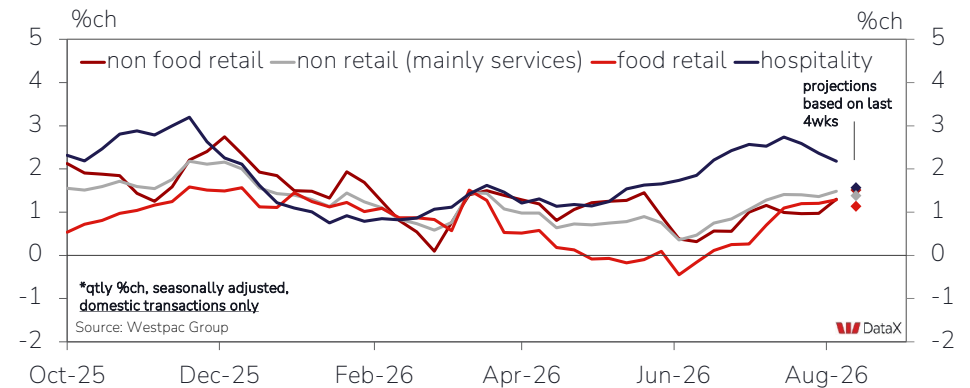
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- The divergence between the broader WCTI and the retail and MHSI card measures has narrowed substantially since our last update. The retail card index is now growing in line with broader spending, at 1.5%qtr. The recent slowing here is attributed to food-related category, in particular hospitality spending, with non-food retail spend partly offsetting. Meanwhile the MSHI card index is well behind, at 0.9%qtr.
- The [latest](#) ABS MHSI showed a 0.8% rise in June, with quarterly growth lifting to 1.3%. This compares to the June monthly outcome for our index which was flat. The ABS attributed the recent strength in spending to electric vehicle purchases. This may explain some of the miss as vehicle purchases are not well-captured in card transaction data alone.
- Our MHSI card index rose 0.9% in July, with the official ABS outcome due 27 August.

	May	Jun	Jul	8/8
MHSI card index	153.6	153.6	155.0	157.4
– qtly%ch	1.9	0.9	0.9	1.0
– qtly, ann%ch	6.2	5.1	5.3	5.3
ABS MHSI				
– %ch	1.2	0.8	n.a.	n.a.
– qtly%ch	1.7	1.3	n.a.	n.a.
– qtly ann%ch	5.4	5.5	n.a.	n.a.
Retail card index	154.2	154.5	155.6	156.1
– qtly%ch	1.3	1.4	2.0	1.5
– qtly, ann%ch	5.6	5.3	5.7	5.5
ABS retail sales				
– %ch	1.2	0.1	n.a.	n.a.
– qtly%ch	1.9	1.3	n.a.	n.a.
– qtly ann%ch	5.5	5.2	n.a.	n.a.

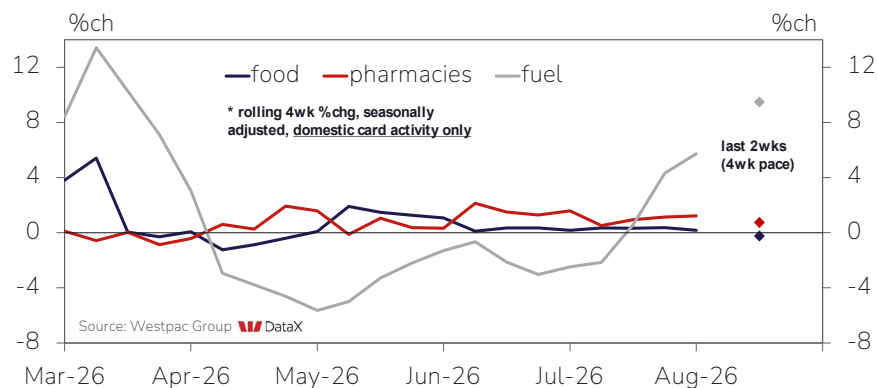
6. Card activity: retail



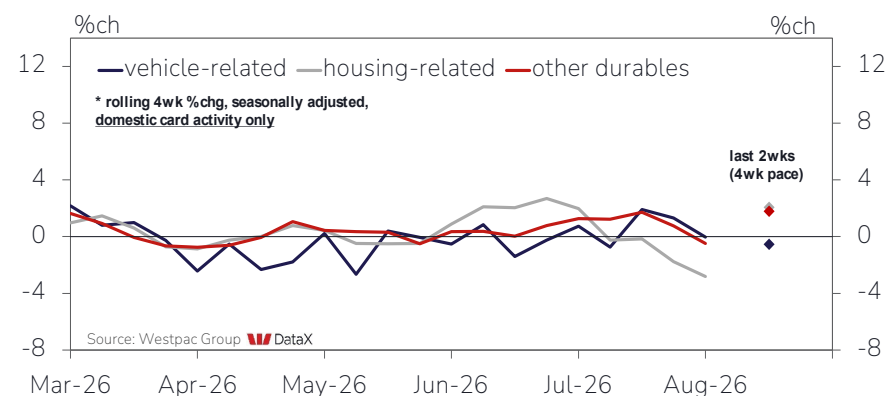
7. Card activity: retail segments and non-retail



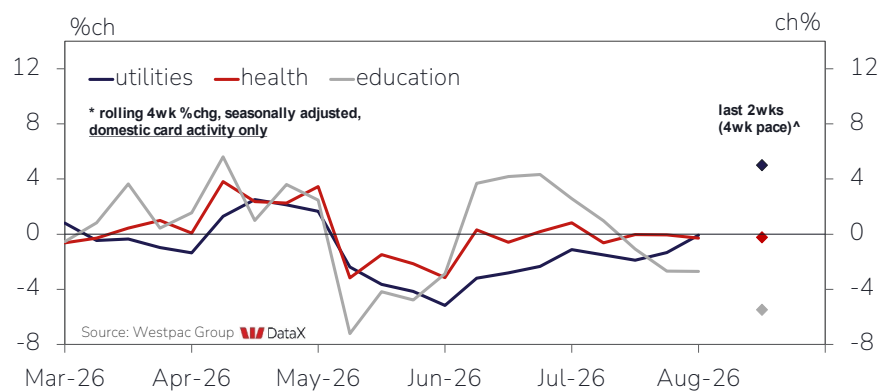
8. Card activity: essential goods



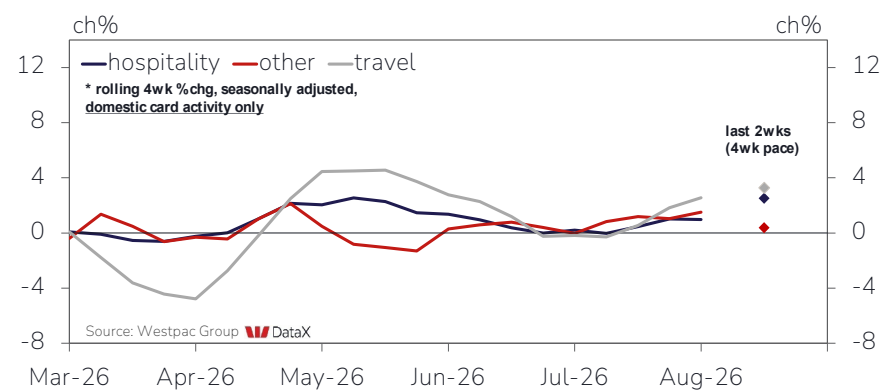
9. Card activity: discretionary goods



10. Card activity: essential services

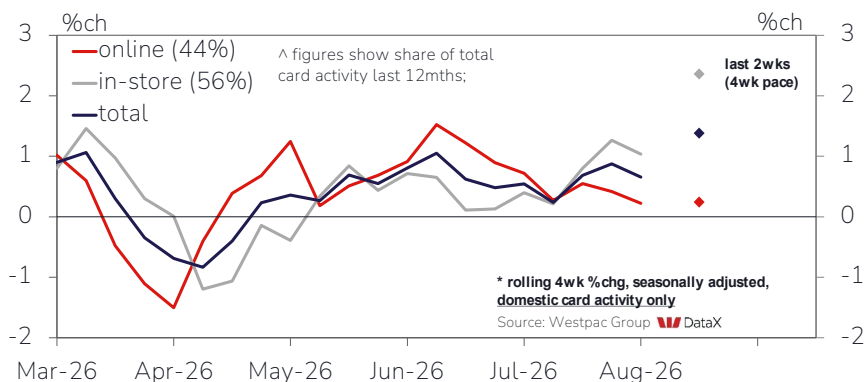


11. Card activity: discretionary services

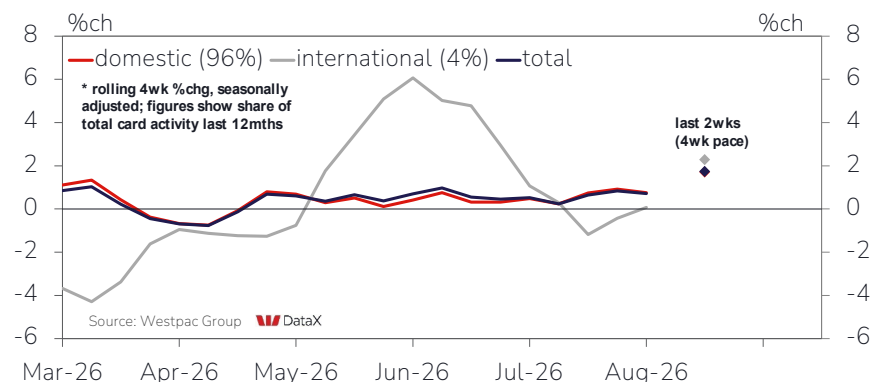


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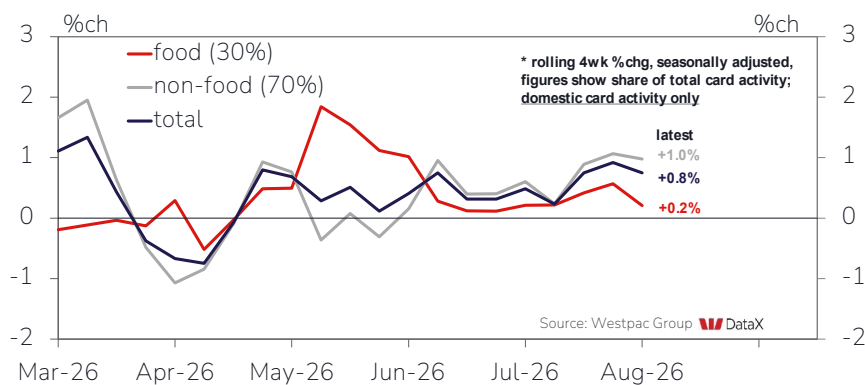
12. Card activity: online and in-store



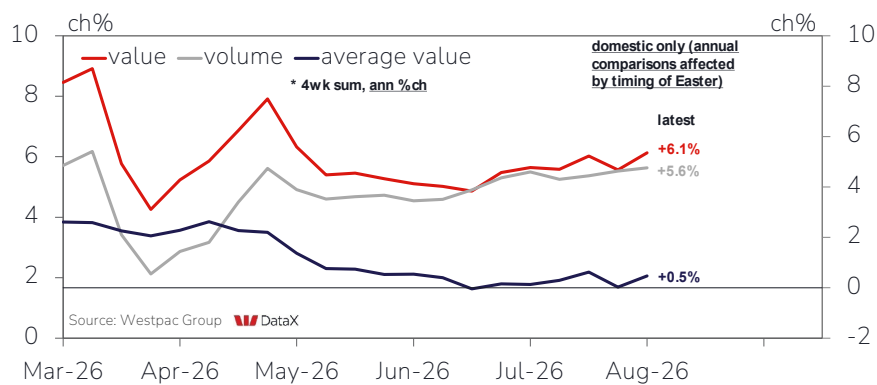
13. Card activity: domestic and international



14. Card activity: food and non-food



15. Card activity: value and volume



	2024		2025		2026		week ending:								
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	May	Jun	Jul	18/7	25/7	1/8	8/8
Westpac–DataX Card Tracker Index	141.0	143.0	144.7	147.8	149.9	153.3	155.0	156.0	156.0	157.0	158.1	157.0	158.5	158.6	159.6
qtly%ch	0.4	1.4	1.2	2.2	1.4	2.3	1.1	0.6	1.4	0.6	1.1	0.9	1.2	1.3	1.5
qtly, ann%ch	3.9	5.4	3.8	5.3	6.3	7.2	7.1	5.5	6.4	5.5	5.9	5.7	5.8	5.8	6.0
By category															
– discretionary	142.8	145.7	146.0	149.4	151.3	155.2	155.7	157.3	157.5	159.1	160.4	160.2	161.2	161.2	162.7
– essential	137.9	138.4	141.2	143.9	146.0	148.2	151.2	151.7	151.6	151.7	152.5	151.5	153.7	153.7	154.5
services	147.3	150.3	152.7	157.0	160.0	164.0	165.3	165.8	165.7	167.9	169.2	168.5	170.0	168.5	172.1
– discretionary services	150.5	154.3	154.9	159.3	161.1	166.2	166.3	167.6	167.5	170.3	171.5	171.6	172.6	172.4	174.9
– essential services	142.7	144.6	149.5	153.6	158.4	160.9	164.0	163.2	163.1	164.5	165.8	164.0	166.2	163.1	168.2
goods	134.8	135.4	136.3	138.2	139.4	141.8	143.8	145.4	145.5	145.2	146.2	145.7	147.3	148.5	147.5
– discretionary goods	134.6	136.4	136.6	138.7	140.9	143.5	144.4	146.3	146.9	147.1	148.6	148.0	149.0	149.2	149.7
– essential goods	135.0	134.6	136.1	137.8	138.2	140.3	143.2	144.6	144.4	143.6	144.1	143.7	145.8	147.9	145.7
MHSI card index*	140.6	142.4	143.2	145.9	147.5	150.6	152.0	153.4	153.6	153.6	155.0	155.1	156.6	157.3	157.4
qtly%ch	0.4	1.2	0.6	1.9	1.0	2.1	1.0	0.9	1.9	0.9	0.9	0.8	0.9	0.8	1.0
qtly, ann%ch	3.1	4.7	2.5	4.2	4.8	5.8	6.1	5.1	6.2	5.1	5.3	5.0	5.0	5.1	5.3
retail card index*	141.0	142.8	143.3	145.8	147.5	150.5	151.4	153.5	154.2	154.5	155.6	155.3	155.7	156.3	156.1
qtly%ch	0.7	1.3	0.4	1.7	1.2	2.0	0.6	1.4	1.3	1.4	2.0	1.4	1.4	1.4	1.5
qtly, ann%ch	2.8	4.2	1.8	4.2	4.6	5.4	5.7	5.3	5.6	5.3	5.7	5.6	5.5	5.5	5.5
By state															
– NSW	136.4	138.5	139.6	142.5	144.2	148.2	148.5	149.2	149.1	149.5	150.5	151.6	152.8	153.2	154.5
– Vic	135.5	136.8	138.7	140.2	142.4	144.7	146.5	146.8	147.3	148.0	148.9	150.7	152.2	151.3	152.8
– Qld	150.7	152.3	155.5	159.5	161.9	167.0	169.6	169.8	170.1	172.3	174.3	174.1	175.0	175.3	175.3
– WA	151.0	154.2	157.3	158.9	162.9	168.2	171.6	171.1	171.4	173.9	176.2	177.9	178.7	177.9	179.8
– SA	147.7	150.0	152.0	154.4	157.3	160.2	162.2	162.8	163.3	163.6	164.9	164.4	166.1	166.6	168.4

All indexes based on the value of spending-related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non-card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID period mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

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WEEKLY ECONOMIC COMMENTARY



17 Aug 2026 | **Westpac Economics Team** | westpac.co.nz/economics | economics@westpac.co.nz

Political drama and mixed data

While much of the focus remains on developments offshore, over the past week market participants have also had to digest both further domestic political drama and the release of several local economic indicators.

Beginning with political developments, the National Party is continuing to poll well below its 2023 General Election result, suggesting that several of the party's MPs are at risk of losing their seats at the next General Election on 7 November. So perhaps unsurprisingly, media speculation about a possible change in the party's leadership – citing sources within the party – resurfaced last weekend. This led Prime Minister Christopher Luxon to call an impromptu caucus meeting on Wednesday, calling MPs back to Wellington despite parliament being in recess.

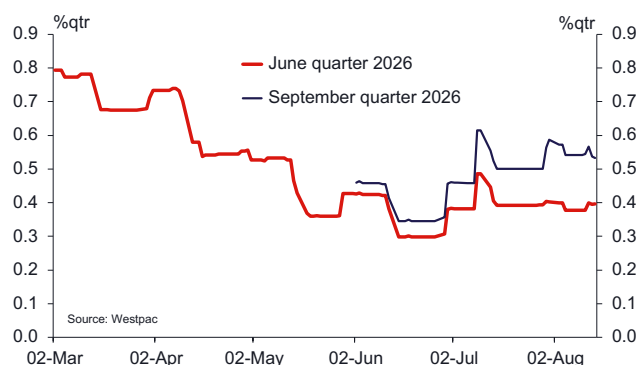
Following a three-hour meeting, Luxon held a very short press conference at which he confirmed that he had survived a no confidence motion. This follows him surviving an earlier confidence motion back in April (on that occasion, initiated by Luxon himself following widespread media reporting of dissatisfaction within the party caucus). Later in the day it emerged that one minister, Chris Penk, had challenged Luxon for the leadership. Penk has since been sacked from the Cabinet and has announced that he will no longer be standing for re-election.

With the next General Election now less than 90 days away, polling continues to show a tight race. Crucially, another well-respected poll released this week (the 1News-Verian poll) suggests that the Opportunity Party will – for the first time – achieve the 5% vote threshold that will allow it to enter parliament. Moreover, the same polling suggested that it could well be the “kingmaker” after the election. Given that the National Party has indicated an unwillingness to work with it, the Opportunity Party's rise increases the likelihood of a change of government.

Key views

	Last 3 months	Next 3 months	Next year
Global economy	→	→	→
NZ economy	→	↗	↗
Inflation	↑	→	↓
2 year swap	→	→	↗
10 year swap	→	→	↗
NZD/USD	→	→	↗
NZD/AUD	↗	→	↗

Westpac GDP nowcasts



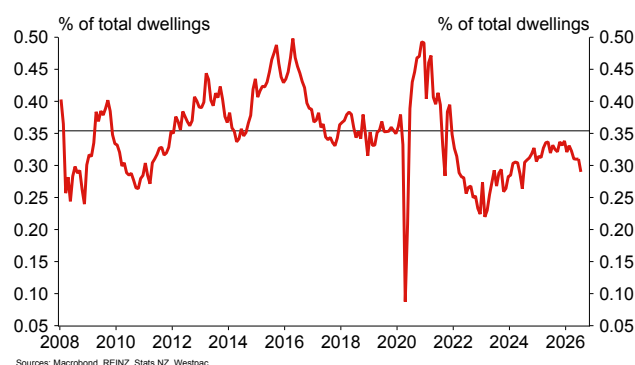
Key data and event outlook

Date	Event
17 Aug 26	NZ Selected price indexes, July
2 Sep 26	RBNZ OCR Review & Monetary Policy Statement
16 Sep 26	FOMC meeting (17 Sep NZT)
17 Sep 26	NZ GDP, June quarter
18 Sep 26	NZ Selected price indexes, August
29 Sep 26	NZ Govt Pre-election Economic & Fiscal Update
29 Sep 26	RBA Monetary Policy Decision
6 Oct 26	NZIER QSBO Survey, September quarter
16 Oct 26	NZ Selected price indexes, September
21 Oct 26	NZ CPI, September quarter

It will be interesting to see how last week's developments impact polling over coming weeks, with political infighting usually punished by potential voters. It is worth noting that measures of headline business confidence have historically been weaker when a left-of-centre government is in power, so it would not be surprising to see a slip in business sentiment over the next month or so (even more so given the ongoing Middle East conflict).

Turning to last week's economic data, news from the housing market remained soft in July. House sales fell 4.6% – their fifth straight monthly decline. Sales are now at their lowest level in two years. The median time to sell extended to around 47 days, thus remaining much longer than the historic average. Meanwhile, the REINZ house price index was unchanged for the month and was down 0.4% on a year ago. Conditions remain stronger in the south, with prices up on a year ago in Canterbury, Otago and Southland. However, Auckland prices were down 1.7% on a year ago, while Wellington was down 4.4%. Fixed-term mortgage rates have continued to rise since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). This will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet.

Monthly house sales

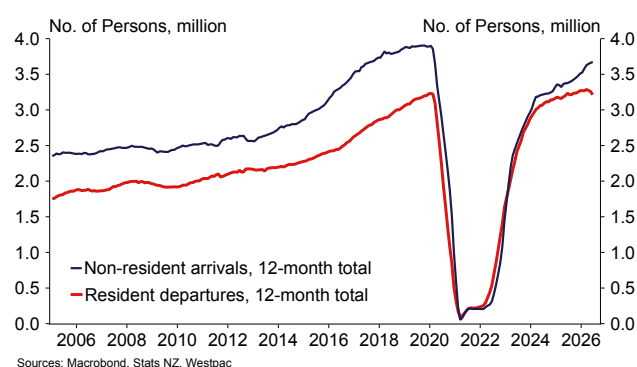


The subdued activity being seen in the housing market is also a reflection of slow population growth. The estimated net migrant inflow in the year to June was just 17,600 – little more than half the average pace experienced over the past two decades. The net inflow has increased marginally over the past year, mostly due to a 5% decline in migrant departures. Looking ahead, given the expected cyclical improvement in the New Zealand economy over the next 12 months, and the expected weakening of the Australian labour market, a further reduction in migrant outflows should contribute to a gradual strengthening in population growth, providing some support to the housing market in time.

In other news, short-term foreign visitor arrivals were down fractionally in June but still 8% higher than a year earlier. Annual growth in total arrivals hides some quite divergent performance across New Zealand's major source markets, however. Arrivals from Australia – the

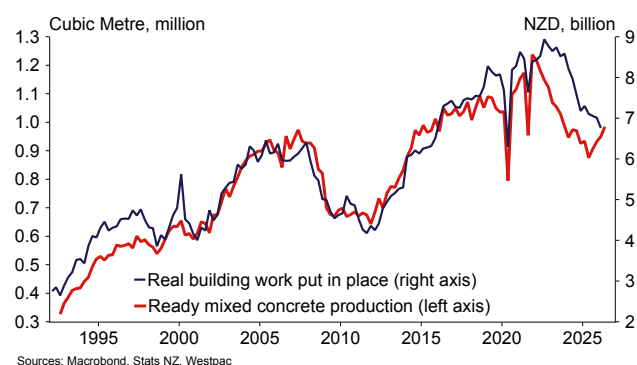
largest market – were up 16%/yr and are now well above pre-pandemic levels, doubtless helped by the significant fall in the NZD/AUD cross over the past year. The recent strong performance of the Chinese market also continued, with arrivals up 33%/yr (now around 88% of pre-pandemic levels). By contrast, arrivals from the US and Canada were down around 8%/yr. Less surprisingly, arrivals from Germany and the UK were down over 9%/yr, likely reflecting both the undesirability of transiting via the key Middle East hubs as well as the large increase in long-haul airfares. Meanwhile, the Middle East conflict also appears to be impacting the travel habits of New Zealanders, with outbound travel falling for a third consecutive month in June to sit slightly below its year-earlier level.

Tourism flows



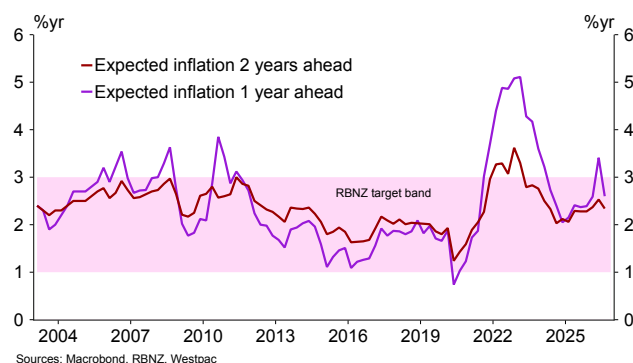
The Business NZ manufacturing index fell 5.8pts to 54.3 in July – roughly halfway between its sharply contrasting May and June readings. The sharpest decline was seen in the new orders index, which fell 10.8pts to 53.3 – just above its May reading. By contrast, the production index remained quite resilient, falling just 1.9pts to 57.3. We think that the manufacturing sector is continuing to benefit from strong conditions in the primary food sector and the beginnings of an upturn in the construction sector. Indeed, further signs of the latter were evident in concrete production data for the June quarter. At the nationwide level, production increased 3.7% during the quarter to be 12.4% higher than a year earlier. In common with many other macroeconomic statistics, the South Island regions stood out as relatively strong, with growth of 25%/yr in Canterbury and 20%/yr in Otago/Southland.

Concrete poured vs real building work



Turning to inflation, the RBNZ's September survey of professional forecasters and selected businesspeople pointed to a welcome decline in expectations over the next couple of years. Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter. Similarly, the closely watched measure of inflation in two years' time fell to 2.34%, down from 2.53% previously. We did see a small rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see. Meanwhile, in a similar vein, the RBNZ's household survey reported that the median one-year ahead inflation expectation had declined by 0.5pts to 4.5%, while the two-year ahead expectation fell 0.6pts to 3.4%. At the margin these results might ease the RBNZ's concerns about the potential for second-round inflation impacts.

RBNZ Survey of Expectations



Finally, after trending sideways for most of this year, Westpac's indicator suggests that spending levels took a step higher in July, with per-person spending on Westpac issued credit and debit cards rising 2% over the month. Helping to support July's lift in spending were falls in fuel prices, with the savings there supporting a near 3% lift in spending on groceries. We also saw sizeable increases in some categories of discretionary spending – spending in restaurants was up 5% and spending on other entertainment was up 2%. That lift coincided with the FIFA World Cup. Stats NZ will release its more comprehensive measure of electronic card spending over the coming week.

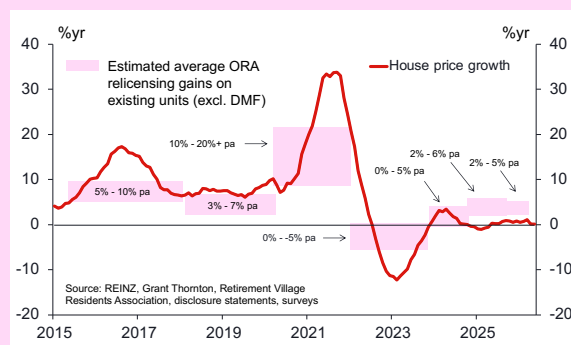
Darren Gibbs, Senior Economist

Chart of the week.

Our recent report on [aged residential care](#) highlights the pivotal role that village-linked providers play in delivering aged care services integrated within their retirement village operations. For providers integration not only provides a pipeline of potential future care residents but also access to a source of capital. For retirement village residents it provides some assurance that their future care needs will be catered for.

The village-linked model is built around the Occupation Right Agreement (ORA). Under this agreement residents pay an upfront capital sum for the right to occupy a unit in a retirement village. The value of an ORA is influenced by local housing market conditions, as many residents fund their move into retirement village living through the sale of their home. When residents leave or pass away, operators typically retain a Deferred Management Fee (DMF), usually around 25% to 30% of the original ORA value, with the balance repaid to the resident or their estate.

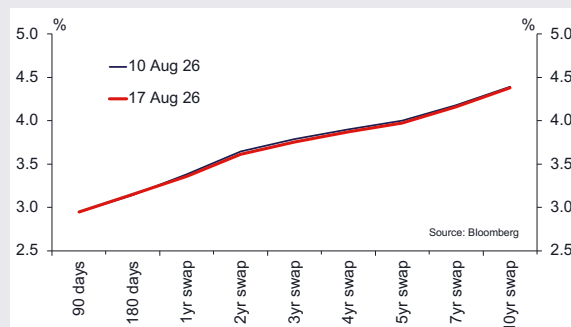
House prices and ORA relicensing gains



Fixed versus floating for mortgages.

The RBNZ lifted the OCR to 2.5% at its July meeting and signalled the likelihood of further rate hikes over the coming months (dependent on the strength of economic data). We're expecting 25bp hikes at the RBNZ's September and December meetings, with the OCR expected to continue rising next year. Fixed-term mortgage rates between two and five years now lie above 5%, but fixing for one of these longer periods still appears attractive as it would insulate borrowers from a trend higher in the OCR over the next couple of years.

NZ interest rates



Global wrap

World.

In our latest **monthly Market Outlook**, released last week, we have upgraded our world growth forecasts for 2026, most notably for the euro zone, East Asia (excl China) and Australia. Recent data suggests that the pass-through from higher energy prices is proving to be less persistent than initially feared, allowing policymakers to refocus on domestic inflation and growth dynamics. But central banks generally remain cautious, with most reluctant to move away from mildly restrictive policy while also emphasising a willingness to respond to upside inflation surprises.

Asia-Pacific.

The RBA decided unanimously to keep the cash rate unchanged for a second consecutive meeting. The accompanying statement highlighted that the Board is prepared to increase the cash rate from here if upside risks to inflation materialise. Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both softer than it anticipated. However, the labour market is still seen as tight and inflation risks as skewed to the upside, so we expect the RBA's communications to maintain a hawkish tone even as they remain on hold through late 2026 and early 2027. The July labour force report (Thursday) is expected to show the unemployment rate steady at 4.4%, and a partial unwind of the sharp lift in participation in June. Other notable releases this week are the Westpac-MI consumer sentiment index (Tuesday) and the Q2 wage price index (Wednesday).

North America.

US inflation data proved benign again in July, with headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still well above the Fed's 2% target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr, and recent monthly outcomes suggest further progress is in train. Since December 2025 core goods prices have essentially been flat, while services inflation has been dominated by an outsized contribution from shelter. July retail spending was considerably softer than the market expected, with total sales falling 0.6% and same-store sales down 0.4%. The University of Michigan consumer sentiment survey fell 4 points to 51 in August, with year-ahead inflation expectations ticking up slightly to 4.3%.

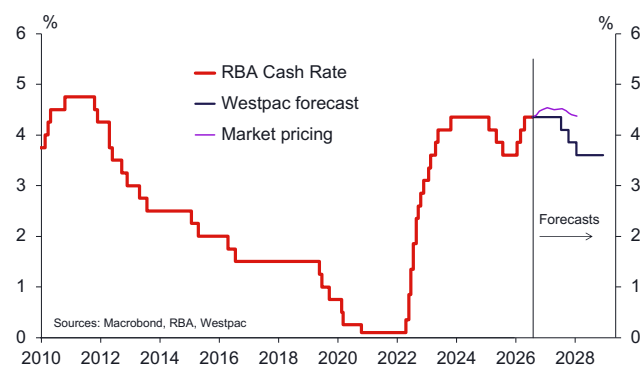
Trading partner real GDP (calendar years)

	Annual average % change			
	2025	2026	2027	2028
Australia	2.0	1.7	1.3	2.2
China	5.0	4.7	4.6	4.4
United States	2.1	2.0	1.8	1.9
Japan	1.1	0.6	0.8	0.9
East Asia ex China	4.7	5.1	4.4	4.3
India	7.6	6.7	6.7	6.6
Euro Zone	1.5	0.8	1.2	1.5
United Kingdom	1.4	1.2	1.1	1.5
NZ trading partners	3.2	3.0	2.7	2.9
World	3.4	3.3	3.3	3.3

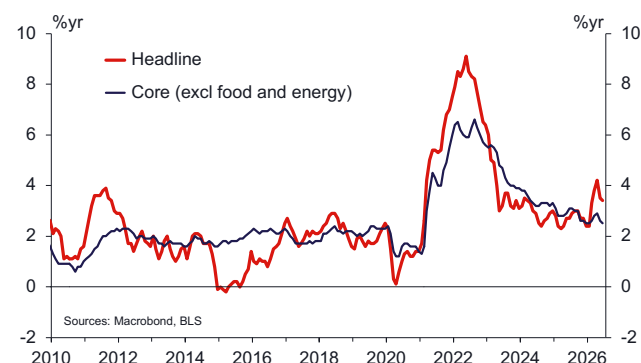
Australian & US interest rate outlook

	14 Aug	Dec-26	Dec-27	Dec-28
Australia				
Cash	4.35	4.35	3.85	3.60
90 Day BBSW	4.51	4.46	3.76	3.70
3 Year Swap	4.49	4.45	4.10	3.90
3 Year Bond	4.49	4.45	4.10	3.90
10 Year Bond	4.98	4.85	4.65	4.65
10 Year Spread to US (bps)	35	25	0	-20
US				
Fed Funds	3.625	3.625	3.625	3.625
US 10 Year Bond	4.64	4.60	4.65	4.85

RBA Cash Rate



US CPI inflation



Financial markets wrap

Foreign exchange.

NZD/USD was volatile last week, threatening the low 0.58s amid continuing Middle East tensions, rising oil prices, and contained NZ inflation expectations data, but rebounding on Friday towards 0.5900, helped by disappointing US retail sales data.

The week starts with a slightly bullish tone. A clear break above 0.5900 would then target around 0.6000. Such a break would probably require global risk sentiment to improve, particularly regarding the Middle East. Economic data will likely take a back seat, with the US calendar of second-tier importance and the NZ calendar third tier.

Looking further ahead to year end, NZ-US yield spreads have preserved most of July's OCR hike-related gains and are expected to extend higher during the quarter ahead given RBNZ vs Fed expectations. That should lend support to NZD/USD.

That said, for the quarter ahead, we retain a neutral bias, pending an enduring resolution of the Iran war. A positive outcome could lift the NZD above the 0.6000 area, while a full-scale war could cause a decline to 0.5600.

NZD/AUD's rebound in July was helped by the RBNZ's OCR hike, but it was unable to clear 0.8400 and will require fresh catalysts to do so. Australian labour data this week (employment, wage inflation) could ruffle the market.

Interest rates.

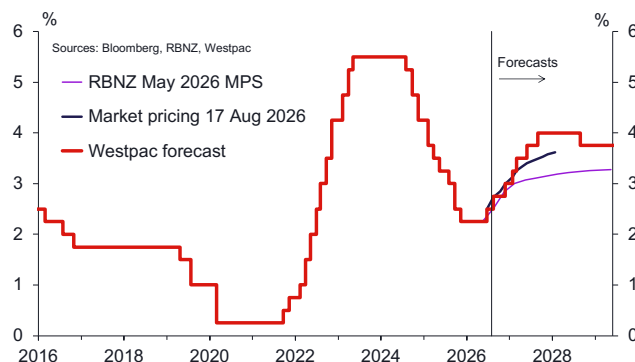
The 2yr swap rate is testing the bottom of the month-old range of 3.60%-3.75%, after making a cycle high of 3.81% in July. A break below would target the 3.45%-3.55% area multi-week.

The main drivers for the multi-week yield decline have been global yields, compounded by recent NZ data indicating the economy remains in low growth mode (unemployment, house prices, inflation expectations). The next major NZ event will be the RBNZ MPS on 2 Sep.

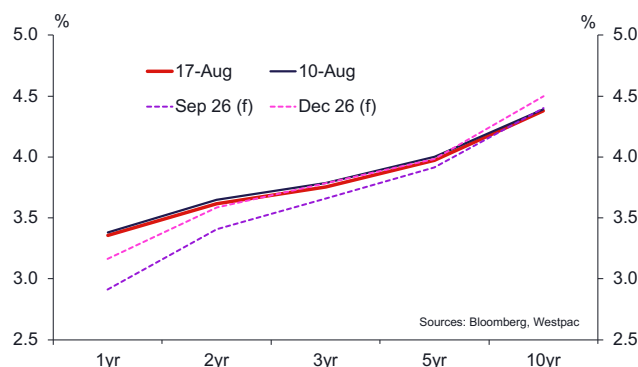
OIS pricing remains stuck at a 90%-95% chance of a hike in September, while the chances of another in October have been trimmed to 45%. A total of two hikes is priced by year-end, matching our forecast.

The yield curve's flattening trend since the peak in late December is likely to remain stalled ahead of fresh RBNZ guidance. The 2-10yr swap is at 76bp (vs 67bp cycle low and 120bp cycle high), and could steepen slightly further during the next few weeks if markets price more out of the October meeting. Much longer term, though, we expect the RBNZ's tightening cycle to bear-flatten this curve further during the year ahead, to around 50bp.

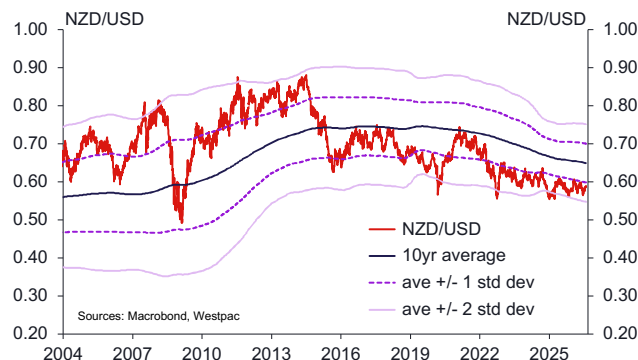
Official Cash Rate forecasts



Swap rates



NZD/USD vs rolling 10yr average



FX recent developments

	Historical data				F'cast
	Spot	3mth range	5yr range	5yr avg	Dec-26
USD	0.589	0.563-0.595	0.553-0.720	0.613	0.60
AUD	0.831	0.816-0.837	0.816-0.971	0.908	0.84
EUR	0.509	0.495-0.513	0.484-0.637	0.558	0.51
GBP	0.435	0.425-0.442	0.425-0.531	0.478	0.44
JPY	93.8	91.1-95.3	74.7-98.6	87.1	96.0

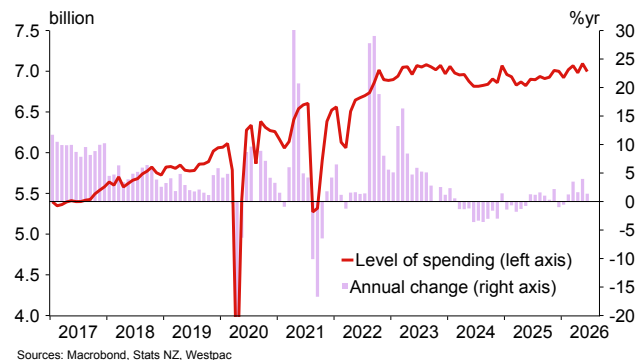
The week ahead

Jul Retail Card Spending (%mth)

Aug 17, Last: -1.4, Westpac f/c: 0.3

Retail spending fell 1.4% in June, reversing the step higher that we saw in May. June's fall in spending was in part due to the fall in fuel prices, with spending on fuel down 1.7%. However, while lower fuel prices did put money back into households' pockets, spending was also down in most other areas. We're expecting moderate growth of 0.4% in July. That's in part due to the continued easing in petrol prices. Core (ex-fuel) spending is likely to record a larger 0.7% gain, including a pick-up in hospitality spending which was boosted by FIFA World Cup celebrations.

Monthly retail card spending

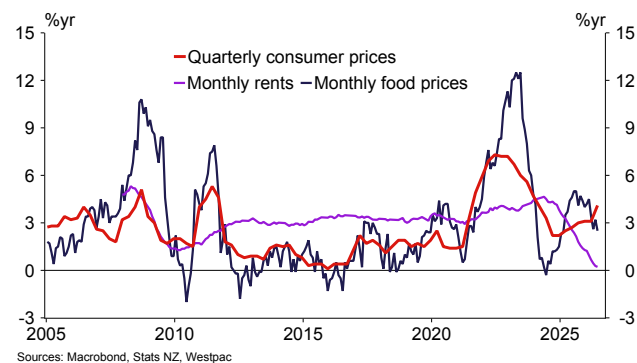


Jul Selected Consumer Prices (%mth)

Aug 17

Stats NZ's monthly Selected Prices update provides information on around 50% of the full CPI basket, including some of the more volatile components. Looking at some of the big groups, we expect the July update will show a 5% fall in fuel prices. We also expect further softness in housing rents, which have essentially shown no growth for a year. On the upside, we expect a 1% rise in food prices related to the seasonal rise in the price of fresh fruit. Overall, this month's release is expected to leave us with a picture of headline inflation tracking close to 4% and core at firm levels. The key areas of uncertainty are the travel categories, which have been volatile in the wake of the war in the Middle East.

Selected consumer prices

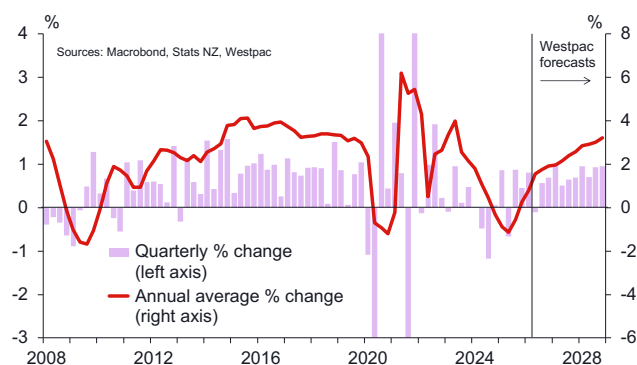


Economic and financial forecasts

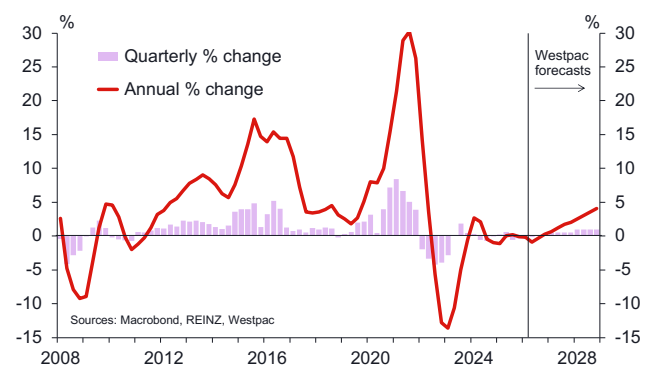
Economic indicators	Quarterly % change				Annual % change			
	Mar-26	Jun-26	Sep-26	Dec-26	2024	2025	2026	2027
GDP (production)	0.8	-0.1	0.6	0.7	-1.6	1.5	2.0	2.9
Consumer price index	0.9	1.5	0.7	0.4	2.2	3.1	3.5	1.9
Employment change	0.2	0.5	0.5	0.7	-1.3	0.2	1.8	2.6
Unemployment rate	5.4	5.6	5.5	5.4	5.1	5.4	5.4	4.9
Labour cost index (all sectors)	0.5	0.6	0.7	0.6	3.3	2.0	2.4	2.4
Current account balance (% of GDP)	-3.6	-3.7	-3.9	-3.9	-4.7	-3.6	-3.9	-3.9
Terms of trade	-1.6	1.4	0.9	-0.1	8.9	3.4	0.6	3.9
House price index	0.1	-0.1	0.0	0.2	-1.0	-0.1	0.3	2.0

Financial forecasts	End of quarter				End of year			
	Mar-26	Jun-26	Sep-26	Dec-26	2024	2025	2026	2027
OCR	2.25	2.25	2.75	3.00	4.25	2.25	3.00	4.00
90 day bank bill	2.51	2.63	3.00	3.40	4.45	2.52	3.40	4.20
2 year swap	3.12	3.47	3.70	3.95	3.64	2.71	3.95	4.20
5 year swap	3.71	3.88	3.95	4.15	3.73	3.27	4.15	4.40
10 year bond	4.54	4.61	4.65	4.65	4.50	4.27	4.65	5.05
TWI	67.2	66.5	67.0	67.9	69.5	66.4	67.9	72.5
NZD/USD	0.59	0.58	0.59	0.60	0.59	0.57	0.60	0.66
NZD/AUD	0.85	0.82	0.83	0.84	0.91	0.87	0.84	0.90
NZD/EUR	0.50	0.50	0.51	0.51	0.55	0.49	0.51	0.55
NZD/GBP	0.44	0.44	0.44	0.44	0.46	0.43	0.44	0.47

GDP growth



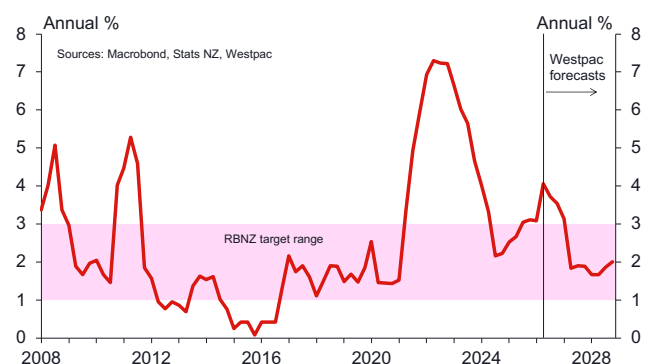
House prices



Unemployment and wage growth



Consumer price inflation



Data calendar

		Last	Market median	Westpac forecast	Risk/Comment
Mon 17					
NZ	Jul Performance Services Index, index	50.6	–	–	Services have underperformed so far this year.
	Jul Selected Price Indices – Food, %mth	0.6	–	1.1	Seasonal lift in prices for fresh fruit.
	Jul Selected Price Indices – Rents, %mth	0.1	–	0	No sign that softness is dissipating.
	Jul Retail Card Spending, %mth	–1.4	–	–	Core spending picking up as fuel prices edged back.
Jpn	Q2 GDP, %qtr	0.5	0.5	–	Firmer domestic demand to support growth.
	Jun Industrial Production, %mth	1.3	–	–	Final estimate.
Chn	Jul Retail Sales, ytd %yr	1.3	1.4	–	Activity indicators will likely show an economy that...
	Jul Industrial Production, ytd %yr	5.4	5.3	–	...continues to lose momentum as policymakers fail to offer...
	Jul Fixed Asset Investment, ytd %yr	–5.7	–6.2	–	...new stimulus, putting 2026 growth target at risk.
US	Aug Fed Empire State Manuf., index	15.6	10	–	A bumpy up trend since early-2025 remains intact.
	Aug NAHB Housing Market, index	34	33	–	Homebuilder sentiment expected to reach a 2026 low.
Tue 18					
Aus	Aug Westpac–MI Cons. Sentiment, index	83.9	–	–	Steady rates, higher fuel, housing downturn, all in play.
	RBA Speak	–	–	–	RBA's Jones–Fireside Chat.
Eur	Aug ZEW Survey Of Expectations, index	23.4	–	–	Sitting at a five month high as reform spur hope for growth.
UK	Jun ILO Unemployment Rate, %	4.9	4.7	–	Stabilising after coming off early-2026 peak.
US	Jul Import Price Index, %mth	0.3	0.1	–	Prices for consumer goods firmed partly offset by energy costs.
	Jul Housing Starts, %mth	19	–5.7	–	Partial unwind expected following June boost...
	Jul Building Permits, %mth	–2.6	–0.2	–	...while permits expected to record third consecutive decline.
	Jul Industrial Production, %mth	0.1	0.3	–	Rising production sees capacity pressures increase.
Wed 19					
NZ	Q2 PPI, %qtr	0.8	–	–	Will reflect higher fuel prices.
Aus	Q2 WPI, %qtr	0.8	0.8	0.8	Higher than expected FWC decision to lift wages.
	RBA Speak	–	–	–	RBA's Hauser Fireside Chat.
Jpn	Jun Core Machinery Orders, %mth	–12.4	7.8	–	To partly reverse following last month's contraction.
UK	Jul CPI, %ann	2.6	3	–	Services to moderate as energy pressures persist.
US	FOMC Meeting Minutes	–	–	–	Minutes for the July Committee meeting.
Thur 20					
Aus	Aug MI Inflation Expectations, %ann	4.7	–	–	Could see an increase given the end of the fuel excise cut.
	Jul Employment Change, 000s	76.3	13.5	15	Watch employment-to-population to dampen noise...
	Jul Unemployment Rate, %	4.4	4.4	4.4	...as participation rate ticks lower keep the UR steady.
US	Aug Philly Fed Manufacturing, index	41.4	25	–	At a near five year high.
	Initial Jobless Claims	209	210	–	Down trend resumes after early-May-to-mid-June up trend.
	Jul Leading Index, pts	–0.2	0.1	–	Consumers are the key headwind to economic growth.
Fri 21					
NZ	Jul Trade Balance, \$m	23	–	–	Exports likely to decline from exceptional June level.
Jpn	Jul CPI, %ann	1.6	2	–	Price pressures broaden beyond food and energy costs.
	Aug S&P Global Manufacturing PMI, index	54.5	–	–	Activity buoyed by steepest rise in new orders in four years...
	Aug S&P Global Services PMI, index	51.2	–	–	...while cost and capacity pressures remain at odds in services.
Eur	Aug S&P Global Manufacturing PMI, index	51.9	51.6	–	Production sees fastest rise since post-Covid related surge...
	Aug S&P Global Services PMI, index	51.7	51.5	–	...with services activity rebounding into expansion.
UK	Aug GfK Consumer Sentiment, index	–17	–18	–	Yet to recover from Middle East led deterioration.
	Jul Retail Sales, %mth	1	–	–	World Cup overrides sour sentiment to lift spending.
	Aug S&P Global Manufacturing PMI, index	51.9	51.8	–	Input price inflation eased considerably...
	Aug S&P Global Services PMI, index	52.1	51.8	–	...as services activity returned to expansion in July.
US	Aug S&P Global Manufacturing PMI, index	53.9	53.7	–	Rising at a milder pace due to supply chain disruptions...
	Aug S&P Global Services PMI, index	54.6	53.9	–	...while outlook for services improves bolstering job creations.

Contact

Westpac Economics Team | westpac.co.nz/economics | economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

Imre Speizer, Market Strategist | +64 9 336 9929 | +64 21 769 968 | imre.speizer@westpac.co.nz

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